



Insurance Policy

IF RENEWAL CERTIFICATE APPLIES

In consideration of the payment of the premium shown on the declarations page, the numbered policy is renewed for the policy term shown, subject to all the terms and conditions of the policy including forms and endorsements unless otherwise specified. Current editions of the forms are attached only if earlier editions were revised during the previous term.

MUTUAL POLICY CONDITIONS

Applying Only If This Policy Is Issued By
Merchants Mutual Insurance Company, Buffalo, NY
As Shown On The Declarations Page

Because this policy was issued by a "mutual" insurance company, you are a member of Merchants
Clearwater Motorworks This entitles you to vote, either in person, or by proxy, at the meetings of the members of the Company. You are also entitled to any dividends which are declared by the Board of Directors and which apply to the coverages of your policy.

The annual meeting of members is held at the home office on the third Wednesday in May of each year at 11:00 am.

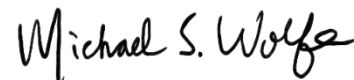
This policy is non-assessable. This means that you, as a member, have no responsibility for our debts or obligations. Your responsibility is limited to the premiums charged to you for your insurance.

Applying Only If This Policy Is Issued By
Merchants Preferred Insurance Company, Buffalo, NY
As Shown On The Declarations Page

Merchants Preferred Insurance Company operates as a stock company that is a wholly owned subsidiary of Merchants Clearwater Motorworks



Charles E Makey III
President and CEO



Michael Wolfe
Sr.VP Regional Operations

Please Direct All Correspondence To:
Merchants Insurance Group • 250 Main Street • Buffalo, New York 14202



Date Prepared: 09/09/26

**COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS**

**MERCHANTS PREFERRED INSURANCE COMPANY
BUFFALO, NY**

Policy Number: BOP1161281

Previous Policy Number:

Name Insured and Mailing Address:

HARBOR POINT ENTERPRISES
1750 LINCOLN LANE
BOONVILLE, NY 13309

Transaction Type: NEW BUSINESS

Billing Type: DIRECT BILL

Your Agent: 85775/WSBC9/005

Agent Name and Mailing Address:

CLEARWATER HOLDINGS BROKERAGE
159 NY-28
CANTON, NY 13617
(226) 783-0236

Policy Period: From **09/08/26** to **09/08/27** 12:01 a.m. Standard Time at location of designated premises.
Exceptions: 12:00 noon in Michigan.

The Named Insured ASHCROFT

IN RETURN FOR THE PAYMENT OF THE PREMIUM, AND SUBJECT TO ALL THE TERMS OF THIS POLICY, WE AGREE WITH YOU TO PROVIDE THE INSURANCE AS STATED IN THIS POLICY.

Policy may be Subject to Audit

TOTAL POLICY PREMIUM: \$ 3,208.86

Includes Terrorism Risk Insurance Act Premium Of:	\$	17.00
Includes New York Fire Fee Of:	\$	8.86

Policy Subject to \$150.00 Minimum Retained Premium

Authorized Representative: _____

Michael S. Wolfe



COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS

Policy Number: BOP1161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: 09/08/26 to 09/08/

PROPERTY COVERAGE

Loc. No. 001 Bldg. No. 001 8663 CHESTNUT
BOONVILLE, NY 13309

Property Deductible: \$ 1,000
Optional Coverage/Glass Deductible: \$250
(applies to Glass, Employee Dishonesty, Money & Securities and Outdoor Signs)

Business Personal Property:
BPP Class Code: 131314 Class Desc: Office: Dental

		Limit of Insurance
Business Personal Property - Replacement Cost	\$	180,100

ADDITIONAL PROPERTY COVERAGE
(Applicable To Location 001 Building 001)

		Limit of Insurance
Accounts Receivable		
On Premises	\$	25,000
Off Premises	\$	10,000
Business Income and Extra Expense		ALS
Period of Restoration		72 HOURS
Extended Business Income		Up to 120 days
Business Income and Extra Expense Interruption of Computers	\$	25,000
Business Income From Dependent Properties	\$	25,000
Fine Arts - \$250 Deductible		
Included in Business Personal Property Plus	\$	25,000
Forgery or Alteration	\$	25,000
Outdoor Signs - \$250 Deductible - Per Occurrence	\$	5,000
Spoilage	\$	25,000
Refrigeration Maintenance Agreement - Not Applicable		
Utility Service		
Direct Damage	\$	25,000
Time Element	\$	25,000
		/72 HOURS
Valuable Papers		



**COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS**

Policy Number: BOP1161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: **09/08/26** to **09/08/**

On Premises	\$	25,000
Off Premises	\$	10,000



COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS

Policy Number: BOP161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: 09/08/26 to 09/08/

PROPERTY COVERAGE

Loc. No. 002 Bldg. No. 001

8314 MAPLE
MONROE, NY 10950-9215

Property Deductible: \$ 1,000
Optional Coverage/Glass Deductible: \$250
(applies to Glass, Employee Dishonesty, Money & Securities and Outdoor Signs)

Business Personal Property:
BPP Class Code: 131314 Class Desc: Office: Dental

		Limit of Insurance
Business Personal Property - Replacement Cost	\$	500,000

ADDITIONAL PROPERTY COVERAGE
(Applicable To Location 002 Building 001)

		Limit of Insurance
Accounts Receivable		
On Premises	\$	25,000
Off Premises	\$	10,000
Business Income and Extra Expense		ALS
Period of Restoration		72 HOURS
Extended Business Income		Up to 120 days
Business Income and Extra Expense Interruption of Computers	\$	25,000
Business Income From Dependent Properties	\$	25,000
Fine Arts - \$250 Deductible		
Included in Business Personal Property Plus	\$	25,000
Forgery or Alteration	\$	25,000
Outdoor Signs - \$250 Deductible - Per Occurrence	\$	5,000
Spoilage	\$	25,000
Refrigeration Maintenance Agreement - Not Applicable		
Utility Service		
Direct Damage	\$	25,000
Time Element	\$	25,000
		/72 HOURS



COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS

Policy Number: BOP1161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: 09/08/26 to 09/08/

Valuable Papers

On Premises	\$	25,000
Off Premises	\$	10,000



**COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS**

Policy Number: BOP1161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: **09/08/26** to **09/08/**

**ADDITIONAL PROPERTY COVERAGE
(Applicable To This Policy)**

	Limit of Insurance	
Computer Fraud and Funds Transfer Fraud	\$	25,000
Employee Dishonesty - Per Occurrence		
\$250 Deductible	\$	25,000
Money Orders and Counterfeit Money	\$	10,000
Money and Securities and Credit Card Slips		
\$250 Deductible		
On Premises	\$	25,000
Off Premises	\$	10,000



COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS

Policy Number: BOP1161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: 09/08/26 to 09/08/

BUSINESS LIABILITY

		Limit of Insurance
Business Liability Limits		
General Aggregate Limit (Other than Products-Completed Operations)	\$	2,000,000
Products-Completed Operations Aggregate	\$	2,000,000
Personal and Advertising Injury		Included
Business Liability/Occurrence	\$	1,000,000
Fire Legal Liability Limit (Damage to Premises Rented to You)	\$	500,000
Medical Expense (Any One Person)	\$	15,000
Optional Liability Coverage		
Cyber Insurance		
Aggregate Limit	\$	100,000
Retro Date		09/08/26
Hired Auto & Non-Owned Auto Liability		
Each Occurrence	\$	1,000,000
Aggregate	\$	2,000,000

LOSS PAYEE(S)

COMMUNITY BANK NA

914 RIVERSIDE

MONROE, NY 10950

Type of Loss Payee: Lender's Loss Payable

Applies To: Loc. No. 001 Bldg. No. 001

Bldg., BPP &/or Fine Arts

Description

DENTAL EQUIPMENT AND CONTENTS

ADDITIONAL INSURED(S)

IRONVALE WORKS

BEACON, NY 12508

8663 CHESTNUT

BOONVILLE, NY 13309

Additional Insured-EDWARD JESSUP - BP1231

Building Description:

8663 CHESTNUT OLD FORGE NY

83 WINSLOW

5473 SUMMIT DRIVE

ILION, NY 13357

Additional Insured-EDWARD JESSUP - BP1231

Building Description:



**COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS**

Policy Number: BOP161281

Named Insured: HARBOR POINT ENTERPRISES

Policy Period: 09/08/26 to 09/08/

8314 MAPLE

WALTON NY

FORMS AND ENDORSEMENTS ATTACHED AT INCEPTION APPLYING TO THIS COVERAGE PART AND MADE PART OF THIS POLICY AT TIME OF ISSUE:

BP0003(0110)	BUSINESSOWNERS COVERAGE FORM
BP0415(0221)	SPOILAGE COVERAGE
BP0436(0110)	HIRED AUTO AND NON-OWNED AUTO LIABILITY
BP0439(0702)	ABUSE OR MOLESTATION EXCLUSION
BP0453(0110)	WATER BACKUP AND SUMP PUMP
BP0454(0106)	NEWLY ACQUIRED ORGANIZATIONS
BP0456(0110)	GRANITE ROW -DIRECT DAMAGE
BP0457(0110)	GRANITE ROW -TIME ELEMENT
BP0493(0106)	TOTAL POLL EXCL W/BLDG HEAT EQUIP EXCEPT/HOSTILE FIRE EXCEPT
BP0501(0702)	CALCULATION OF PREMIUM
BP0523(0115)	CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM
BP0547(0110)	COMPUTER FRAUD AND FUNDS TRANSFER FRAUD
BP0598(0106)	AMENDMENT OF INSURED QUENTIN ELLERY
BP0667(0707)	NEW YORK-ORDINANCE OR LAW COVERAGE
BP1203(0110)	LOSS PAYABLE PROVISIONS
BP1231(0110)	ADDITIONAL INSURED - EDWARD JESSUP
BP1501(0110)	NEW YORK CHANGES - CALCULATION OF PREMIUM
BP1591(1223)	EXCL-PERFLUOROALKYL/POLYFLUOROALKYL SUBSTANCES (PFAS)
MSIU05(1199)	FRAUD TIP LINE
MU8239(1220)	EQUIPMENT BREAKDOWN COVERAGE
MU8244(0826)	MAP OFFICE PLUS
MU8277(1019)	ADDITIONAL INSURED RIDGEWAY CONTRACTING
MU8281(1019)	ASBESTOS EXCLUSION
MU8285(1019)	FINE ARTS
MU8382(0526)	MAP POLICY DECLARATIONS
MU8403(1019)	MAP POLICY JACKET
MU8530(1019)	ADDL INSURED-CLEARWATER MOTORWORKS
MU8589(1019)	IDENTITY RECOVERY COVERAGE
MU8947(1019)	PROTECTIVE SAFEGUARDS
MU8991(0315)	COMMUNICABLE DISEASE EXCLUSION
MU9013(0115)	NOTICE-OFFER OF TERRORISM COVERAGE AND DISCLOSURE OF PREMIUM
MU9104(0617)	EMPLOYMENT PRACTICES LIABILITY
MU9125(0617)	NY REGULATION 121 CLAIMS-MADE DISCLOSURE NOTICE
MU9126(0617)	EMPLOYMENT PRACTICES LIABILITY INSURANCE SUPP DECLARATIONS
MU9136(0917)	CYBER INSURANCE ENDORSEMENT - NEW YORK
MU9143(0917)	SUPPLEMENTAL DECLARATIONS - NY CYBER LIABILITY
MU9385(1223)	NEW YORK CHANGES
MU9449(0125)	WIDESPREAD EVENT EXCLUSION-NEW YORK



**COMMERCIAL LINES POLICY
BUSINESSOWNERS POLICY DECLARATIONS**

00 EM 3259

HARBOR POINT ENTERPRISES

Policy Number: BOPI161281

Policy Period: **09/08/26** to **09/08/**

SUPPLEMENTAL DECLARATIONS CYBER INSURANCE ENDORSEMENT – NEW YORK

This Supplemental Declarations page forms a part of *your* policy.

NOTICE TO POLICYHOLDER

THE CYBER INSURANCE ENDORSEMENT (“ENDORSEMENT”) IS COMPRISED OF TWO COVERAGE COMPONENTS. SECTION I – CYBER LIABILITY COVERAGES IS WRITTEN ON A CLAIMS-MADE BASIS. SECTION II – FIRST PARTY BREACH EVENT COVERAGES PROVIDE CERTAIN FIRST PARTY COVERAGES.

READ THE ENTIRE ENDORSEMENT CAREFULLY TO DETERMINE *YOUR* RIGHTS AND DUTIES AND WHAT IS AND IS NOT COVERED. THE TERMS, DEFINITIONS, CONDITIONS, AND EXCLUSIONS SET FORTH IN THE ENDORSEMENT, AND THE LIMITS OF LIABILITY SHOWN IN THE SCHEDULE OF COVERAGES AND LIMITS (“THE SCHEDULE”), APPLY ONLY TO THE ENDORSEMENT. ANY CONDITIONS CONTAINED ELSEWHERE IN THE POLICY, INCLUDING THE CANCELLATION AND RENEWAL/NONRENEWAL PROVISIONS, REMAIN UNCHANGED AND WILL APPLY TO THE ENDORSEMENT, UNLESS THE ENDORSEMENT STATES OTHERWISE.

THERE IS NO COVERAGE UNDER THE ENDORSEMENT FOR *CLAIMS* ARISING OUT OF INCIDENTS, OCCURRENCES, OR ALLEGED WRONGFUL ACTS WHICH TAKE PLACE OR FIRST COMMENCE PRIOR TO THE *RETROACTIVE DATE* STATED IN THE ENDORSEMENT. THE ENDORSEMENT COVERS ONLY *CLAIMS* ACTUALLY MADE AGAINST THE *INSURED*

NORTHVALE MOTORWORKS NORTHVALE MOTORWORKS

NORTHVALE MOTORWORKS

UNDER THE ENDORSEMENT CEASES UPON TERMINATION OF COVERAGE, EXCEPT FOR THE AUTOMATIC EXTENDED REPORTING PERIOD, UNLESS *YOU* PURCHASE ADDITIONAL EXTENDED REPORTING PERIOD COVERAGE.

THIS COVERAGE PROVIDES AN AUTOMATIC EXTENDED REPORTING PERIOD OF SIXTY (60) DAYS. *YOU* ALSO HAVE THE RIGHT TO PURCHASE A SUPPLEMENTAL EXTENDED REPORTING PERIOD OF ONE (1) YEAR, FOR AN ADDITIONAL PREMIUM OF 95% OF THE ANNUAL PREMIUM IN EFFECT ON THE DATE THE ENDORSEMENT WAS ISSUED OR LAST RENEWED. POTENTIAL COVERAGE GAPS MAY ARISE WHEN ANY EXTENDED REPORTING PERIOD COVERAGE ENDS.

DURING THE FIRST SEVERAL YEARS OF THE CLAIMS-MADE RELATIONSHIP, CLAIMS-MADE BASIS RATES ARE COMPARATIVELY LOWER THAN OCCURRENCE RATES, AND *YOU* CAN EXPECT SUBSTANTIAL ANNUAL PREMIUM INCREASES, INDEPENDENT OF OVERALL RATE LEVEL INCREASES, UNTIL THE CLAIMS-MADE RELATIONSHIP REACHES MATURITY. THE RATES FOR ANY EXTENDED REPORTING PERIOD COVERAGE WILL BE BASED ON THE RATES IN EFFECT ON THE DATE THE POLICY WAS ISSUED OR LAST RENEWED.

ALL WORDS AND PHRASES IN THE ENDORSEMENT THAT APPEAR IN ***BOLD AND ITALIC*** PRINT HAVE THE MEANINGS SET FORTH IN SECTION VI OF THE ENDORSEMENT. ANY DEFINITIONS CONTAINED IN ANY OTHER COVERAGE OF THE POLICY DO NOT APPLY TO THE ENDORSEMENT.

POLICY NUMBER: BOP1161281

ENDORSEMENT EFFECTIVE DATE: 09/08/26

RETROACTIVE DATE: 09/08/26

The Cyber Insurance limits of liability are specified in the Schedule shown below. The Cyber Insurance limits of liability are in addition to, and will not reduce, the limits of liability provided elsewhere under the Policy. ***Our*** payment of ***defense costs*** will not reduce the Cyber Insurance limits of liability.

SCHEDULE OF COVERAGES AND LIMITS

COVERAGES	
Section I - Cyber Liability Coverages	
Coverage A - Multimedia Liability Coverage	
Coverage B - Security and Privacy Liability Coverage	
Coverage C - Privacy Regulatory Defense Coverage	
Coverage D - PCI DSS Liability Coverage	
Section II - First Party Breach Event Coverages	
Coverage E - <i>Privacy Breach Response Costs, Notification Expenses and Customer Support and Credit Monitoring Expenses</i> Coverage	
Coverage F - Network Asset Protection Coverage	
Coverage G - Cyber Extortion Coverage	
Coverage H - BrandGuard® Coverage	
LIMITS OF LIABILITY	
Each <i>Claim</i> Limit \$ <u>100,000</u>	Annual Aggregate Limit \$ <u>100,000</u>

**EMPLOYMENT PRACTICES LIABILITY INSURANCE COVERAGE FORM
SUPPLEMENTAL DECLARATIONS – NEW YORK**

Named Insured: HARBOR POINT ENTERPRISES
1750 LINCOLN LANE
MONROE, NY 10950

Agent: CLEARWATER HOLDINGS
159 NY-28
BOONVILLE, NY

BROKERAGE

NOTICE

- ~ EXCEPT TO SUCH EXTENT AS MAY OTHERWISE BE PROVIDED HEREIN, THE COVERAGE OF THIS COVERAGE ENDORSEMENT IS LIMITED TO LIABILITY FOR ONLY THOSE CLAIMS OR SUITS THAT ARE FIRST MADE AGAINST THE INSURED DURING THE EPL COVERAGE PERIOD AND REPORTED IN WRITING TO THE INSURER PURSUANT TO THE TERMS HEREIN. VARIOUS PROVISIONS IN THIS COVERAGE ENDORSEMENT RESTRICT COVERAGE. PLEASE READ THE ENTIRE COVERAGE ENDORSEMENT CAREFULLY TO DETERMINE RIGHTS, DUTIES AND WHAT IS AND IS NOT COVERED.
- ~ THE LIMIT OF LIABILITY AVAILABLE TO PAY JUDGMENTS OR SETTLEMENTS UNDER THIS COVERAGE ENDORSEMENT SHALL BE REDUCED BY AMOUNTS INCURRED FOR LEGAL DEFENSE. AMOUNTS INCURRED FOR LEGAL DEFENSE SHALL BE APPLIED AGAINST THE DEDUCTIBLE AMOUNT.

EPL Coverage Period:	From: 09/08/26 To: 09/08/27	At 12:01 A.M. Standard Time at your mailing address shown on the Declarations page of this policy
EPL Aggregate Limit of Liability:	\$ 100, 000	Aggregate for all "loss" combined, including "defense costs".
EPL Deductible Amount:	\$ 10, 000	For "loss" arising from claims or suits alleging the same "wrongful employment act" or "related wrongful employment acts".
EPL Retroactive Date:	09/08/26	If no date is shown, "we" will consider the EPL Retroactive Date to be the date of organization of the "named insured". The EPL Retroactive Date will remain the same through all subsequent renewals. No change will be made to the EPL Retroactive Date unless at the sole request of the insured
Third Party Coverage		

This insurance does not apply to "loss" arising out of a "wrongful employment act" that arises out of incidents or circumstances of which "you" had knowledge prior to the effective date of this EPL Coverage or the first EPL Coverage Form issued by "us" of which this EPL Coverage is an uninterrupted renewal.

Forms and Endorsements: "SEE CONTINUOUS DECLARATIONS"

EPL COVERAGE PREMIUM:

"SEE CONTINUOUS DECLARATIONS"

NOTICE - OFFER OF TERRORISM COVERAGE NOTICE - DISCLOSURE OF PREMIUM

A. Disclosure Of Premium

In accordance with the federal Terrorism Risk Insurance Act, we are required to provide you with a notice disclosing the portion of your premium, if any, attributable to coverage for terrorist acts certified under the Terrorism Risk Insurance Act. The portion of your premium attributable to such coverage is shown below and in the policy Declarations.

States of Michigan, New Hampshire, Pennsylvania, Ohio, and Vermont:

If you accept this offer, the premium for terrorism coverage is \$ _____.

All other states:

In these states, a terrorism exclusion makes an exception for (and thereby provides coverage for) fire losses resulting from an act of terrorism. Therefore, if you reject the offer of terrorism coverage, that rejection does not apply to fire losses resulting from an act of terrorism coverage for such fire losses will be provided in your policy (if this is a renewal policy: will continue to be provided in your policy). The additional premium just for such fire coverage is stated below. If you reject this offer, this premium is due:

If you accept this offer, the premium for terrorism coverage is \$ **17.00** _____.

If you reject this offer, the premium for terrorism (fire only) coverage is \$ **2.00** _____.

To reject this offer, please complete the REJECTION STATEMENT below.

B. Disclosure Of Federal Participation In Payment Of Terrorism Losses

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019; and 80% beginning on January 1, 2020, of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

Ridgeway Industries

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

REJECTION STATEMENT

I hereby reject the offer of terrorism coverage. I understand that an exclusion of certain terrorism losses will be made part of this policy

Policyholder's Signature: _____

Date: _____

Print Name

BUSINESSOWNERS COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this Coverage Form the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the Company providing this insurance.

In Section II – Liability, the word "insured" means any person or organization qualifying as such under Paragraph C. Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Paragraph H. Property Definitions in Section I – Property and Paragraph F. Liability And Medical Expenses Definitions in Section II – Liability.

SECTION I – PROPERTY

A. Coverage

We will pay for direct physical loss of or damage to Covered Property at the premises described in the Declarations caused by or resulting from any Covered Cause of Loss.

1. Covered Property

Covered Property includes Buildings as described under Paragraph a. below, Business Personal Property as described under Paragraph b. below, or both, depending on whether a Limit of Insurance is shown in the Declarations for that type of property. Regardless of whether coverage is shown in the Declarations for Buildings, Business Personal Property, or both, there is no coverage for property described under Paragraph 2. Property Not Covered.

a. Buildings, meaning the buildings and structures at the premises described in the Declarations, including:

- (1) Completed additions;
- (2) Fixtures, including outdoor fixtures;
- (3) Permanently installed:
 - (a) Machinery; and
 - (b) Equipment;
- (4) Your personal property in apartments, rooms or common areas furnished by you as landlord;

(5) Personal property owned by you that is used to maintain or service the buildings or structures or the premises, including:

- (a) Fire extinguishing equipment;
- (b) Outdoor furniture;
- (c) Floor coverings; and
- (d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;

(6) If not covered by other insurance:

- (a) Additions under construction, alterations and repairs to the buildings or structures;
- (b) Materials, equipment, supplies and temporary structures, on or within 100 feet of the described premises, used for making additions, alterations or repairs to the buildings or structures.

b. Business Personal Property located in or on the buildings at the described premises or in the open (or in a vehicle) within 100 feet of the described premises, including:

- (1) Property you own that is used in your business;
- (2) Property of others that is in your care, custody or control, except as otherwise provided in Loss Payment Property Loss Condition Paragraph E.5.d.(3)(b);
- (3) Tenant's improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:
 - (a) Made a part of the building or structure you occupy but do not own; and
 - (b) You acquired or made at your expense but cannot legally remove;
- (4) Leased personal property which you have a contractual responsibility to insure, unless otherwise provided for under Paragraph 1.b.(2); and
- (5) Exterior building glass, if you are a tenant and no Limit of Insurance is shown in the Declarations for Building property. The glass must be owned by you or in your care, custody or control.

2. Property Not Covered

Covered Property does not include:

- a. Aircraft, automobiles, motortrucks and other vehicles subject to motor vehicle registration;
- b. "Money" or "securities" except as provided in the:
 - (1) Money And Securities Optional Coverage; or
 - (2) Employee Dishonesty Optional Coverage;
- c. Contraband, or property in the course of illegal transportation or trade;
- d. Land (including land on which the property is located), water, growing crops or lawns;
- e. Outdoor fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, signs (other than signs attached to buildings), trees, shrubs or plants, all except as provided in the:
 - (1) Outdoor Property Coverage Extension; or
 - (2) Outdoor Signs Optional Coverage;
- f. Watercraft (including motors, equipment and accessories) while afloat;
- g. Accounts, bills, food stamps, other evidences of debt, accounts receivable or "valuable papers and records"; except as otherwise provided in this policy;
- h. "Computer(s)" which are permanently installed or designed to be permanently installed in any aircraft, watercraft, motortruck or other vehicle subject to motor vehicle registration. This paragraph does not apply to "computer(s)" while held as "stock";
- i. "Electronic data", except as provided under Additional Coverages – Electronic Data. This Paragraph i. does not apply to your "stock" of prepackaged software.
- j. Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings.

3. Covered Causes Of Loss

Risks of direct physical loss unless the loss is:

- a. Excluded in Paragraph B. Exclusions in Section I; or
- b. Limited in Paragraph 4. Limitations in Section I.

4. Limitations

a. We will not pay for loss of or damage to:

- (1) Steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment. But we will pay for loss of or damage to such equipment caused by or resulting from an explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.
- (2) Hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment, other than an explosion.
- (3) Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property. This limitation does not apply to the Optional Coverage for Money and Securities.
- (4) Property that has been transferred to a person or to a place outside the described premises on the basis of unauthorized instructions.
- (5) The interior of any building or structure caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:
 - (a) The building or structure first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
 - (b) The loss or damage is caused by or results from thawing of snow, sleet or ice on the building or structure.

b. We will not pay for loss of or damage to the following types of property unless caused by the "specified causes of loss" or building glass breakage:

- (1) Animals, and then only if they are killed or their destruction is made necessary.
- (2) Fragile articles such as glassware, statuary, marble, chinaware and porcelain, if broken. This restriction does not apply to:
 - (a) Glass that is part of the exterior or interior of a building or structure;

- (b) Containers of property held for sale; or
 - (c) Photographic or scientific instrument lenses.
- c. For loss or damage by theft, the following types of property are covered only up to the limits shown:
- (1) \$2,500 for furs, fur garments and garments trimmed with fur.
 - (2) \$2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth \$100 or less per item.
 - (3) \$2,500 for patterns, dies, molds and forms.

5. Additional Coverages

a. Debris Removal

- (1) Subject to Paragraphs (3) and (4), we will pay your expense to remove debris of Covered Property caused by or resulting from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.
- (2) Debris Removal does not apply to costs to:
 - (a) Extract "pollutants" from land or water; or
 - (b) Remove, restore or replace polluted land or water.
- (3) Subject to the exceptions in Paragraph (4), the following provisions apply:
 - (a) The most that we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.
 - (b) Subject to Paragraph (a) above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

- (4) We will pay up to an additional \$10,000 for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:

- (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
- (b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if Paragraphs (4)(a) and/or (4)(b) apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus \$10,000.

(5) Examples

Example #1

Limit of Insurance	\$ 90,000
Amount of Deductible	\$ 500
Amount of Loss	\$ 50,000
Amount of Loss Payable	\$ 49,500
	(\$50,000 – \$500)
Debris Removal Expense	\$ 10,000
Debris Removal Expense Payable	\$ 10,000
	(\$10,000 is 20% of \$50,000)

The debris removal expense is less than 25% of the sum of the loss payable plus the deductible. The sum of the loss payable and the debris removal expense (\$49,500 + \$10,000 = \$59,500) is less than the Limit of Insurance. Therefore the full amount of debris removal expense is payable in accordance with the terms of Paragraph (3).

Example #2

Limit of Insurance	\$ 90,000
Amount of Deductible	\$ 500
Amount of Loss	\$ 80,000
Amount of Loss Payable	\$ 79,500
	(\$80,000 – \$500)
Debris Removal Expense	\$ 30,000
Debris Removal Expense Payable	
Basic Amount	\$ 10,500
Additional Amount	\$ 10,000

The basic amount payable for debris removal expense under the terms of Paragraph (3) is calculated as follows: \$80,000 (\$79,500 + \$500) x .25 = \$20,000; capped at \$10,500). The cap applies because the sum of the loss payable (\$79,500) and the basic amount payable for debris removal expense (\$10,500) cannot exceed the Limit of Insurance (\$90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph (4), because the debris removal expense (\$30,000) exceeds 25% of the loss payable plus the deductible (\$30,000 is 37.5% of \$80,000), and because the sum of the loss payable and debris removal expense (\$79,500 + \$30,000 = \$109,500) would exceed the Limit of Insurance (\$90,000). The additional amount of covered debris removal expense is \$10,000, the maximum payable under Paragraph (4). Thus the total payable for debris removal expense in this example is \$20,500; \$9,500 of the debris removal expense is not covered.

b. Preservation Of Property

If it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss of or damage to that property:

- (1) While it is being moved or while temporarily stored at another location; and
- (2) Only if the loss or damage occurs within 30 days after the property is first moved.

c. Fire Department Service Charge

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to \$2,500, unless a different limit is shown in the Declarations, for your liability for fire department service charges:

- (1) Assumed by contract or agreement prior to loss; or
- (2) Required by local ordinance.

d. Collapse

The coverage provided under this Additional Coverage – Collapse applies only to an abrupt collapse as described and limited in Paragraphs d.(1) through d.(7).

- (1) For the purpose of this Additional Coverage – Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.
- (2) We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this policy or that contains Covered Property insured lapse is caused by one or more of the following:
 - (a) Building decay that is hidden from view, unless the presence of such decay is known to an insured HARBOR POINT
 - (b) Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured HARBOR POINT
 - (c) Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation.
 - (d) Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:
 - (i) A cause of loss listed in Paragraph (2)(a) or (2)(b);
 - (ii) One or more of the "specified causes of loss";
 - (iii) Breakage of building glass;

- (iv) Weight of people or personal property; or
 - (v) Weight of rain that collects on a roof.
- (3) This Additional Coverage – Collapse does **not** apply to:
- (a) A building or any part of a building that is in danger of falling down or caving in;
 - (b) A part of a building that is standing, even if it has separated from another part of the building; or
 - (c) A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.
- (4) With respect to the following property:
- (a) Awnings;
 - (b) Gutters and downspouts;
 - (c) Yard fixtures;
 - (d) Outdoor swimming pools;
 - (e) Piers, wharves and docks;
 - (f) Beach or diving platforms or appurtenances;
 - (g) Retaining walls; and
 - (h) Walks, roadways and other paved surfaces;
- if an abrupt collapse is caused by a cause of loss listed in Paragraphs (2)(a) through (2)(d), we will pay for loss or damage to that property only if such loss or damage is a direct result of the abrupt collapse of a building insured under this policy and the property is Covered Property under this policy.
- (5) If personal property abruptly falls down or caves in and such collapse is **not** the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:
- (a) The collapse of personal property was caused by a cause of loss listed in Paragraphs (2)(a) through (2)(d) of this Additional Coverage;
 - (b) The personal property which collapses is inside a building; and
 - (c) The property which collapses is not of a kind listed in Paragraph (4), regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph (5) does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

- (6) This Additional Coverage – Collapse does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.
- (7) This Additional Coverage – Collapse will not increase the Limits of Insurance provided in this policy.
- (8) The term Covered Cause of Loss includes the Additional Coverage – Collapse as described and limited in Paragraphs d.(1) through d.(7).

e. Water Damage, Other Liquids, Powder Or Molten Material Damage

If loss or damage caused by or resulting from covered water or other liquid, powder or molten material occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes.

We will not pay the cost to repair any defect that caused the loss or damage; but we will pay the cost to repair or replace damaged parts of fire extinguishing equipment if the damage:

- (1) Results in discharge of any substance from an automatic fire protection system; or
- (2) Is directly caused by freezing.

f. Business Income

(1) Business Income

- (a) We will pay for the actual loss of Business Income you sustain due to the necessary suspension of your "operations" during the "period of restoration". The suspension must be caused by direct physical loss of or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of the site at which the described premises are located.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the described premises are located, your premises means:

- (i) The portion of the building which you rent, lease or occupy; and
 - (ii) Any area within the building or on the site at which the described premises are located, if that area services, or is used to gain access to, the described premises.
- (b) We will only pay for loss of Business Income that you sustain during the "period of restoration" and that occurs within 12 consecutive months after the date of direct physical loss or damage. We will only pay for ordinary payroll expenses for 60 days following the date of direct physical loss or damage, unless a greater number of days is shown in the Declarations.
- (c) Business Income means the:
- (i) Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and
 - (ii) Continuing normal operating expenses incurred, including payroll.
- (d) Ordinary payroll expenses:
- (i) Means payroll expenses for all your employees except:
 - i. Officers;
 - ii. Executives;
 - iii. Department Managers;
 - iv. Employees under contract; and
 - v. Additional Exemptions shown in the Declarations as:
 - Job Classifications; or
 - Employees.
 - (ii) Include:
 - i. Payroll;

- ii. Employee benefits, if directly related to payroll;
- iii. FICA payments you pay;
- iv. Union dues you pay; and
- v. Workers' compensation premiums.

(2) Extended Business Income

- (a) If the necessary suspension of your "operations" produces a Business Income loss payable under this policy, we will pay for the actual loss of Business Income you incur during the period that:
- (i) Begins on the date property except finished stock is actually repaired, rebuilt or replaced and "operations" are resumed; and
 - (ii) Ends on the earlier of:
 - i. The date you could restore your "operations", with reasonable speed, to the level which would generate the Business Income amount that would have existed if no direct physical loss or damage had occurred; or
 - ii. 30 consecutive days after the date determined in Paragraph (a)(i) above, unless a greater number of consecutive days is shown in the Declarations.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

- (b) Loss of Business Income must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

- (3) With respect to the coverage provided in this Additional Coverage, suspension means:

- (a) The partial slowdown or complete cessation of your business activities; or
- (b) That a part or all of the described premises is rendered untenable, if coverage for Business Income applies.

- (4) This Additional Coverage is not subject to the Limits of Insurance of Section I – Property.

g. Extra Expense

- (1) We will pay necessary Extra Expense you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of the site at which the described premises are located.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the described premises are located, your premises means:

- (a) The portion of the building which you rent, lease or occupy; and
 - (b) Any area within the building or on the site at which the described premises are located, if that area services, or is used to gain access to, the described premises.
- (2) Extra Expense means expense incurred:
- (a) To avoid or minimize the suspension of business and to continue "operations":
 - (i) At the described premises; or
 - (ii) At replacement premises or at temporary locations, including relocation qamuamxg, zir gepje qi equip and operate the replacement or temporary locations.
 - (b) To minimize the suspension of business if you cannot continue "operations".
 - (c) To:
 - (i) Repair or replace any property; or
 - (ii) Research, replace or restore the lost information on damaged "valuable papers and records";to the extent it reduces the amount of loss that otherwise would have been payable under this Additional Coverage or Additional Coverage f. Business Income.

- (3) With respect to the coverage provided in this Additional Coverage, suspension means:

- (a) The partial slowdown or complete cessation of your business activities; or
 - (b) That a part or all of the described premises is rendered untenable, if coverage for Business Income applies.
- (4) We will only pay for Extra Expense that occurs within 12 consecutive months after the date of direct physical loss or damage. This Additional Coverage is not subject to the Limits of Insurance of Section I – Property.

h. Pollutant Clean-up And Removal

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay for each location under this Additional Coverage is \$10,000 for the sum of all such expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

i. Civil Authority

When a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

- (1) Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the described premises are within that area but are not more than one mile from the damaged property; and

- (2) The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority coverage for Business Income will begin 72 hours after the time of the first action of civil authority that prohibits access to the described premises and will apply for a period of up to four consecutive weeks from the date on which such coverage began.

Civil Authority coverage for necessary Extra Expense will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

- (1) Four consecutive weeks after the date of that action; or
(2) When your Civil Authority coverage for Business Income ends;

whichever is later.

The definitions of Business Income and Extra Expense contained in the Business Income and Extra Expense Additional Coverages also apply to this Civil Authority Additional Coverage. The Civil Authority Additional Coverage is not subject to the Limits of Insurance of Section I – Property.

j. Money Orders And "Counterfeit Money"

We will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise, "money" or services:

- (1) Money orders issued by any post office, express company or bank that are not paid upon presentation; or
(2) "Counterfeit money" that is acquired during the regular course of business.

The most we will pay for any loss under this Additional Coverage is \$1,000.

k. Forgery Or Alteration

- (1) We will pay for loss resulting directly from forgery or alteration of, any check, draft, promissory note, bill of exchange or similar written promise of payment in "money", that you or your agent has issued, or that was issued by someone who impersonates you or your agent.

- (2) If you are sued for refusing to pay the check, draft, promissory note, bill of exchange or similar written promise of payment in "money", on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur in that defense.
- (3) For the purpose of this coverage, check includes a substitute check as defined in the Check Clearing for the 16th Century Act, and will be treated the same as the original it replaced.
- (4) The most we will pay for any loss, including legal expenses, under this Additional Coverage is \$2,500, unless a higher Limit of Insurance is shown in the Declarations.

l. Increased Cost Of Construction

- (1) This Additional Coverage applies only to buildings insured NORTHVALE FABRICATION basis.
- (2) In the event of damage by a Covered Cause of Loss to a building that is Covered Property, we will pay the increased costs incurred to comply with enforcement of an ordinance or law in the course of repair, rebuilding or replacement of damaged parts of that property, subject to the limitations stated in Paragraphs (3) through (9) of this Additional Coverage.
- (3) The ordinance or law referred to in Paragraph (2) of this Additional Coverage is an ordinance or law that regulates the construction or repair of buildings or establishes zoning or land use requirements at the described premises, and is in force at the time of loss.
- (4) Under this Additional Coverage, we will not pay any costs due to an ordinance or law that:
- (a) You were required to comply with before the loss, even when the building was undamaged; and
- (b) You failed to comply with.

(5) Under this Additional Coverage, we will not pay for:

(a) The enforcement of any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungi", wet rot or dry rot; or

(b) Any costs associated with the enforcement of an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of "pollutants", "fungi", wet rot or dry rot.

(6) The most we will pay under this Additional Coverage, for each described building insured under Section I – Prop-

ing(s) is covered under a blanket Limit of Insurance which applies to more than one building or item of property, then the most we will pay under this Additional Coverage, for each damaged building, is \$10,000.

The amount payable under this Additional Coverage is additional insurance.

(7) With respect to this Additional Coverage:

(a) We will not pay for the Increased Cost of Construction:

(i) Until the property is actually repaired or replaced, at the same or another premises; and

(ii) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(b) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction is the increased cost of construction at the same premises.

(c) If the ordinance or law requires relocation to another premises, the most we will pay for the Increased Cost of Construction is the increased cost of construction at the new premises.

(8) This Additional Coverage is not subject to the terms of the Ordinance Or Law Exclusion, to the extent that such Exclusion would conflict with the provisions of this Additional Coverage.

(9) The costs addressed in the Loss Payment Property Loss Condition in Section I – Property do not include the increased cost attributable to enforcement of an ordinance or law. The amount payable under this Additional Coverage, as stated in Paragraph (6) of this Additional Coverage, is not subject to such limitation.

m. Business Income From Dependent Properties

(1) We will pay for the actual loss of Business Income you sustain due to physical loss or damage at the premises of a dependent property caused by or resulting from any Covered Cause of Loss.

However, this Additional Coverage does not apply when the only loss to dependent property is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the dependent property sustains loss or damage to "electronic data" and other property, coverage under this Additional Coverage will not continue once the other property is repaired, rebuilt or replaced.

The most we will pay under this Additional Coverage is \$5,000 unless a higher Limit of Insurance is indicated in the Declarations.

(2) We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "operations", in whole or in part, by using any other available:

(a) Source of materials; or

(b) Outlet for your products.

(3) If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

(4) Dependent property means property owned by others whom you depend on to:

- (a) Deliver materials or services to you, or to others for your account. But services does not mean water, communication or power supply services;
- (b) Accept your products or services;
- (c) Manufacture your products for delivery to your customers under contract for sale; or
- (d) Attract customers to your business.

The dependent property must be located in the coverage territory of this policy.

(5) The coverage period for Business Income under this Additional Coverage:

- (a) Begins 72 hours after the time of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the premises of the dependent property; and
- (b) Ends on the date when the property at the premises of the dependent property should be repaired, rebuilt or replaced with reasonable speed and similar quality.

(6) The Business Income coverage period, as stated in Paragraph (5), does not include any increased period required due to the enforcement of any ordinance or law that:

- (a) Regulates the construction, use or repair, or requires the tearing down of any property; or
- (b) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not reduce the Business Income coverage period.

(7) The definition of Business Income contained in the Business Income Additional Coverage also applies to this Business Income From Dependent Properties Additional Coverage.

n. Glass Expenses

(1) We will pay for expenses incurred to put up temporary plates or board up openings if repair or replacement of damaged glass is delayed.

(2) We will pay for expenses incurred to remove or replace obstructions when repairing or replacing glass that is part of a building. This does not include removing or replacing window displays.

o. Fire Extinguisher Systems Recharge Expense

(1) We will pay:

- (a) The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 100 feet of the described premises; and
- (b) For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or a fire extinguishing system.

(2) No coverage will apply if the fire extinguishing system is discharged during installation or testing.

(3) The most we will pay under this Additional Coverage is \$5,000 in any one occurrence.

p. Electronic Data

(1) Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore "electronic data" which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that "electronic data" is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "electronic data" was stored, with blank media of substantially identical type.

(2) The Covered Causes of Loss applicable to Business Personal Property include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.

- (3) The most we will pay under this Additional Coverage – Electronic Data for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved, is \$10,000, unless a higher Limit of Insurance is shown in the Declarations. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in, but not after, that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

q. Interruption Of Computer Operations

- (1) Subject to all provisions of this Additional Coverage, you may extend the insurance that applies to Business Income and Extra Expense to apply to a suspension of "operations" caused by an interruption in computer operations due to destruction or corruption of "electronic data" due to a Covered Cause of Loss.
- (2) With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:
- (a) Coverage under this Additional Coverage – Interruption Of Computer Operations is limited to the "specified causes of loss" and Collapse.
- (b) If the Businessowners Coverage Form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage.

- (c) The Covered Causes of Loss include a computer virus, harmful code or similar instruction introduced into or enacted on a computer system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including "electronic data") by any employee, including a temporary or leased employee, or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.

- (3) The most we will pay under this Additional Coverage – Interruption Of Computer Operations for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved, is \$10,000 unless a higher Limit of Insurance is shown in the Declarations. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.
- (4) This Additional Coverage – Interruption Of Computer Operations does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in (3) above has not been exhausted.
- (5) Coverage for Business Income does not apply when a suspension of "operations" is caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs (1) through (4) of this Additional Coverage.

- (6) Coverage for Extra Expense does not apply when action is taken to avoid or minimize a suspension of "operations" caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data", except as provided under Paragraphs (1) through (4) of this Additional Coverage.

r. Limited Coverage For "Fungi", Wet Rot Or Dry Rot

- (1) The coverage described in Paragraphs r.(2) and r.(6) only applies when the "fungi", wet rot or dry rot are the result of a "specified cause of loss" other than fire or lightning that occurs during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence.
- (2) We will pay for loss or damage by "fungi", wet rot or dry rot. As used in this Limited Coverage, the term loss or damage means:
- (a) Direct physical loss or damage to Covered Property caused by "fungi", wet rot or dry rot, including the cost of removal of the "fungi", wet rot or dry rot;
 - (b) The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungi", wet rot or dry rot; and
 - (c) The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungi", wet rot or dry rot are present.
- (3) The coverage described under this Limited Coverage is limited to \$15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungi", wet rot or dry rot, we will not pay more than the total of \$15,000 even if the "fungi", wet rot or dry rot continues to be present or active, or recurs, in a later policy period.

- (4) The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungi", wet rot or dry rot, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungi", wet rot or dry rot, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungi", wet rot or dry rot causes an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

- (5) The terms of this Limited Coverage do not increase or reduce the coverage provided under the Water Damage, Other Liquids, Powder Or Molten Material Damage or Collapse Additional Coverages.
- (6) The following applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the suspension of "operations" satisfies all the terms and conditions of the applicable Business Income and/or Extra Expense Additional Coverage.
- (a) If the loss which resulted in "fungi", wet rot or dry rot does not in itself necessitate a suspension of "operations", but such suspension is necessary due to loss or damage to property caused by "fungi", wet rot or dry rot, then our payment under the Business Income and/or Extra Expense is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.
 - (b) If a covered suspension of "operations" was caused by loss or damage other than "fungi", wet rot or dry rot, but remediation of "fungi", wet rot or dry rot prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

6. Coverage Extensions

In addition to the Limits of Insurance of Section I – Property, you may extend the insurance provided by this policy as provided below.

Except as otherwise provided, the following Extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises.

a. Newly Acquired Or Constructed Property

(1) Buildings

If this policy covers Buildings, you may extend that insurance to apply to:

- (a) Your new buildings while being built on the described premises; and
- (b) Buildings you acquire at premises other than the one described, intended for:
 - (i) Similar use as the building described in the Declarations; or
 - (ii) Use as a warehouse.

The most we will pay for loss or damage under this Extension is \$250,000 at each building.

(2) Business Personal Property

If this policy covers Business Personal Property, you may extend that insurance to apply to:

- (a) Business Personal Property, including such property that you newly acquire, at any location you acquire;
- (b) Business Personal Property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations; or
- (c) Business Personal Property that you newly acquire, located at the described premises.

This Extension does not apply to personal property that you temporarily acquire in the course of installing or performing work on such property or your wholesale activities.

The most we will pay for loss or damage under this Extension is \$100,000 at each building.

(3) Period Of Coverage

With respect to insurance on or at each newly acquired or constructed property, coverage will end when any of the following first occurs:

- (a) This policy expires;
- (b) 30 days expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or
- (c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

b. Personal Property Off-premises

You may extend the insurance provided by this policy to apply to your Covered Property, other than "money" and "securities", "valuable papers and records" or accounts receivable, while it is in the course of transit or at a premises you do not own, lease or operate. The most we will pay for loss or damage under this Extension is \$10,000.

c. Outdoor Property

You may extend the insurance provided by this policy to apply to your outdoor fences, radio and television antennas (including satellite dishes), signs (other than signs attached to buildings), trees, shrubs and plants, including debris removal expense. Loss or damage must be caused by or result from any of the following causes of loss:

- (1) Fire;
- (2) Lightning;
- (3) Explosion;
- (4) Riot or Civil Commotion; or
- (5) Aircraft.

The most we will pay for loss or damage under this Extension is \$2,500, unless a higher Limit of Insurance for Outdoor Property is shown in the Declarations, but not more than \$1,000 for any one tree, shrub or plant.

d. Personal Effects

You may extend the insurance that applies to Business Personal Property to apply to personal effects owned by you, your officers, your partners or "members", your "managers" or your employees. This extension does not apply to:

- (1) Tools or equipment used in your business; or
- (2) Loss or damage by theft.

The most we will pay for loss or damage under this Extension is \$2,500 at each described premises.

e. Valuable Papers And Records

- (1) You may extend the insurance that applies to Business Personal Property to apply to direct physical loss or damage to "valuable papers and records" that you own, or that are in your care, custody or control caused by or resulting from a Covered Cause of Loss. This Coverage Extension includes the cost to research, replace or restore the lost information on "valuable papers and records" for which duplicates do not exist.

- (2) This Coverage Extension does not apply to:

- (a) Property held as samples or for delivery after sale; and
- (b) Property in storage away from the premises shown in the Declarations.

- (3) The most we will pay under this Coverage Extension for loss or damage to "valuable papers and records" in any one occurrence at the described premises is \$10,000, unless a higher Limit of Insurance for "valuable papers and records" is shown in the Declarations.

For "valuable papers and records" not at the described premises, the most we will pay is \$5,000.

- (4) Loss or damage to "valuable papers and records" will be valued at the cost of restoration or replacement of the lost or damaged information. To the extent that the contents of the "valuable papers and records" are not restored, the "valuable papers and records" will be valued at the cost of replacement with blank materials of substantially identical type.

- (5) Paragraph **B.** Exclusions in Section **I** – Property does not apply to this Coverage Extension except for:

- (a) Paragraph **B.1.c.**, Governmental Action;

- (b) Paragraph **B.1.d.**, Nuclear Hazard;
- (c) Paragraph **B.1.f.**, War And Military Action;
- (d) Paragraph **B.2.f.**, Dishonesty;
- (e) Paragraph **B.2.g.**, False Pretense;
- (f) Paragraph **B.2.m.(2)**, Errors Or Omissions; and
- (g) Paragraph **B.3.**

f. Accounts Receivable

- (1) You may extend the insurance that applies to Business Personal Property to apply to accounts receivable. We will pay:

- (a) All amounts due from your customers that you are unable to collect;
- (b) Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;
- (c) Collection expenses in excess of your normal collection expenses that are made necessary by loss or damage; and
- (d) Other reasonable expenses that you incur to reestablish your records of accounts receivable;

that result from direct physical loss or damage by any Covered Cause of Loss to your records of accounts receivable.

- (2) The most we will pay under this Coverage Extension for loss or damage in any one occurrence at the described premises is \$10,000, unless a higher Limit of Insurance for accounts receivable is shown in the Declarations.

For accounts receivable not at the described premises, the most we will pay is \$5,000.

- (3) Paragraph **B.** Exclusions in Section **I** – Property does not apply to this Coverage Extension except for:

- (a) Paragraph **B.1.c.**, Governmental Action;
- (b) Paragraph **B.1.d.**, Nuclear Hazard;
- (c) Paragraph **B.1.f.**, War And Military Action;
- (d) Paragraph **B.2.f.**, Dishonesty;
- (e) Paragraph **B.2.g.**, False Pretense;
- (f) Paragraph **B.3.**; and
- (g) Paragraph **B.6.**, Accounts Receivable Exclusion.

B. Exclusions

1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

a. Ordinance Or Law

- (1) The enforcement of any ordinance or law:
 - (a) Regulating the construction, use or repair of any property; or
 - (b) Requiring the tearing down of any property, including the cost of removing its debris.
- (2) This exclusion, Ordinance Or Law, applies whether the loss results from:
 - (a) An ordinance or law that is enforced even if the property has not been damaged; or
 - (b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property or removal of its debris, following a physical loss to that property.

b. Earth Movement

- (1) Earthquake, including any earth sinking, rising or shifting related to such event;
- (2) Landslide, including any earth sinking, rising or shifting related to such event;
- (3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
- (4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in Paragraphs (1) through (4) above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

- (5) Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire, building glass breakage or volcanic action, we will pay for the loss or damage caused by that fire, building glass breakage or volcanic action.

Volcanic action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- (a) Airborne volcanic blast or airborne shock waves;
- (b) Ash, dust or particulate matter; or
- (c) Lava flow.

All volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss of or damage to Covered Property.

c. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this policy.

d. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

e. GRANITE ROW

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

- (1) Originates away from the described premises; or
- (2) Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

This exclusion does not apply to loss or damage to "computer(s)" and "electronic data".

f. War And Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Water

- (1) Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);
- (2) Mudslide or mudflow;
- (3) Water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;
- (4) Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
- (5) Waterborne material carried or otherwise moved by any of the water referred to in Paragraph (1), (3) or (4), or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs (1) through (5), is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs (1) through (5), results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage.

h. Certain Computer-related Losses

- (1) The failure, malfunction or inadequacy of:
 - (a) Any of the following, whether belonging to any insured or to others:
 - (i) "Computer" hardware, including microprocessors or other electronic data processing equipment as may be described elsewhere in this policy;
 - (ii) "Computer" application software or other "electronic data" as may be described elsewhere in this policy;
 - (iii) "Computer" operating systems and related software;
 - (iv) "Computer" networks;
 - (v) Microprocessors ("computer" chips) not part of any "computer" system; or
 - (vi) Any other computerized or electronic equipment or components; or
 - (b) Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph (a) above;

due to the inability to correctly recognize, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.

- (2) Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph (1) above.

However, if excluded loss or damage, as described in Paragraph (1) above results in a "specified cause of loss" under Section I – Property, we will pay only for the loss or damage caused by such "specified cause of loss".

We will not pay for repair, replacement or modification of any items in Paragraph (1)(a) or (1)(b) to correct any deficiencies or change any features.

i. "Fungi", Wet Rot Or Dry Rot

Presence, growth, proliferation, spread or any activity of "fungi", wet rot or dry rot.

But if "fungi", wet rot or dry rot result in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion does not apply:

- (1) When "fungi", wet rot or dry rot result from fire or lightning; or
- (2) To the extent that coverage is provided in the Limited Coverage For "Fungi", Wet Rot Or Dry Rot Additional Coverage, with respect to loss or damage by a cause of loss other than fire or lightning.

j. Virus Or Bacteria

- (1) Any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease.
- (2) However, the exclusion in Paragraph (1) does not apply to loss or damage caused by or resulting from "fungi", wet rot or dry rot. Such loss or damage is addressed in Exclusion i.;
- (3) With respect to any loss or damage subject to the exclusion in Paragraph (1), such exclusion supersedes any exclusion relating to "pollutants".

2. We will not pay for loss or damage caused by or resulting from any of the following:

a. Electrical Apparatus

Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- (1) Electrical current, including arcing;
- (2) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (3) Pulse of electromagnetic energy; or
- (4) Electromagnetic waves or microwaves.

But if fire results, we will pay for the loss or damage caused by fire.

We will pay for loss or damage to "computer(s)" due to artificially generated electrical, magnetic or electromagnetic energy if such loss or damage is caused by or results from:

- (1) An occurrence that took place within 100 feet of the described premises; or
- (2) Interruption of electric power supply, power surge, blackout or brownout if the cause of such occurrence took place within 100 feet of the described premises.

b. Consequential Losses

Delay, loss of use or loss of market.

c. Smoke, Vapor, Gas

Smoke, vapor or gas from agricultural smudging or industrial operations.

d. Steam Apparatus

Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion. We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

e. Frozen Plumbing

Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:

- (1) You do your best to maintain heat in the building or structure; or
- (2) You drain the equipment and shut off the supply if the heat is not maintained.

f. Dishonesty

Dishonest or criminal acts by you, anyone else with an interest in the property, or any of your or their partners, "members", officers, "managers", employees, directors, trustees, authorized representatives or anyone to whom you entrust the property for any purpose:

- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.

This exclusion does not apply to acts of destruction by your employees; but theft by employees is not covered.

With respect to accounts receivable and "valuable papers and records", this exclusion does not apply to carriers for hire.

This exclusion does not apply to coverage that is provided under the Employee Dishonesty Optional Coverage.

g. False Pretense

Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

h. Exposed Property

Rain, snow, ice or sleet to personal property in the open.

i. Collapse

- (1) Collapse, including any of the following conditions of property or any part of the property:

- (a) An abrupt falling down or caving in;
- (b) Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or
- (c) Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to Paragraph i.(1)(a) or i.(1)(b).

But if collapse results in a Covered Cause of Loss at the described premises, we will pay for the loss or damage caused by that Covered Cause of Loss.

- (2) This Exclusion i., does not apply:
 - (a) To the extent that coverage is provided under the Additional Coverage – Collapse; or

- (b) To collapse caused by one or more of the following:

- (i) The "specified causes of loss";
- (ii) Breakage of building glass;
- (iii) Weight of rain that collects on a roof; or
- (iv) Weight of people or personal property.

j. Pollution

We will not pay for loss or damage caused by or resulting from the discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss". But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

k. Neglect

Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.

l. Other Types Of Loss

- (1) Wear and tear;
- (2) Rust or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;
- (3) Smog;
- (4) Settling, cracking, shrinking or expansion;
- (5) Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals;
- (6) Mechanical breakdown, including rupture or bursting caused by centrifugal force.

This exclusion does not apply with respect to the breakdown of "computer(s)";
- (7) The following causes of loss to personal property:
 - (a) Dampness or dryness of atmosphere;
 - (b) Changes in or extremes of temperature; or
 - (c) Marring or scratching.

But if an excluded cause of loss that is listed in Paragraphs (1) through (7) above results in a "specified cause of loss" or building glass breakage, we will pay for the loss or damage caused by that "specified cause of loss" or building glass breakage.

m. Errors Or Omissions

Errors or omissions in:

- (1) Programming, processing or storing data, as described under "electronic data" or in any "computer" operations; or
- (2) Processing or copying "valuable papers and records".

However, we will pay for direct physical loss or damage caused by resulting fire or explosion if these causes of loss would be covered by this coverage form.

n. Installation, Testing, Repair

Errors or deficiency in design, installation, testing, maintenance, modification or repair of your "computer" system including "electronic data".

However, we will pay for direct physical loss or damage caused by resulting fire or explosion if these causes of loss would be covered by this coverage form.

o. Electrical Disturbance

Electrical or magnetic injury, disturbance or erasure of "electronic data", except as provided for under the Additional Coverages of Section I – Property.

However, we will pay for direct loss or damage caused by lightning.

p. Continuous Or Repeated Seepage Or Leakage Of Water

Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.

3. We will not pay for loss or damage caused by or resulting from any of the following Paragraphs a. through c. But if an excluded cause of loss that is listed in Paragraphs a. through c. results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

a. Weather Conditions

Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph B.1. above to produce the loss or damage.

b. Acts Or Decisions

Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.

c. Negligent Work

Faulty, inadequate or defective:

- (1) Planning, zoning, development, surveying, siting;
- (2) Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;
- (3) Materials used in repair, construction, renovation or remodeling; or
- (4) Maintenance;
of part or all of any property on or off the described premises.

4. Additional Exclusion

The following applies only to the property specified in this Additional Exclusion.

Loss Or Damage To Products

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

5. Business Income And Extra Expense Exclusions

a. We will not pay for:

- (1) Any Extra Expense, or increase of Business Income loss, caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location zy sek cotsyjmgxe, aectvd or replacement by strikers or other persons; or

- (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage.

(2) Any other consequential loss.

- b. With respect to this exclusion, suspension means:

- (1) The partial slowdown or complete cessation of your business activities; and
- (2) That a part or all of the described premises is rendered untenable, if coverage for Business Income applies.

6. Accounts Receivable Exclusion

The following additional exclusion applies to the Accounts Receivable Coverage Extension:

We will not pay for:

- a. Loss or damage caused by or resulting from alteration, falsification, concealment or destruction of records of accounts receivable done to conceal the wrongful giving, taking or withholding of "money", "securities" or other property.
This exclusion applies only to the extent of the wrongful giving, taking or withholding.
- b. Loss or damage caused by or resulting from bookkeeping, accounting or billing errors or omissions.
- c. Any loss or damage that requires any audit of records or any inventory computation to prove its factual existence.

C. Limits Of Insurance

1. The most we will pay for loss or damage in any one occurrence is the applicable Limits of Insurance of Section I – Property shown in the Declarations.
2. The most we will pay for loss of or damage to outdoor signs attached to buildings is \$1,000 per sign in any one occurrence.
3. The amounts of insurance applicable to the Coverage Extensions and the following Additional Coverages apply in accordance with the terms of such coverages and are in addition to the Limits of Insurance of Section I – Property:
 - a. Fire Department Service Charge;
 - b. Pollutant Clean-up And Removal;
 - c. Increased Cost Of Construction;

- d. Business Income From Dependent Properties;
- e. Electronic Data; and
- f. Interruption Of Computer Operations.

4. Building Limit – Automatic Increase

- a. In accordance with Paragraph C.4.b., the Limit of Insurance for Buildings will automatically increase by 8%, unless a different percentage of annual increase is shown in the Declarations.
- b. The amount of increase is calculated as follows:
 - (1) Multiply the Building limit that applied on the most recent of the policy inception date, the policy anniversary date, or any other policy change amending the Building limit by:
 - (a) The percentage of annual increase shown in the Declarations, expressed as a decimal (example: 7% is .07); or
 - (b) .08, if no percentage of annual increase is shown in the Declarations; and
 - (2) Multiply the number calculated in accordance with b.(1) by the number of days since the beginning of the current policy year, or the effective date of the most recent policy change amending the Building limit, divided by 365.

Example:

If:

The applicable Building limit is \$100,000. The annual percentage increase is 8%. The number of days since the beginning of the policy year (or last policy change) is 146.

The amount of increase is

$$\$100,000 \times .08 \times 146 \div 365 = \$3,200.$$

5. Business Personal Property Limit – Seasonal Increase

- a. Subject to Paragraph 5.b., the Limit of Insurance for Business Personal Property is automatically increased by:
 - (1) The Business Personal Property – Seasonal Increase percentage shown in the Declarations; or
 - (2) 25% if no Business Personal Property – Seasonal Increase percentage is shown in the Declarations;
 to provide for seasonal variances.

b. The increase described in Paragraph 5.a will apply only if the Limit of Insurance shown for Business Personal Property in the Declarations is at least 100% of your average monthly values during the lesser of:

- (1) The 12 months immediately preceding the date the loss or damage occurs; or
- (2) The period of time you have been in business as of the date the loss or damage occurs.

D. Deductibles

1. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible up to the applicable Limit of Insurance of Section I – Property.
2. Regardless of the amount of the Deductible, the most we will deduct from any loss or damage under all of the following Optional Coverages in any one occurrence is the Optional Coverage Deductible shown in the Declarations:
 - a. Money and Securities;
 - b. Employee Dishonesty;
 - c. Outdoor Signs; and
 - d. Forgery or Alteration.

But this Optional Coverage Deductible will not increase the Deductible shown in the Declarations. This Deductible will be used to satisfy the requirements of the Deductible in the Declarations.

3. No deductible applies to the following Additional Coverages:
 - a. Fire Department Service Charge;
 - b. Business Income;
 - c. Extra Expense;
 - d. Civil Authority; and
 - e. Fire Extinguisher Systems Recharge Expense.

E. Property Loss Conditions

1. Abandonment

There can be no abandonment of any property to us.

2. Appraisal

If we and you disagree on the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

3. Duties In The Event Of Loss Or Damage

- a. You must see that the following are done in the event of loss or damage to Covered Property:
 - (1) Notify the police if a law may have been broken.
 - (2) Give us prompt notice of the loss or damage. Include a description of the property involved.
 - (3) As soon as possible, give us a description of how, when and where the loss or damage occurred.
 - (4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limits of Insurance of Section I – Property. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.
 - (5) At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.
 - (6) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

- (7) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
- (8) Cooperate with us in the investigation or settlement of the claim.
- (9) Resume all or part of your "operations" as quickly as possible.
- b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's answers must be signed.

4. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

- a. There has been full compliance with all of the terms of this insurance; and
- b. The action is brought within two years after the date on which the direct physical loss or damage occurred.

5. Loss Payment

In the event of loss or damage covered by this policy:

- a. At our option, we will either:
 - (1) Pay the value of lost or damaged property;
 - (2) Pay the cost of repairing or replacing the lost or damaged property;
 - (3) Take all or any part of the property at an agreed or appraised value; or
 - (4) Repair, rebuild or replace the property with other property of like kind and quality, subject to Paragraph d.(1)(e) below.
- b. We will give notice of our intentions within 30 days after we receive the sworn proof of loss.
- c. We will not pay you more than your financial interest in the Covered Property.

d. Except as provided in Paragraphs (2) through (7) below, we will determine the value of Covered Property as follows:

- (1) At replacement cost without deduction for depreciation, subject to the following:
 - (a) If, at the time of loss, the Limit of Insurance on the lost or damaged property is 80% or more of the full replacement cost of the property immediately before the loss, we will pay the cost to repair or replace, after application of the deductible and without deduction for depreciation, but not more than the least of the following amounts:
 - (i) The Limit of Insurance under Section I – Property that applies to the lost or damaged property;
 - (ii) The cost to replace, on the same premises, the lost or damaged property with other property:
 - i. Of comparable material and quality; and
 - ii. Used for the same purpose; or
 - (iii) The amount that you actually spend that is necessary to repair or replace the lost or damaged property.

If a building is rebuilt at a new premises, the cost is limited to the cost which would have been incurred had the building been built at the original premises.

- (b) If, at the time of loss, the Limit of Insurance applicable to the lost or damaged property is less than 80% of the full replacement cost of the property immediately before the loss, we will pay the greater of the following amounts, but not more than the Limit of Insurance that applies to the property:
 - (i) The actual cash value of the lost or damaged property; or
 - (ii) A proportion of the cost to repair or replace the lost or damaged property, after application of the deductible and without deduction for depreciation. This proportion will equal the ratio of the applicable Limit of Insurance to 80% of the cost of repair or replacement.

- (c) You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim on a replacement cost basis if you notify us of your intent to do so within 180 days after the loss or damage.
 - (d) We will not pay on a replacement cost basis for any loss or damage:
 - (i) Until the lost or damaged property is actually repaired or replaced; and
 - (ii) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage.

However, if the cost to repair or replace the damaged building property is \$2,500 or less, we will settle the loss according to the provisions of Paragraphs **d.(1)(a)** and **d.(1)(b)** above whether or not the actual repair or replacement is complete.
 - (e) The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of any ordinance or law regulating the construction, use or repair of any property.
- (2) If the Actual Cash Value – Buildings option applies, as shown in the Declarations, Paragraph **(1)** above does not apply to Buildings. Instead, we will determine the value of Buildings at actual cash value.
- (3) The following property at actual cash value:
- (a) Used or secondhand merchandise held in storage or for sale;
 - (b) Property of others. However, if an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance;
 - (c) Household contents, except personal property in apartments or rooms furnished by you as landlord;
 - (d) Manuscripts; and
 - (e) Works of art, antiques or rare articles, including etchings, pictures, statuary, marble, bronzes, porcelain and bric-a-brac.
- (4) Glass at the cost of replacement with safety glazing material if required by law.
- (5) Tenants' Improvements and Betterments at:
- (a) Replacement cost if you make repairs promptly.
 - (b) A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:
 - (i) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (ii) Divide the amount determined in (i) above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.
 - (c) Nothing if others pay for repairs or replacement.
- (6) Applicable only to the Optional Coverages:
- (a) "Money" at its face value; and
 - (b) "Securities" at their value at the close of business on the day the loss is discovered.
- (7) Applicable only to Accounts Receivable:
- (a) If you cannot accurately establish the amount of accounts receivable outstanding as of the time of loss or damage:
 - (i) We will determine the total of the average monthly amounts of accounts receivable for the 12 months immediately preceding the month in which the loss or damage occurs; and

- (ii) We will adjust that total for any normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.
- (b) The following will be deducted from the total amount of accounts receivable, however that amount is established:
 - (i) The amount of the accounts for which there is no loss or damage;
 - (ii) The amount of the accounts that you are able to reestablish or collect;
 - (iii) An amount to allow for probable bad debts that you are normally unable to collect; and
 - (iv) All unearned interest and service charges.
- e. Our payment for loss of or damage to personal property of others will only be for the account of the owners of the property. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the Covered Property.
- f. We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.
- g. We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, provided you have complied with all of the terms of this policy; and
 - (1) We have reached agreement with you on the amount of loss; or
 - (2) An appraisal award has been made.

- h. A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer Of Rights Of Recovery Against Others To Us Condition in this policy.

6. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, you may retain the property. But then you must return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limits of Insurance of Section I – Property.

7. Resumption Of Operations

We will reduce the amount of your:

- a. Business Income loss, other than Extra Expense, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.
- b. Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.

8. Vacancy

a. Description Of Terms

(1) As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in Paragraphs (a) and (b) below:

(a) When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.

(b) When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

(i) Rented to a lessee or sublessee and used by the lessee or sublessee to conduct its customary operations; and/or

(ii) Used by the EDWARD JESSUP to conduct customary operations.

(2) Buildings under construction or renovation are not considered vacant.

b. Vacancy Provisions

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

(1) We will not pay for any loss or damage caused by any of the following even if they are Covered Causes of Loss:

(a) Vandalism;

(b) Sprinkler leakage, unless you have protected the system against freezing;

(c) Building glass breakage;

(d) Water damage;

(e) Theft; or

(f) Attempted theft.

(2) With respect to Covered Causes of Loss other than those listed in Paragraphs (1)(a) through (1)(f) above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

F. Property General Conditions

1. Control Of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Form at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

2. Mortgageholders

a. The term "mortgageholder" includes trustee.

b. We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.

c. The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.

d. If we deny your claim because of your acts or because you have failed to comply with the terms of this policy, the mortgageholder will still have the right to receive loss payment if the mortgageholder:

(1) Pays any premium due under this policy at our request if you have failed to do so;

(2) Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

(3) Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this policy will then apply directly to the mortgageholder.

e. If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this policy:

(1) The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

(2) The mortgageholder's right to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

- f. If we cancel this policy, we will give written notice to the mortgageholder at least:
 - (1) 10 days before the effective date of cancellation if we cancel for your non-payment of premium; or
 - (2) 30 days before the effective date of cancellation if we cancel for any other reason.
- g. If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

3. No Benefit To Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

4. Policy Period, Coverage Territory

Under Section I – Property:

- a. We cover loss or damage commencing:
 - (1) During the policy period shown in the Declarations; and
 - (2) Within the coverage territory or, with respect to property in transit, while it is between points in the coverage territory.
- b. The coverage territory is:
 - (1) The United States of America (including its territories and possessions);
 - (2) Puerto Rico; and
 - (3) Canada.

G. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages also apply. These coverages are subject to the terms and conditions applicable to property coverage in this policy, except as provided below.

1. Outdoor Signs

- a. We will pay for direct physical loss of or damage to all outdoor signs at the described premises:
 - (1) Owned by you; or
 - (2) Owned by others but in your care, custody or control.

- b. Paragraph **A.3.**, Covered Causes Of Loss, and Paragraph **B.**, Exclusions in Section **I – Property**, do not apply to this Optional Coverage, except for:

- (1) Paragraph **B.1.c.**, Governmental Action;
- (2) Paragraph **B.1.d.**, Nuclear Hazard; and
- (3) Paragraph **B.1.f.**, War And Military Action.

- c. We will not pay for loss or damage caused by or resulting from:

- (1) Wear and tear;
- (2) Hidden or latent defect;
- (3) Rust;
- (4) Corrosion; or
- (5) Mechanical breakdown.

- d. The most we will pay for loss or damage in any one occurrence is the Limit of Insurance for Outdoor Signs shown in the Declarations.

- e. The provisions of this Optional Coverage supersede all other references to outdoor signs in this policy.

2. Money And Securities

- a. We will pay for loss of "money" and "securities" used in your business while at a bank or savings institution, within your living quarters or the living quarters of your partners or any employee having use and custody of the property, at the described premises, or in transit between any of these places, resulting directly from:

- (1) Theft, meaning any act of stealing;
- (2) Disappearance; or
- (3) Destruction.

- b. In addition to the Limitations and Exclusions applicable to Section **I – Property**, we will not pay for loss:

- (1) Resulting from accounting or arithmetical errors or omissions;
- (2) Due to the giving or surrendering of property in any exchange or purchase; or
- (3) Of property contained in any "money"-operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.

- c. The most we will pay for loss in any one occurrence is:
 - (1) The limit shown in the Declarations for Inside the Premises for "money" and "securities" while:
 - (a) In or on the described premises; or
 - (b) Within a bank or savings institution; and
 - (2) The limit shown in the Declarations for Outside the Premises for "money" and "securities" while anywhere else.
- d. All loss:
 - (1) Caused by one or more persons; or
 - (2) Involving a single act or series of related acts;

is considered one occurrence.
- e. You must keep records of all "money" and "securities" so we can verify the amount of any loss or damage.

3. Employee Dishonesty

- a. We will pay for direct loss of or damage to Business Personal Property and "money" and "securities" resulting from dishonest acts committed by any of your employees acting alone or in collusion with other persons (except you or your partner) with the manifest intent to:
 - (1) Cause you to sustain loss or damage; and also
 - (2) Obtain financial benefit (other than salaries, commissions, fees, bonuses, promotions, awards, profit sharing, pensions or other employee benefits earned in the normal course of employment) for:
 - (a) Any employee; or
 - (b) Any other person or organization.
- b. We will not pay for loss or damage:
 - (1) Resulting from any dishonest or criminal act that you or any of your partners or "members" commit whether acting alone or in collusion with other persons.
 - (2) Resulting from any dishonest act committed by any of your employees (except as provided in Paragraph a.), "managers" or directors:
 - (a) Whether acting alone or in collusion with other persons; or
 - (b) While performing services for you or otherwise.

- (3) The only proof of which as to its existence or amount is:

- (a) An inventory computation; or
- (b) A profit and loss computation.

- c. The most we will pay for loss or damage in any one occurrence is the Limit of Insurance for Employee Dishonesty shown in the Declarations.
- d. All loss or damage:
 - (1) Caused by one or more persons; or
 - (2) Involving a single act or series of acts;

is considered one occurrence.
- e. If any loss is covered:
 - (1) Partly by this insurance; and
 - (2) Partly by any prior cancelled or terminated insurance that we or any affiliate had issued to you or any predecessor in interest;

the most we will pay is the larger of the amount recoverable under this insurance or the prior insurance.

We will pay only for loss or damage you sustain through acts committed or events occurring during the policy period. Regardless of the number of years this policy remains in force or the number of premiums paid, no Limit of Insurance cumulates from year to year or period to period.

- f. This Optional Coverage is cancelled as to any employee immediately upon discovery by:
 - (1) You; or
 - (2) Any of your partners, "members", "managers", officers or directors not in collusion with the employee;

of any dishonest act committed by that employee before or after being hired by you.
- g. We will pay only for covered loss or damage sustained during the policy period and discovered no later than one year from the end of the policy period.
- h. If you (or any predecessor in interest) sustained loss or damage during the policy period of any prior insurance that you could have recovered under that insurance except that the time within which to discover loss or damage had expired, we will pay for it under this Optional Coverage, provided:
 - (1) This Optional Coverage became effective at the time of cancellation or termination of the prior insurance; and

- (2) The loss or damage would have been covered by this Optional Coverage had it been in effect when the acts or events causing the loss or damage were committed or occurred.
- i. The insurance under Paragraph **h.** above is part of, not in addition to, the Limit of Insurance applying to this Optional Coverage and is limited to the lesser of the amount recoverable under:
 - (1) This Optional Coverage as of its effective date; or
 - (2) The prior insurance had it remained in effect.
- j. With respect to the Employee Dishonesty Optional Coverage in Paragraph **G.3.**, employee means:
 - (1) Any natural person:
 - (a) While in your service or for 30 days after termination of service;
 - (b) Who you compensate directly by salary, wages or commissions; and
 - (c) Who you have the right to direct and control while performing services for you;
 - (2) Any natural person who is furnished temporarily to you:
 - (a) To substitute for a permanent employee as defined in Paragraph (1) above, who is on leave; or
 - (b) To meet seasonal or short-term workload conditions;
 - (3) Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary employee as defined in Paragraph (2) above;
 - (4) Any natural person who is a former employee, director, partner, member, manager, representative or trustee retained as a consultant while performing services for you; or
 - (5) Any natural person who is a guest student or intern pursuing studies or duties, excluding, however, any such person while having care and custody of property outside any building you occupy in conducting your business.

But employee does not mean:

- (1) Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character; or
- (2) Any "manager", director or trustee except while performing acts coming within the usual duties of an employee.

4. Equipment Breakdown Protection Coverage

- a. We will pay for direct loss of or damage to Covered Property caused by or resulting from a mechanical breakdown or electrical failure to pressure, mechanical or electrical machinery and equipment.

Mechanical breakdown or electrical failure to pressure, mechanical or electrical machinery and equipment does not mean any:

- (1) Malfunction including but not limited to adjustment, alignment, calibration, cleaning or modification;
- (2) Leakage at any valve, fitting, shaft seal, gland packing, joint or connection;
- (3) Damage to any vacuum tube, gas tube, or brush; or
- (4) The functioning of any safety or protective device.
- b. Paragraphs **A.4.a.(1)** and **A.4.a.(2), Limitations**, do not apply to this Optional Coverage.
- c. With respect to the coverage provided by this Optional Coverage, the following exclusions in Paragraph **B. Exclusions** do not apply:
 - (1) Paragraph **B.2.a. Electrical Apparatus**;
 - (2) Paragraph **B.2.d. Steam Apparatus**; and
 - (3) Paragraph **B.2.i.(6) Mechanical Breakdown**.
- d. With respect to the coverage provided by this Optional Coverage, Paragraph **G.1.c.(5)** of the **Outdoor Sign Optional Coverage** does not apply.
- e. If a dollar deductible is shown in the Declarations for this Optional Coverage, we will first subtract the applicable deductible amount from any loss we would otherwise pay. We will then pay the amount of loss in excess of the applicable deductible up to the applicable limit for this coverage.

If no optional deductible is chosen for this Optional Coverage, the Property Deductible shown in the Declarations applies.

- f. With respect to **Additional Coverages 5.f. Business Income** and **5.g. Extra Expense**, if the 72-hour time period in the definition of "period of restoration" (hereinafter referred to as time deductible) is amended for this Optional Coverage as shown in the Declarations, we will not pay for any Business Income loss that occurs during the consecutive number of hours shown as the time deductible in the Declarations immediately following a mechanical breakdown or electrical failure. If a time deductible is shown in days, each day shall mean 24 consecutive hours.

As respects the coverage provided by this Optional Coverage, any time deductible shown in the Declarations for Equipment Breakdown Protection Coverage supersedes any time deductible otherwise applicable to the Business Income coverage provided by this policy.

- g. With respect to the coverage provided by this Optional Coverage, Paragraph **H. Property Definitions** is amended as follows:

1. "Computer" means:

- a. Programmable electronic equipment that is used to store, retrieve and process data; and
- b. Associated peripheral equipment that provides communication, including input and output functions such as printing and auxiliary functions such as data transmission.

"Computer" includes those used to operate production type machinery or equipment.

- h. Whenever any covered pressure, mechanical or electrical machinery and equipment is found to be in, or exposed to, a dangerous condition, any of our representatives may suspend coverage provided by this Optional Coverage for loss from a mechanical breakdown or electrical failure to that pressure, mechanical or electrical machinery and equipment.

However, coverage provided by this Optional Coverage may be reinstated for loss from a mechanical breakdown or electrical failure to that pressure, mechanical or electrical machinery and equipment if the reasons for the suspension are found by any of our representatives to no longer exist.

We may suspend or reinstate this Optional coverage by mailing or delivering a written notification regarding the suspension or reinstatement to:

- (1) Your last known address; or
- (2) The address where the pressure, mechanical or electrical machinery and equipment is located.

This notification will indicate the effective date of the suspension or reinstatement.

If the coverage provided by this Optional Coverage is not reinstated, you will get a pro rata refund of premium. But the suspension will be effective even if we have not yet made or offered a refund.

H. Property Definitions

1. "Computer" means:

- a. Programmable electronic equipment that is used to store, retrieve and process data; and
- b. Associated peripheral equipment that provides communication, including input and output functions such as printing and auxiliary functions such as data transmission.

"Computer" does not include those used to operate production type machinery or equipment.

2. "Counterfeit money" means an imitation of "money" that is intended to deceive and to be taken as genuine.
3. "Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a "computer" or device connected to it, which enable the "computer" or device to receive, process, store, retrieve or send data.
4. "Fungi" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
5. "Manager" means a person serving in a directorial capacity for a limited liability company.
6. "Member" means an owner of a limited liability company represented by its membership interest, who also may serve as a "manager".

7. "Money" means:
- a. Currency, coins and bank notes in current use and having a face value; and
 - b. Travelers checks, register checks and money orders held for sale to the public.
8. "Operations" means your business activities occurring at the described premises.
9. "Period of restoration":
- a. Means the period of time that:
 - (1) Begins:
 - (a) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or
 - (b) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;
 caused by or resulting from any Covered Cause of Loss at the described premises; and
 - (2) Ends on the earlier of:
 - (a) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (b) The date when business is resumed at a new permanent location.
 - b. Does not include any increased period required due to the enforcement of any ordinance or law that:
 - (1) Regulates the construction, use or repair, or requires the tearing down of any property; or
 - (2) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

10. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
11. "Securities" means negotiable and non-negotiable instruments or contracts representing either "money" or other property and includes:
- a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and

- b. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you;
- but does not include "money".

12. "Specified causes of loss" means the following:

Fire; lightning; explosion; windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.

- a. Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:

- (1) The cost of filling sinkholes; or
- (2) Sinking or collapse of land into man-made underground cavities.

- b. Falling objects does not include loss of or damage to:

- (1) Personal property in the open; or
- (2) The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.

- c. Water damage means accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of any part of a system or appliance (other than a sump system including its related equipment and parts) containing water or steam.

13. "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.

14. "Valuable papers and records" means inscribed, printed or written:

- a. Documents;
 - b. Manuscripts; and
 - c. Records;
- including abstracts, books, deeds, drawings, films, maps or mortgages.

But "valuable papers and records" does not mean "money" or "securities".

SECTION II – LIABILITY

A. Coverages

1. Business Liability

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured

damages. However, we will have no duty to defend the insured

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ing damages for "bodily injury", "property damage" or "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" or any offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Paragraph **D.** – Liability And Medical Expenses Limits Of Insurance in Section II – Liability; and
- (2) Our right and duty to defend end when we have used up the applicable Limit of Insurance in the payment of judgments or settlements or medical expenses.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Paragraph **f.** Coverage Extension – Supplementary Payments.

- b. This insurance applies:

- (1) To "bodily injury" and "property damage" only if:
 - (a) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";
 - (b) The "bodily injury" or "property damage" occurs during the policy period; and

- (c) Prior to the policy period, no insured listed under Paragraph **C.1. Who Is An Insured**

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thorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known before the policy period.

- (2) To "personal and advertising injury" caused by an offense arising out of your business, but only if the offense was committed in the "coverage territory" during the policy period.
- c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph **C.1. Who Is An Insured** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of "bodily injury" or "property damage" after the end of the policy period.
- d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph **C.1. Who Is An Insured** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:
 - (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
 - (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or
 - (3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

- e. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

f. Coverage Extension – Supplementary Payments

- (1) We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

- (a) All expenses we incur.
- (b) Up to \$250 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which Business Liability Coverage for "bodily injury" applies. We do not have to furnish these bonds.
- (c) The cost of bonds to release attachments, but only for bond amounts within our Limit of Insurance. We do not have to furnish these bonds.
- (d) All reasonable expenses incurred by the insured STONEPATH ENTERPRISES us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$250 a day because of time off from work.
- (e) All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.

STONEPATH interest awarded against the insured the judgment we pay. If we make an offer to pay the Limit of Insurance, we will not pay any prejudgment interest based on that period of time after the offer.

- (g) All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within our Limit of Insurance.

These payments will not reduce the limit of liability.

- (2) If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:

- (a) The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";
- (b) This insurance applies to such liability assumed by the insured;
- (c) The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";
- (d) The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;
- (e) The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured RIDGEWAY HOLDINGS
- (f) The indemnitee:
 - (i) Agrees in writing to:
 - i. Cooperate with us in the investigation, settlement or defense of the "suit";
 - ii. Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";
 - iii. Notify any other insurer whose coverage is available to the indemnitee; and
 - iv. Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and
 - (ii) Provides us with written authorization to:
 - i. Obtain records and other information related to the "suit"; and
 - ii. Conduct and control the defense of the indemnitee in such "suit".

- (3) So long as the conditions in Paragraph (2) are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph B.1.b.(2) Exclusions in Section II – Liability, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the Limits of Insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when:

- (a) We have used up the applicable Limit of Insurance in the payment of judgments or settlements; or
- (b) The conditions set forth above, or the terms of the agreement described in Paragraph (2)(f) above are no longer met.

2. Medical Expenses

- a. We will pay medical expenses as described below for "bodily injury" caused by an accident:
 - (1) On premises you own or rent;
 - (2) On ways next to premises you own or rent; or
 - (3) Because of your operations; provided that:
 - (a) The accident takes place in the "coverage territory" and during the policy period;
 - (b) The expenses are incurred and reported to us within one year of the date of the accident; and
 - (c) The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.
- b. We will make these payments regardless of fault. These payments will not exceed the Limits of Insurance of Section II – Liability. We will pay reasonable expenses for:
 - (1) First aid administered at the time of an accident;
 - (2) Necessary medical, surgical, x-ray and dental services, including prosthetic devices; and

- (3) Necessary ambulance, hospital, professional nursing and funeral services.

B. Exclusions

1. Applicable To Business Liability Coverage

This insurance does not apply to:

a. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. NORTHVALE FABRICATION to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Contractual Liability

"Bodily injury" or "property damage" for which the insured STONEPATH MECHANICAL agrees by reason of the assumption of liability in a contract or agreement. NORTHVALE FABRICATION to liability for damages:

- (1) That the insured would have in the absence of the contract or agreement; or
- (2) Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorney fees and necessary litigation expenses incurred by or for a party other than an insured FAIRMOUNT INDUSTRIES cause of "bodily injury" or "property damage", provided:
 - (a) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and
 - (b) Such attorney fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
- (a) Employment by the insured^{BLUE}
 - (b) Performing duties related to the conduct of the insured's business^{BLUE}
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph (1) above.

This exclusion applies:

- (1) Whether the insured may be liable as an employer or in any other capacity; and
- (2) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. Pollution

- (1) "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

- (a) At or from any premises, site or location^{Liberty} owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:

- (i) "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;

- (ii) "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured^{ASHCROFT} your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured^{BLUE}

- (iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";

(b) At or from any premises, site or location ^{Liberty} used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;

(c) Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:

(i) Any insured; or

(ii) Any person or organization for whom you may be legally responsible; or

(d) At or from any premises, site or location ^{Liberty}

contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured TALLGRASS LOGISTICS

contractor. However, this subparagraph does not apply to:

(i) "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured TALLGRASS LOGISTICS contractor;

(ii) "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or

(iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire".

(e) At or from any premises, site or location ^{Liberty}

contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".

(2) Any loss, cost or expense arising out of any:

(a) Request, demand, order or statutory or regulatory requirement that any insured

clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

(b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement or such claim or "suit" by or on behalf of a governmental authority.

g. Aircraft, Auto Or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

- (1) A watercraft while ashore on premises you own or rent;
- (2) A watercraft you do not own that is:
 - (a) Less than 51 feet long; and
 - (b) Not being used to carry persons or property for a charge;
- (3) Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;
- (4) Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or
- (5) "Bodily injury" or "property damage" arising out of:
 - (a) The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged; or
 - (b) The operation of any of the following machinery or equipment:
 - (i) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and
 - (ii) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

h. Mobile Equipment

"Bodily injury" or "property damage" arising out of:

- (1) The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or

- (2) The use of "mobile equipment" in, or while in practice for, or while being prepared for, any prearranged racing, speed, demolition or stunting activity.

i. War

"Bodily injury", "property damage" or "personal and advertising injury", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by government authority in hindering or defending against any of these.

j. Professional Services

"Bodily injury", "property damage" or "personal and advertising injury" caused by the rendering or failure to render any professional service. This includes but is not limited to:

- (1) Legal, accounting or advertising services;
- (2) Preparing, approving, or failing to prepare or approve maps, drawings, opinions, reports, surveys, change orders, designs or specifications;
- (3) Supervisory, inspection or engineering services;
- (4) Medical, surgical, dental, x-ray or nursing services treatment, advice or instruction;
- (5) Any health or therapeutic service treatment, advice or instruction;
- (6) Any service, treatment, advice or instruction for the purpose of appearance or skin enhancement, hair removal or replacement or personal grooming;
- (7) Optometry or optical or hearing aid services including the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products or hearing aid devices;
- (8) Body piercing services; and
- (9) Services in the practice of pharmacy.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "occurrence" which caused the "bodily injury" or "property damage", or the offense which caused the "personal and advertising injury", involved the rendering or failure to render of any professional service.

k. Damage To Property

"Property damage" to:

- (1) Property you own, rent or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you;
- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractor or subcontractor working directly or indirectly on your behalf is performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate Limit of Insurance applies to Damage To Premises Rented To You as described in Paragraph D. Liability And Medical Expenses Limit Of Insurance in Section II – Liability.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

l. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

m. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

n. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

- (1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- (2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

o. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) "Your product";
- (2) "Your work"; or
- (3) "Impaired property";

if such product, work or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

p. Personal And Advertising Injury

"Personal and advertising injury":

- (1) Caused by or at the direction of the insured HARBOR POINT INDUSTRIES would violate the rights of another and would inflict "personal and advertising injury";

- (2) Arising out of oral or written publication of material, if done by or at the direction of the insured CLEARWATER LOGISTICS sity;
- (3) Arising out of oral or written publication of material whose first publication took place before the beginning of the policy period;
- (4) For which the insured has assumed liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement;
- (5) Arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement";
- (6) Arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement";
- (7) Arising out of the wrong description of the price of goods, products or services stated in your "advertisement";
- (8) Committed by an insured whose business is:
 - (a) Advertising, broadcasting, publishing or telecasting;
 - (b) Designing or determining content of websites for others; or
 - (c) An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a.**, **b.** and **c.** of "personal and advertising injury" under Paragraph **F. Liability And Medical Expenses Definitions.**

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, by itself, is not considered the business of advertising, broadcasting, publishing or telecasting.

- (9) Arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time;

- (10) With respect to any loss, cost or expense arising out of any:
 - (a) Request, demand or order that any insured clean-up, remove, contain, treat, detoxify or neutralize or in any way respond to, or assess the effects of, "pollutants"; or
 - (b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing or in any way responding to, or assessing the effects of, "pollutants".
- (11) Arising out of an electronic chatroom or bulletin board the insured hosts, owns or over which the insured exercises control;
- (12) Arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".
However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan.
- (13) Arising out of the unauthorized use of another's name or product in your e-mail address, vabsvr mppc sq xfkadkhd, dv any other similar tactics to mislead another's potential customers.

q. Electronic Data

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

As used in this exclusion, electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

r. Criminal Acts

"Personal and advertising injury" arising out of a criminal act committed by or at the direction of the insured.

s. Recording And Distribution Of Material Or Information In Violation Of Law

"Bodily injury", "property damage", or "personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transaction Act (FACTA); or
- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Exclusions **c., d., e., f., g., h., i., k., l., m., n.** and **o.** in Section II – Liability do not apply to damage by fire to premises while rented to you, or temporarily occupied by you with permission of the owner. A separate Damage To Premises Rented To You Limit of Insurance applies to this coverage as described in Paragraph **D.** Liability And Medical Expenses Limits of Insurance in Section II – Liability.

2. Applicable To Medical Expenses Coverage

We will not pay expenses for "bodily injury":

- a. To any insured, except "volunteer workers".
- b. To a person hired to do work for or on behalf of any insured or a tenant of any insured.
- c. To a person injured on that part of premises you own or rent that the person normally occupies.
- d. To a person, whether or not an "employee" of any insured^{TALLGRASS SERVICE GROUP} "jury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

e. To a person injured while practicing, instructing or participating in any physical exercises or games, sports or athletic contests.

f. Included within the "products-completed operations hazard".

g. Excluded under Business Liability Coverage.

3. Applicable To Both Business Liability Coverage And Medical Expenses Coverage – Nuclear Energy Liability Exclusion

This insurance does not apply:

a. Under Business Liability Coverage, to "bodily injury" or "property damage":

(1) With respect to which an insured under the policy is also an insured under a nuclear energy liability policy issued by the Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or

(2) Resulting from the "hazardous properties" of "nuclear material" and with respect to which:

(a) Any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof; or

(b) The insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

b. Under Medical Expenses Coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.

c. Under Business Liability Coverage, to "bodily injury" or "property damage" resulting from the "hazardous properties" of the "nuclear material"; if:

(1) The "nuclear material":

(a) Is at any "nuclear facility" owned by, or operated by or on behalf of, an insured; or

- (b) Has been discharged or dispersed therefrom;
 - (2) The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or
 - (3) The "bodily injury" or "property damage" arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility"; but if such facility is located within the United States of America, its territories or possessions or Canada, this Exclusion (3) applies only to "property damage" to such "nuclear facility" and any property thereat.
- d. As used in this exclusion:
- (1) "By-product material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;
 - (2) "Hazardous properties" include radioactive, toxic or explosive properties;
 - (3) "Nuclear facility" means:
 - (a) Any "nuclear reactor";
 - (b) Any equipment or device designed or used for:
 - (i) Separating the isotopes of uranium or plutonium;
 - (ii) Processing or utilizing "spent fuel"; or
 - (iii) Handling, processing or packaging "waste";
 - (c) Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;
 - (d) Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";
- and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations;

- (4) "Nuclear material" means "source material", "special nuclear material" or "by-product material";
- (5) "Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material;
- (6) "Property damage" includes all forms of radioactive contamination of property;
- (7) "Source material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;
- (8) "Special nuclear material" has the meaning given it in the Atomic Energy Act of 1954 or in any law amendatory thereof;
- (9) "Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor";
- (10) "Waste" means any waste material:
 - (a) Containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content; and
 - (b) Resulting from the operation by any person or organization of any "nuclear facility" included under Paragraphs (a) and (b) of the definition of "nuclear facility".

C. Who Is An Insured

- 1. If you are designated in the Declarations as:
 - a. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
 - b. A partnership or joint venture, you are an insured. HARBOR POINT INDUSTRIES their spouses are also insureds, but only with respect to the conduct of your business.
 - c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.

- d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
- e. A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

2. Each of the following is also an insured:

- a. Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:

(1) "Bodily injury" or "personal and advertising injury":

- (a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), or to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;
- (b) To the spouse, child, parent, brother or sister of that co-"employee" as a consequence of Paragraph (a) above;
- (c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph (a) or (b); or
- (d) Arising out of his or her providing or failing to provide professional health care services.

(2) "Property damage" to property:

- (a) Owned, occupied or used by,

- (b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by

you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

- b. Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.
- c. Any person or organization having proper temporary custody of your property if you die, but only:
 - (1) With respect to liability arising out of the maintenance or use of that property; and
 - (2) Until your legal representative has been appointed.
- d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this policy.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

D. Liability And Medical Expenses Limits Of Insurance

- 1. The Limits of Insurance of Section II – Liability shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a. Insureds;
- b. Claims made or "suits" brought; or
- c. Persons or organizations making claims or bringing "suits".

- 2. The most we will pay for the sum of all damages because of all:

- a. "Bodily injury", "property damage" and medical expenses arising out of any one "occurrence"; and
- b. "Personal and advertising injury" sustained by any one person or organization;

is the Liability and Medical Expenses limit shown in the Declarations. But the most we will pay for all medical expenses because of "bodily injury" sustained by any one person is the Medical Expenses limit shown in the Declarations.

3. The most we will pay under Business Liability Coverage for damages because of "property damage" to a premises while rented to you or in the case of fire while rented to you or temporarily occupied by you with permission of the owner is the applicable Damage To Premises Rented To You limit shown for that premises in the Declarations. For a premises temporarily occupied by you, the applicable limit will be the highest Damage To Premises Rented To You limit shown in the Declarations.

4. Aggregate Limits

The most we will pay for:

- a. All "bodily injury" and "property damage" that is included in the "products-completed operations hazard" is twice the Liability and Medical Expenses limit.
- b. All:
- (1) "Bodily injury" and "property damage" except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard";
- (2) Plus medical expenses;
- (3) Plus all "personal and advertising injury" caused by offenses committed;
- is twice the Liability and Medical Expenses limit.

Subject to Paragraph a. or b. above, whichever applies, the Damage To Premises Rented To You Limit is the most we will pay for damages because of "property damage" to any one premises, while rented to you, or in the case of fire, while rented to you or temporarily occupied by you with permission of the owner.

The Limits of Insurance of Section II – Liability apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

E. Liability And Medical Expenses General Conditions

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured obligations under this policy.

2. Duties In The Event Of Occurrence, Offense, Claim Or Suit

- a. You must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:
- (1) How, when and where the "occurrence" or offense took place;
- (2) The names and addresses of any injured persons and witnesses; and
- (3) The nature and location of any injury or damage arising out of the "occurrence" or offense.
- b. If a claim is made or "suit" is brought against any insured, you must:
- (1) Immediately record the specifics of the claim or "suit" and the date received; and
- (2) Notify us as soon as practicable.
- You must see to it that we receive written notice of the claim or "suit" as soon as practicable.
- c. You and any other involved insured must:
- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
- (2) Authorize us to obtain records and other information;
- (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
- (4) Assist us, upon our request, in the enforcement of any right against any person or organization that may be liable to the insured FAIRMOUNT BUILDERS to which this insurance may also apply.
- d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under this policy:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b. To sue us on this policy unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this policy or that are in excess of the applicable Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Separation Of Insureds

Except with respect to the Limits of Insurance of Section II – Liability, and any rights or duties specifically assigned in this policy to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured^{HARBOR}
- b. Separately to each insured against whom claim is made or "suit" is brought.

F. Liability And Medical Expenses Definitions

1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:

- a. Notices that are published include material placed on the Internet or on similar electronic means of communication^{HARBOR}
- b. Regarding websites, only that part of a website that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.

2. "Auto" means:

- a. A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or
- b. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.

4. "Coverage territory" means:

- a. The United States of America (including its territories and possessions), Puerto Rico and Canada;

- b. International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph a. above; or

- c. All other parts of the world if the injury or damage arises out of:

- (1) Goods or products made or sold by you in the territory described in Paragraph a. above;
- (2) The activities of a person whose home is in the territory described in Paragraph a. above, but is away for a short time on your business; or
- (3) "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication;

provided the insured ^{HARBOR POINT BUILDERS} damages is determined in a "suit" on the merits in the territory described in Paragraph a. above or in a settlement we agree to.

5. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

6. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.

7. "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.

8. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:

- a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
- b. You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by:

- (1) The repair, replacement, adjustment or removal of "your product" or "your work"; or
- (2) Your fulfilling the terms of the contract or agreement.

9. "Insured contract" means:

- a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";

- b. A sidetrack agreement;
- c. Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
- d. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
- e. An elevator maintenance agreement;
- f. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph f. does not include that part of any contract or agreement:

- (1) That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, roadbeds, tunnel, underpass or crossing;
 - (2) That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a) Preparing, approving or failing to prepare or approve maps, drawings, opinions, reports, surveys, change orders, designs or specifications; or
 - (b) Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or
 - (3) Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured professional services, including those listed in Paragraph (2) above and supervisory, inspection or engineering services.
10. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

11. "Loading or unloading" means the handling of property:

- a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";
- b. While it is in or on an aircraft, watercraft or "auto"; or
- c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

12. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
- b. Vehicles maintained for use solely on or next to premises you own or rent;
- c. Vehicles that travel on crawler treads;
- d. Vehicles, whether self-propelled or not, on which are permanently mounted:
 - (1) Power cranes, shovels, loaders, diggers or drills; or
 - (2) Road construction or resurfacing equipment such as graders, scrapers or rollers;
- e. Vehicles not described in Paragraph a., b., c. or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
 - (2) Cherry pickers and similar devices used to raise or lower workers;
- f. Vehicles not described in Paragraph a., b., c. or d. above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

- (1) Equipment designed primarily for:
 - (a) Snow removal;

(b) Road maintenance, but not construction or resurfacing; or

(c) Street cleaning;

(2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

(3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where they are licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law or motor vehicle registration law are considered "autos".

13. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

14. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

- a. False arrest, detention or imprisonment;
- b. Malicious prosecution;
- c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
- d. Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
- e. Oral or written publication, in any manner, of material that violates a person's right of privacy;
- f. The use of another's advertising idea in your "advertisement"; or
- g. Infringing upon another's copyright, trade dress or slogan in your "advertisement".

15. "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

16. "Products-completed operations hazard":

a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

(1) Products that are still in your physical possession; or

(2) Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:

(a) When all of the work called for in your contract has been completed.

(b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

(c) When that part of the work done at the job site has been put to its intended use by any other person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

The "bodily injury" or "property damage" must occur away from premises you own or rent, unless your business includes the selling, handling or distribution of "your product" for consumption on premises you own or rent.

b. Does not include "bodily injury" or "property damage" arising out of:

(1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured; or

(2) The existence of tools, uninstalled equipment or abandoned or unused materials.

17. "Property damage" means:

a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or

b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

18. "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage", or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

- a.** An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
- b.** Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

19. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

20. "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

21. "Your product":

a. Means:

- (1)** Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a)** You;
 - (b)** Others trading under your name; or
 - (c)** A person or organization whose business or assets you have acquired; and
- (2)** Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

b. Includes:

- (1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and

(2) The providing of or failure to provide warnings or instructions.

c. Does not include vending machines or other property rented to or located for the use of others but not sold.

22. "Your work":

a. Means:

- (1)** Work or operations performed by you or on your behalf; and
- (2)** Materials, parts or equipment furnished in connection with such work or operations.

b. Includes:

- (1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and
- (2)** The providing of or failure to provide warnings or instructions.

SECTION III – COMMON POLICY CONDITIONS (APPLICABLE TO SECTION I – PROPERTY AND SECTION II – LIABILITY)

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.

2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

a. Five days before the effective date of cancellation if any one of the following conditions exists at any building that is Covered Property in this policy;

(1) The building has been vacant or unoccupied 60 or more consecutive days. This does not apply to:

(a) Seasonal unoccupancy; or

(b) Buildings in the course of construction, renovation or addition.

Buildings with 65% or more of the rental units or floor area vacant or unoccupied are considered unoccupied under this provision.

(2) After damage by a Covered Cause of Loss, permanent repairs to the building:

(a) Have not started, and

(b) Have not been contracted for, within 30 days of initial payment of loss.

(3) The building has:

(a) An outstanding order to vacate;

- (b) An outstanding demolition order; or
 - (c) Been declared unsafe by governmental authority.
- (4) Fixed and salvageable items have been or are being removed from the building and are not being replaced. This does not apply to such removal that is necessary or incidental to any renovation or remodeling.
- (5) Failure to:
- (a) Furnish necessary heat, water, sewer service or electricity for 30 consecutive days or more, except during a period of seasonal unoccupancy; or
 - (b) Pay property taxes that are owing and have been outstanding for more than one year following the date due, except that this provision will not apply where you are in a bona fide dispute with the taxing authority regarding payment of such taxes.
- b. 10 days before the effective date of cancellation if we cancel for nonpayment of premium.
 - c. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured^{TALLGRASS MECHANICAL} us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured^{IRONVALE WORKS} cancel, the refund will be pro rata. If the first Named Insured less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured^{TALLGRASS SERVICE GROUP} is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Concealment, Misrepresentation Or Fraud

This policy is void in any case of fraud by you as it relates to this policy at any time. It is also void if you or any other insured, at any time, intentionally conceal or misrepresent a material fact concerning:

- 1. This policy;
- 2. The Covered Property;
- 3. Your interest in the Covered Property; or
- 4. A claim under this policy.

D. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

E. Inspections And Surveys

- 1. We have the right to:
 - a. Make inspections and surveys at any time;
 - b. Give you reports on the conditions we find; and
 - c. Recommend changes.
- 2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:
 - a. Are safe and healthful; or
 - b. Comply with laws, regulations, codes or standards.
- 3. Paragraphs 1. and 2. of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.
- 4. Paragraph 2. of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

F. Insurance Under Two Or More Coverages

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

G. Liberalization

If we adopt any revision that would broaden the coverage under this policy without additional premium within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this policy.

H. Other Insurance

1. If there is other insurance covering the same loss or damage, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance of Section I – Property.
2. Business Liability Coverage is excess over:
 - a. Any other insurance that insures for direct physical loss or damage; or
 - b. Any other primary insurance available to you covering liability for damages arising out of the premises or operations for which you have been added as an additional insured by attachment of an endorsement.
3. When this insurance is excess, we will have no duty under Business Liability Coverage to defend any claim or "suit" that any other insurer has a duty to defend. If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

I. Premiums

1. The first Named Insured shown in the Declarations:
 - a. Is responsible for the payment of all premiums; and
 - b. Will be the payee for any return premiums we pay.
2. The premium shown in the Declarations was computed based on rates in effect at the time the policy was issued. On each renewal, continuation or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.
3. With our consent, you may continue this policy in force by paying a continuation premium for each successive one-year period. The premium must be:
 - a. Paid to us prior to the anniversary date; and
 - b. Determined in accordance with Paragraph 2. above.

Our forms then in effect will apply. If you do not pay the continuation premium, this policy will expire on the first anniversary date that we have not received the premium.

4. Undeclared exposures or change in your business operation, acquisition or use of locations may occur during the policy period that are not shown in the Declarations. If so, we may require an additional premium. That premium will be determined in accordance with our rates and rules then in effect.

J. Premium Audit

1. This policy is subject to audit if a premium designated as an advance premium is shown in the Declarations. We will compute the final premium due when we determine your actual exposures.
2. Premium shown in this policy as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured.
premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.
3. The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

K. Transfer Of Rights Of Recovery Against Others To Us

1. Applicable to Businessowners Property Coverage:
If any person or organization to or for whom we make payment under this policy has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:
 - a. Prior to a loss to your Covered Property.
 - b. After a loss to your Covered Property only if, at time of loss, that party is one of the following:
 - (1) Someone insured by this insurance;
 - (2) A business firm:
 - (a) Owned or controlled by you; or
 - (b) That owns or controls you; or
 - (3) Your tenant.

You may also accept the usual bills of lading or shipping receipts limiting the liability of carriers.

This will not restrict your insurance.

2. Applicable to Businessowners Liability Coverage:

If the insured WINSLOW FABRICATION any payment we have made under this policy, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them. This condition does not apply to Medical Expenses Coverage.

L. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual Named Insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPOILAGE COVERAGE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Building Number	Refrigeration Maintenance Agreement	
		☐ Yes	☐ No
Description Of Perishable Stock:			
Causes Of Loss ("X" which one applies.)		Limit Of Insurance	Deductible
☒ Breakdown Or Contamination	☒ Power Outage	\$	\$
Premises Number	Building Number	Refrigeration Maintenance Agreement	
		☐ Yes	☐ No
Description Of Perishable Stock:			
Causes Of Loss ("X" which one applies.)		Limit Of Insurance	Deductible
☒ Breakdown Or Contamination	☒ Power Outage	\$	\$
Premises Number	Building Number	Refrigeration Maintenance Agreement	
		☐ Yes	☐ No
Description Of Perishable Stock:			
Causes Of Loss ("X" which one applies.)		Limit Of Insurance	Deductible
☐ Breakdown Or Contamination	☐ Power Outage	\$	\$
Section I – Property is extended to insure against direct physical loss of or damage to "perishable stock" indicated in the Schedule, caused by the Covered Cause(s) of Loss, as provided by this endorsement.			
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.			

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

The following provisions (A. through I. inclusive) apply to the coverage provided by this endorsement:

A. Paragraph A.1. Covered Property in Section I – Property is replaced by the following:

1. Covered Property

Covered Property means "perishable stock" shown in the Schedule at the described premises, if the "perishable stock" is:

- a. Owned by you and used in your business; or
- b. Owned by others and in your care, custody or control except as otherwise provided in Loss Payment Property Loss Condition E.5.d.(3)(b).

B. The following is added to Paragraph A.2. Property Not Covered in Section I – Property:

k. Property located:

- (1) On buildings;
- (2) In the open; or
- (3) In vehicles.

C. Paragraph A.3. Covered Causes Of Loss in Section I – Property is replaced by the following:

3. Covered Causes Of Loss

Subject to the exclusions described in Paragraph E. of this endorsement, Covered Causes of Loss means the following, as indicated in the Schedule:

a. Breakdown or Contamination, meaning:

- (1) Change in temperature or humidity resulting from mechanical breakdown or mechanical failure of refrigerating, cooling or humidity control apparatus or equipment, only while such apparatus or equipment is at the described premises shown in the Schedule; or
- (2) Contamination by a refrigerant, only while the refrigerating apparatus or equipment is at the described premises shown in the Schedule.

Mechanical breakdown and mechanical failure do not mean power interruption, regardless of how or where the interruption is caused and whether or not the interruption is complete or partial.

- b. Power Outage, meaning change in temperature or humidity resulting from complete or partial interruption of electrical power, either on or off the described premises, due to conditions beyond your control.

D. Paragraph **A.6. Coverage Extensions** in **Section I – Property** does not apply.

E. Paragraph **B. Exclusions** in **Section I – Property** is replaced by the following:

B. Exclusions

1. Of the exclusions contained in Paragraph **B.1.** in **Section I – Property**, only the following apply to **Spoilage Coverage**:

- b. Earth Movement;
- c. Governmental Action;
- d. Nuclear Hazard;
- f. War And Military Action;
- g. Water; and

the Cyber Incident Exclusion or the Cyber Incident Exclusion With Ensuing Cause(s) Of Loss Exceptions, whichever applies.

2. The following exclusions are added:

We will not pay for loss or damage caused by or resulting from:

- a. The disconnection of any refrigerating, cooling or humidity control system from the source of power.
- b. The deactivation of electrical power caused by the manipulation of any switch or other device used to control the flow of electrical power or current.
- c. The inability of an electrical utility company or other power source to provide sufficient power due to:
 - (1) Lack of fuel; or
 - (2) Governmental order.
- d. The inability of a power source at the described premises to provide sufficient power due to lack of generating capacity to meet demand.
- e. Breaking of any glass that is a permanent part of any refrigerating, cooling or humidity control unit.

F. Paragraph **D. Deductibles** in **Section I – Property** is replaced by the following:

D. Deductibles

We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Schedule of this endorsement. We will then pay the amount of loss or damage in excess of that Deductible, up to the applicable Limit of Insurance. No other deductible in this policy applies to the coverage provided by this endorsement.

G. Conditions

1. Under **Property Loss Conditions** in **Section I – Property**, Item d. of Condition **5. Loss Payment** is replaced by the following:

d. We will determine the value of Covered Property as follows:

- (1) For "perishable stock" you have sold but not delivered, at the selling price less discounts and expenses you otherwise would have had;
- (2) For other "perishable stock", at actual cash value.

2. The following condition applies in addition to the **Property Loss Conditions** (as modified in 1. above) and **Property General Conditions** in **Section I – Property** and **Section III – Common Policy Conditions**:

Additional Condition – Refrigeration Maintenance Agreements

If Breakdown or Contamination is designated as a Covered Cause of Loss and a refrigeration maintenance agreement is shown as applicable in the Schedule, the following condition applies:

You must maintain a refrigeration maintenance or service agreement as described below. If you voluntarily terminate this agreement and do not notify us within 10 days, the insurance provided by this endorsement under the Breakdown or Contamination Covered Cause of Loss will be automatically suspended at the location

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Exvsria, coverage provided by this endorsement is restored upon:

- a. Reinstatement of the applicable refrigeration maintenance or service agreement; or
- b. Procurement of a replacement refrigeration maintenance or service agreement.

A refrigeration maintenance agreement means a written service contract, between you and the refrigeration service organization, which Cortland

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location.

- H. Paragraph **G. Optional Coverages** in **Section I – Property** does not apply.

- I. The following is added to Paragraph **H. Property Definitions** in **Section I – Property**:

"Perishable stock" means property:

- a. Maintained under controlled temperature or humidity conditions for preservation; and
- b. Susceptible to loss or damage if the controlled temperature or humidity conditions change.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK – HIRED AUTO AND NON-OWNED AUTO LIABILITY

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Coverage	Additional Premium
A. Hired Auto Liability	\$
B. Non-owned Auto Liability	\$
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

Section II – Liability is amended as follows:

A. Insurance is provided only for those coverages for which a specific premium charge is shown in the Declarations or in the Schedule.

1. Hired Auto Liability

Paragraph **A.1. Business Liability** applies to "bodily injury" or "property damage" arising out of the maintenance or use of a "hired auto" by you or your "employees" in the course of your business.

2. Non-owned Auto Liability

Paragraph **A.1. Business Liability** applies to "bodily injury" or "property damage" arising out of the use of any "non-owned auto" in your business by any person.

B. For insurance provided by this endorsement only:

1. Paragraph B.1. Exclusions – Applicable To Business Liability Coverage, other than Exclusions **a.**, **b.**, **d.**, **f.** and **i.**, is deleted and replaced by the following:

a. "Bodily injury" to an "employee" of the insured arising out of and in the course of:

(1) Employment by the insured; or

(2) Performing duties related to the conduct of the insured^{BLUE FORK}

But this exclusion does not apply to "bodily injury" to domestic "employees" not entitled to workers' compensation benefits or to liability assumed by the insured under an "insured contract".

b. "Property damage" to:

(1) Property owned or being transported by, or rented or loaned to the insured; or

(2) Property in the care, custody or control of the insured.

BLUE FORK CONTRACTING

by the following:

1. Each of the following is an insured under this endorsement to the extent set forth below:

a. You;

b. Any other person using a "hired auto" with your permission;

c. For a "non-owned auto":

(1) Any partner or "executive officer" of yours; or

- (2) Any "employee" of yours;
but only while such "non-owned auto" is being used in your business; and
 - d. Any other person or organization, but only for their liability because of acts or omissions of an insured under **a.**, **b.** or **c.** above.
2. None of the following is an insured:
- a. Any person engaged in the business of his or her employer for "bodily injury" to any co-"employee" of such person injured in the course of employment;
 - b. Any partner or "executive officer" for any "auto" owned by such partner or officer or a member of his or her household;
 - c. Any person while employed in or otherwise engaged in duties in connection with an "auto business", other than an "auto business" you operate;
 - d. The owner or lessee (of whom you are a sublessee) of a "hired auto" or the owner of a "non-owned auto" or any agent or "employee" of any such owner or lessee; or
 - e. Any person or organization for the conduct of any current or past partnership or joint venture that is not shown as a Named Insured BLUE FORK WORKS

- C. For the purposes of this endorsement only, Paragraph **H. Other Insurance** in **Section III – Common Policy Conditions** is replaced by the following:

This insurance is excess over any primary insurance covering the "hired auto" or "non-owned auto".

- D. The following additional definitions apply:

- 1. "Auto business" means the business or occupation of selling, repairing, servicing, storing or parking "autos".
- 2. "Hired auto" means any "auto" you lease, hire, rent or borrow. This does not include any "auto" you lease, hire, rent or borrow from any of your "employees", your partners or your "executive officers" or members of their households.
- 3. "Non-owned auto" means any "auto" you do not own, lease, hire, rent or borrow which is used in connection with your business. This includes "autos" owned by your "employees", your partners or your "executive officers", or members of their households, but only while used in your business or your personal affairs.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ABUSE OR MOLESTATION EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following applies to Section II – Liability and supersedes any provision to the contrary:

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of:

- (a)** The actual or threatened abuse or molestation by anyone of any person while in the care, custody or control of any insured, or
- (b)** The negligent:
 - (i)** Employment;

- (ii)** Investigation;
- (iii)** Supervision;
- (iv)** Reporting to the proper authorities, or failure to so report; or
- (v)** Retention;
of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by **(a)** above.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

WATER BACK-UP AND SUMP OVERFLOW

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Covered Property Annual Aggregate Limit Of Insurance	Business Income And Extra Expense Annual Aggregate Limit Of Insurance
	\$	\$
	\$	\$
	\$	\$
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

A. We will pay for direct physical loss or damage to Covered Property, covered under Section I – Property, caused by or resulting from:

1. Water or waterborne material which backs up through or overflows or is otherwise discharged from a sewer or drain; or
2. Water or waterborne material which overflows or is otherwise discharged from a sump, sump pump or related equipment, even if the overflow or discharge results from mechanical breakdown of a sump pump or its related equipment.

However, with respect to Paragraph **A.2.**, we will not pay the cost of repairing or replacing a sump pump or its related equipment in the event of mechanical breakdown.

B. The coverage described in Paragraph **A.** of this endorsement does not apply to loss or damage resulting from an insured's failure to:

1. Keep a sump pump or its related equipment in proper working condition; or
2. Perform the routine maintenance or repair necessary to keep a sewer or drain free from obstructions.

C. The most we will pay for the coverage provided under this endorsement for all direct physical loss or damage to Covered Property is the Covered Property Annual Aggregate Limit of Insurance. That limit is \$5,000 per location, unless a different Covered Property Annual Aggregate Limit of Insurance is indicated in the Schedule of this endorsement.

The applicable Covered Property Annual Aggregate Limit of Insurance is the most we will pay under this endorsement for the total of all direct physical loss or damage sustained in any one policy year, regardless of the number of occurrences that cause or result in loss or damage to Covered Property. If loss payment for the first such occurrence does not exhaust the applicable Limit of Insurance, then the balance of that Limit is available for subsequent loss or damage sustained in, but not after, that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

- D. The following provisions apply to **Section I – Property** and supersede any provisions to the contrary:

The most we will pay under:

1. Paragraph **A.5.f.** Business Income Additional Coverage for all loss of Business Income you sustain due to the necessary suspension of your "operations" caused by direct physical loss or damage to Covered Property as described in Paragraph **A.** of this endorsement; and
2. Paragraph **A.5.g.** Extra Expense Additional Coverage for all necessary Extra Expense you incur and that you would not have incurred if there had been no direct physical loss or damage to Covered Property as described in Paragraph **A.** of this endorsement;

is the Business Income And Extra Expense Annual Aggregate Limit of Insurance. That limit is \$5,000 per location, unless a different Business Income And Extra Expense Annual Aggregate Limit of Insurance is shown in the Schedule.

The applicable Business Income And Extra Expense Annual Aggregate Limit of Insurance is the most we will pay under this endorsement for the total of all loss of Business Income you sustain and Extra Expense you incur in any one policy year, regardless of the number of occurrences that cause or result in loss or damage to Covered Property as described in Paragraph **A.** of this endorsement. If loss payment during an earlier "period of restoration" in the policy year does not exhaust the applicable Limit of Insurance, then the balance of that Limit is available for loss of Business Income you sustain or Extra Expense you incur during a subsequent "period of restoration" beginning in, but not after, that policy year. With respect to a "period of restoration" which begins in one policy year and continues in a subsequent policy year(s), all loss of Business Income you sustain or Extra Expense you incur is deemed to be sustained or incurred in the policy year in which the "period of restoration" began.

- E. With respect to the coverage provided under this endorsement, the **Water** Exclusion in **Section I – Property** is replaced by the following exclusion:

Water

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);
2. Mudslide or mudflow; or
3. Water under the ground surface pressing on, or flowing or seeping through:
 - a. Foundations, walls, floors or paved surfaces;
 - b. Basements, whether paved or not; or
 - c. Doors, windows or other openings; or
4. Waterborne material carried or otherwise moved by any of the water referred to in Paragraph **1.** or **3.**, or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs **1.** through **4.**, is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs **1.** through **4.**, results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEWLY ACQUIRED ORGANIZATIONS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added to Paragraph **C. Who Is An Insured** in **Section II – Liability**:

IRONVALE SERVICE GROUP

other than a partnership, joint venture, or limited liability company and over which you maintain ownership or majority interest, will qualify as a Named Insured insurance available to that organization. However:

- a. Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

b. Paragraph **A.1. Business Liability** does not apply to:

- (1) "Bodily injury" or "property damage" that occurred before you acquired or formed the organization; and
- (2) "Personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture, or limited liability company that is not shown as a Named Insured in the Declarations.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

GRANITE ROW

– DIRECT DAMAGE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Prem. No.	Bldg. No.	GRANITE ROW Limit Of Insurance	Water Supply Property (Check If Applies)	Communication Supply Property	Power Supply Property
				Enter Either "Includes" Or "Not Includes" Overhead Transmission Lines (If Applicable)	
		\$	X	INCLUDES	INCLUDES
Covered Property:					
		\$	X	INCLUDES	INCLUDES
Covered Property:					
		\$	X	INCLUDES	INCLUDES
Covered Property:					
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.					

The coverage provided by this endorsement is subject to the provisions of Section I – Property, including Paragraph D. Deductibles, except as provided below.

A. The following is added to Paragraph A. Coverage:

We will pay for loss of or damage to Covered Property described in the Schedule, caused by the interruption of service to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to the property described in Paragraph C. of this endorsement if such property is indicated by an "X" in the Schedule.

B. Exception

Coverage under this endorsement for loss or damage to Covered Property does not apply to loss or damage to "electronic data", including destruction or corruption of "electronic data".

C. GRANITE ROW

1. Water Supply Services, meaning the following types of property supplying water to the described premises:
 - a. Pumping stations; and
 - b. Water mains.

2. Communication Supply Services, meaning property supplying communication services, including telephone, radio, microwave or television services to the described premises, such as:

- a. Communication transmission lines, including optic fiber transmission lines;
- b. Coaxial cables; and
- c. Microwave radio relays except satellites.

It does not include overhead transmission lines unless indicated in the Schedule.

3. Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

- a. Utility generating plants;
- b. Switching stations;

- c. Substations;
- d. Transformers; and
- e. Transmission lines.

It does not include overhead transmission lines unless indicated in the Schedule.

- D. Paragraph C. **Limits Of Insurance** is replaced by the following:

If a ^{GRANITE ROW} Limit Of Insurance is shown in the Schedule, such limit is part of, not in addition to, the Limit Of Insurance stated in the Declarations as applicable to the Covered Property.

If no Limit Of Insurance is shown for Utility Services, coverage under this endorsement is subject to the applicable Limit Of Insurance on the Covered Property as shown in the Declarations. But this ^{GRANITE ROW} Endorsement does not increase the applicable Limit Of Insurance.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

GRANITE ROW

– TIME ELEMENT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Prem. No.	Bldg. No.	GRANITE ROW Limit Of Insurance	Water Supply Property (Check If Applies)	Communication Supply Property	Power Supply Property
				Enter Either "Included" Or "Not Included" Overhead Transmission Lines (If Applicable)	
		\$	X	INCLUDES	INCLUDES
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.					

The coverage provided by this endorsement is subject to the provisions of Section I – Property, except as provided below.

A. The following is added to Paragraph A. Coverage:

We will pay for loss of Business Income or Extra Expense at the described premises caused by the interruption of service to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to the property described in Paragraph C. of this endorsement if such property is indicated in the Schedule.

B. Exception

Coverage under this endorsement does not apply to Business Income loss or Extra Expense related to interruption in utility service which causes loss or damage to "electronic data", including destruction or corruption of "electronic data".

C. GRANITE ROW**1. Water Supply Services, meaning the following types of property supplying water to the described premises:**

- a. Pumping stations; and
- b. Water mains.

2. Communication Supply Services, meaning property supplying communication services, including telephone, radio, microwave or television services to the described premises, such as:

- a. Communication transmission lines, including optic fiber transmission lines;
- b. Coaxial cables; and
- c. Microwave radio relays except satellites.

It does not include overhead transmission lines unless indicated in the Schedule.

3. Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

- a. Utility generating plants;
- b. Switching stations;
- c. Substations;
- d. Transformers; and
- e. Transmission lines.

It does not include overhead transmission lines unless indicated in the Schedule.

D. Paragraph C. Limits Of Insurance is replaced by the following:

The most we will pay for loss or damage in any one occurrence is the Limit Of Insurance shown in the Schedule as applicable to the Covered Property.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**TOTAL POLLUTION EXCLUSION WITH A BUILDING HEATING
EXCEPTION AND A HOSTILE FIRE EXCEPTION**

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Exclusion **B.1.f. Pollution** in **Section II – Liability** is replaced by the following:

This insurance does not apply to:

f. Pollution

- (1) "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

This exclusion does not apply to:

- (a) "Bodily injury" if sustained within a building which is or was at any time owned or occupied by, or rented or loaned to, any insured BLUE FORK MOTORWORKS or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests.
- (b) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire" unless that "hostile fire" occurred or originated:

- (i) At any premises, site or location which is or was at any time used by or for any insured storage, disposal, processing or treatment of waste; or

- (ii) At any premises, site or location on which any insured TALLGRASS LOGISTICS subcontractors working directly or indirectly on any insured's behalf are performing operations to test for, monitor, clean up, remove, contain, treat, detoxify, neutralize or in any way respond to, or assess the effects of, "pollutants".

- (2) Any loss, cost or expense arising out of any:

- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants"; or
- (b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CALCULATION OF PREMIUM

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added:

The premium shown in the Declarations was computed based on rates in effect at the time the policy was issued. On each renewal, continuation, or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following provisions are added to the Businessowners Policy and apply to Property and Liability Coverages:

A. CAP ON CERTIFIED TERRORISM LOSSES

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

If aggregate insured VANTAGE MECHANICAL acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured RIDGEWAY SERVICE GROUP subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

- B.** The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for loss or injury or damage that is otherwise excluded under this Policy.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMPUTER FRAUD AND FUNDS TRANSFER FRAUD

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Coverage	Limit Of Insurance
Computer Fraud And Funds Transfer Fraud Coverage	\$
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

Section I – Property is amended as follows:

The following is added to Paragraph **A.5. Additional Coverages**:

A. Computer Fraud And Funds Transfer Fraud

1. The Computer Fraud And Funds Transfer Fraud Coverage Limit shown in the Schedule of this endorsement is the most we will pay for loss of and damage to "money", "securities" and "other property" following and directly related to the use of any computer to fraudulently cause a transfer of that property from inside the described premises, bank or savings institution:

- a. To a person (other than a messenger) outside those premises; or
- b. To a place outside those premises.

2. The Computer Fraud And Funds Transfer Fraud Coverage Limit shown in the Schedule of this endorsement is the most we will pay for loss of "money" and "securities" resulting directly from a "fraudulent instruction" directing a financial institution to transfer, pay or deliver "money" and "securities" from your "transfer account".

- B.** With respect to the coverage provided by this endorsement, Paragraph **A.4. Limitations** is amended as follows:

Subparagraph **a.(4)** does not apply.

- C.** With respect to the coverage provided by this endorsement, Paragraph **B. Exclusions** is amended as follows:

1. Paragraph **2.g. False Pretense** does not apply.

2. The following exclusion is added:

We will not pay for loss or damages caused by or resulting from the use or purported use of credit, debit, charge, access, convenience, identification, stored-value or other cards or the information contained on such cards.

- D.** The following exclusion is added to Paragraph **G.2.b. Money And Securities** Optional Coverages:

- (4) Or damage to "money" and "securities" following and directly related to the use of any computer to fraudulently cause a transfer of that property from inside the described premises, bank or savings institution:

- (a) To a person (other than a messenger) outside those premises; or
- (b) To a place outside those premises.

- E.** The following are added to Paragraph **H. Property Definitions**:

15. "Employee"

- a. Employee means:

- (1) Any natural person:
 - (a) While in your service or for 30 days after termination of service;
 - (b) Who you compensate directly by salary, wages or commissions; and
 - (c) Who you have the right to direct and control while performing services for you;

- (2) Any natural person who is furnished temporarily to you:
 - (a) To substitute for a permanent "employee" as defined in Paragraph (1), who is on leave; or
 - (b) To meet seasonal or short-term work load conditions;

while that person is subject to your direction and control and performing services for you, excluding, however, any such person while having care and custody of property outside the premises;
 - (3) Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary employee as defined in Paragraph (2) above;
 - (4) Any natural person who is:
 - (a) A trustee, officer, employee, administrator or manager, except an administrator or manager who is an independent contractor, of any "employee benefit plan(s)" insured under this policy; and
 - (b) Your director or trustee while that person is handling "funds" or "other property" of any "employee benefit plan(s)" insured under this policy;
 - (5) Any natural person who is a former "employee", director, partner, "member", "manager", representative or trustee retained as a consultant while performing services for you; or
 - (6) Any natural person who is a guest student or intern pursuing studies or duties, excluding, however, any such person while having care and custody of property outside the premises.
- b. "Employee" does not mean:
- (1) Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character; or
 - (2) Any "manager", director or trustee except while performing acts coming within the scope of the usual duties of an "employee".
16. "Fraudulent instruction" means:
- a. An electronic, telegraphic, cable, teletype, telefacsimile or telephone instruction which purports to have been transmitted by you, but which was in fact fraudulently transmitted by someone else without your knowledge or consent;
 - b. A written instruction (other than those described in Paragraph A.5.k.) issued by you, which was forged or altered by someone other than you without your knowledge or consent or which purports to have been issued by you, but was in fact fraudulently issued without your knowledge or consent; or
 - c. An electronic, telegraphic, cable, teletype, telefacsimile, telephone or written instruction initially received by you which purports to have been transmitted by an employee but which was in fact fraudulently transmitted by someone else without your or the employee's knowledge or consent.
17. "Other property" means any tangible property other than "money" and "securities" that has intrinsic value but does not include any property excluded under this policy.
18. "Transfer account" means an account maintained by you at a financial institution from which you can initiate the transfer, payment or delivery of "money" and "securities":
- a. By means of electronic, telegraphic, cable, teletype, telefacsimile or telephone instructions communicated directly through an electronic funds transfer system; or
 - b. By means of written instructions (other than those described in Paragraph A.5.k.) establishing the conditions under which such transfers are to be initiated by such financial institution through an electronic funds transfer system.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

AMENDMENT OF INSURED QUENTIN ELLERY

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Paragraph **F.9. Liability And Medical Expenses Definitions** is replaced by the following:

9. "Insured contract" means:

- a.** A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";
- b.** A sidetrack agreement;
- c.** Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
- d.** An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
- e.** An elevator maintenance agreement;
- f.** That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization, provided the "bodily injury" or "property damage" is caused, in whole or in part, by you or by those acting on your behalf. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph **f.** does not include that part of any contract or agreement:

- (1)** That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing;
- (2)** That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a)** Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or
 - (b)** Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or
- (3)** Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured professional services, including those listed in **(2)** above and supervisory, inspection, architectural or engineering activities.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.
NEW YORK - ORDINANCE OR LAW COVERAGE**

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Prem. No.	Bldg. No.	Coverage 1 (Check If Applies)	Coverage 2 Limit Of Insurance	Coverage 3 Limit Of Insurance	Coverage 2 And Coverage 3 Combined Limit Of Insurance*
001	001		\$	\$	\$
002	001		\$	\$	\$
			\$	\$	\$
Business Income And Extra Expense Optional Coverage Enter Yes Or No:					No
Number Of Hours Waiting Period For Period Of Restoration Applicable To Business Income And Extra Expense Optional Coverage: NOT APPLICABLE					
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.					
* Do not enter a Combined Limit of Insurance if individual Limits of Insurance are selected for Coverages 2 and 3 , or if one of these Coverages is not applicable.					

Section I - Property is amended as follows:

A. Each Coverage - Coverage 1, Coverage 2 and Coverage 3 - is provided under this endorsement only if that Coverage(s) is chosen by entry in the above Schedule and then only with respect to the building identified for the Coverage(s) in the Schedule.

B. Application Of Coverage(s)

The Coverage(s) provided by this endorsement apply only if both **B.1.** and **B.2.** are satisfied and are then subject to the qualifications set forth in **B.3.**

1. The ordinance or law:

a. Regulates the demolition, construction or repair of buildings, or establishes zoning or land use requirements at the described premises; and

b. Is in force at the time of loss.

But coverage under this endorsement applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this endorsement.

2. The building sustains direct physical damage:

a. That is covered under this policy and such damage results in enforcement of the ordinance or law;

b. That is covered under this policy and direct physical damage that is not covered under this policy, and the building damage in its entirety results in enforcement of the ordinance or law; or

c. But the damage is not covered under this policy, and such damage is the subject of the ordinance or law, then there is no coverage under this endorsement even if the building has also sustained covered direct physical damage.

3. In the situation described in **B.2.b.** above, we will not pay the full amount of loss otherwise payable under the terms of Coverages **1**, **2** and/or **3** of this endorsement. Instead, we will pay a proportion of such loss; meaning the proportion that the covered direct physical damage bears to the total direct physical damage.

(Section **H.** of this endorsement provides an example of this procedure.)

However, if the covered direct physical damage alone would have resulted in enforcement of an ordinance or law, then we will pay the full amount of loss otherwise payable under the terms of Coverages 1, 2 and/or 3 of this endorsement.

- C. We will not pay under this endorsement for the costs associated with the enforcement of any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

D. Coverage

1. Coverage 1 - Coverage For Loss To The Undamaged Portion Of The Building

With respect to the building that has sustained covered direct physical damage, we will pay under Coverage 1 for the loss in value of the undamaged portion of the building as a consequence of enforcement of an ordinance or law that requires demolition of undamaged parts of the same building. Coverage 1 is included within the Limit of Insurance shown in the Declarations as applicable to the covered building. Coverage 1 does not increase the Limit of Insurance.

2. Coverage 2 - Demolition Cost Coverage

With respect to the building that has sustained covered direct physical damage, we will pay the cost to demolish and clear the site of undamaged parts of the same building, as a consequence of enforcement of an ordinance or law that requires demolition of such undamaged property.

Paragraph E.5.d. Loss Payment Property Loss Condition does not apply to Demolition Cost Coverage.

3. Coverage 3 - Increased Cost of Construction Coverage

With respect to the building that has sustained covered direct physical damage, we will pay the increased cost to:

- a. Repair or reconstruct damaged portions of that building; and/or
- b. Reconstruct or remodel undamaged portions of that building whether or not demolition is required;

when the increased cost is a consequence of enforcement of the minimum requirements of the ordinance or law.

However:

- a. This coverage applies only if the restored or remodeled property is intended for similar occupancy as the current property, unless such occupancy is not permitted by zoning or land use ordinance or law.
- b. We will not pay for the increased cost of construction if the building is not repaired, reconstructed or remodeled.

Paragraph E.5.d. Loss Payment Property Loss Condition does not apply to the Increased Cost Of Construction Coverage.

E. Loss Payment

1. All of the following loss payment provisions E.2. through E.5., are subject to the apportionment procedure set forth in Section B.3. of this endorsement.
2. When there is a loss in value of an undamaged portion of a building to which Coverage 1 applies, the loss payment for that building, including damaged and undamaged portions, will be determined as follows:
 - a. If the property is repaired or replaced on the same or another premises, we will not pay more than the lesser of:
 - (1) The amount you actually spend to repair, rebuild or reconstruct the building, but not for more than the amount it would cost to restore the building on the same premises and to the same height, floor area, style and comparable quality of the original property insured^{BLUE}
 - (2) The Limit of Insurance shown in the Declarations as applicable to the covered building.
 - b. If the property is **not** repaired or replaced, we will not pay more than the lesser of:
 - (1) The actual cash value of the building at the time of loss^{BLUE}
 - (2) The Limit of Insurance shown in the Declarations as applicable to the covered building.
3. Unless Paragraph E.5. applies, loss payment under Coverage 2 - Demolition Cost Coverage will be determined as follows:

We will not pay more than the lesser of the following:

 - a. The amount you actually spend to demolish and clear the site of the described premises^{BLUE}
 - b. The applicable Limit of Insurance shown for Coverage 2 in the Schedule above.

4. Unless Paragraph **E.5.** applies, loss payment under Coverage 3 - Increased Cost Of Construction Coverage will be determined as follows:

a. We will not pay under Coverage 3:

- (1) Until the property is actually repaired or replaced, at the same or another premises; and
- (2) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

b. If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay under Coverage 3 is the lesser of:

- (1) The increased cost of construction at the same premises; or
- (2) The applicable Limit of Insurance shown for Coverage 3 in the Schedule above.

c. If the ordinance or law requires relocation to another premises, the most we will pay under Coverage 3 is the lesser of:

- (1) The increased cost of construction at the new premises; or
- (2) The applicable Limit of Insurance shown for Coverage 3 in the Schedule above.

5. If a **Combined** Limit Of Insurance is shown for Coverages 2 and 3 in the Schedule above, Paragraphs **E.2.** and **E.3.** of this endorsement do not apply with respect to the Building property that is subject to the Combined Limit, and the following loss payment provisions apply instead:

The most we will pay, for the total of all covered losses for Demolition Cost and Increased Cost of Construction, is the Combined Limit of Insurance shown for Coverages 2 and 3 in the Schedule above. Subject to this Combined Limit of Insurance, the following loss payment provisions apply:

a. For Demolition Cost, we will not pay more than the amount you actually spend to demolish and clear the site of the described premises.

b. With respect to the Increased Cost of Construction:

- (1) We will not pay for the increased cost of construction:
 - (a) Until the property is actually repaired or replaced, at the same or another premises; and

(b) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(2) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the same premises.

(3) If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the new premises.

F. The terms of this endorsement apply separately to each building to which this endorsement applies.

G. Under this endorsement, we will not pay for loss due to any ordinance or law that:

- 1. You were required to comply with before the loss, even if the building was undamaged; and
- 2. You failed to comply with.

H. Example of Proportionate Loss Payment for Ordinance or Law Coverage Losses (procedure as set forth in Section **B.3.** of this endorsement).

Assume:

- Wind is a Covered Cause of Loss. Flood is an excluded Cause of Loss;
- The building has a value of \$200,000;
- Total direct physical damage to building: \$100,000;
- The ordinance or law in this jurisdiction is enforced when building damage equals or exceeds 50% of the building's value;
- Portion of direct physical damage that is covered (caused by wind): \$30,000;
- Portion of direct physical damage that is not covered (caused by flood): \$70,000; and
- Loss under Ordinance or Law Coverage 3 of this endorsement: \$60,000.

Step 1: Determine the proportion that the covered direct physical damage bears to the total direct physical damage.

$$\text{\$30,000 divided by \text{\$100,000} = .30}$$

Step 2: Apply that proportion to the Ordinance or Law loss.

$$\text{\$60,000} \times .30 = \text{\$18,000}$$

In this example, the most we will pay under this endorsement for the Coverage 3 loss is \$18,000, subject to the applicable Limit of Insurance and any other applicable provisions.

NOTE: The same procedure applies to losses under Coverages 1 and 2 of this endorsement.

If shown as applicable in the Schedule of this endorsement, the following applies:

**BUSINESS INCOME AND EXTRA EXPENSE
OPTIONAL COVERAGE**

1. If a Covered Cause of Loss occurs to property at the premises described in the Declarations, coverage is extended to include the amount of actual and necessary loss you sustain during the increased period of suspension of your "operations" caused by or resulting from the enforcement of any ordinance or law that:
 - a. Regulates the construction or repair of any property;
 - b. Requires the tearing down of parts of any property not damaged by a Covered Cause of Loss; and
 - c. Is in force at the time of loss.

However, coverage is not extended under this endorsement to include loss caused by or resulting from the enforcement of any ordinance or law which requires any insured ^{WINSLOW LOGISTICS} clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

2. Paragraph **H.9. Period Of Restoration** Definition is replaced by the following:

9. "Period of Restoration" means the period of time that:

a. Begins:

- (1) 72 hours after the time of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the described premises, unless a lesser number of hours is shown in the Schedule of the endorsement; or
- (2) Immediately after the time of the direct physical loss or damage for Extra Expense Coverage caused by or resulting from any Covered Cause of Loss at the described premises; and

b. Ends on the earlier of:

- (1) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
- (2) The date when business is resumed at a new permanent location.

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loss, that regulates the construction or repair, or requires the tearing down of any property.

The expiration date of this policy will not cut short the "period of restoration".



THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LOSS PAYABLE CLAUSES

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number:	Building Number:	Liberty (Indicate Paragraph A, B, C or D):
Description Of Property:		
Loss Payee Name:		
Loss Payee Address:		
Premises Number:	Building Number:	Liberty (Indicate Paragraph A, B, C or D):
Description Of Property:		
Loss Payee Name:		
Loss Payee Address:		
Premises Number:	Building Number:	Liberty (Indicate Paragraph A, B, C or D):
Description Of Property:		
Loss Payee Name:		
Loss Payee Address:		
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

Nothing in this endorsement increases the applicable Limit of Insurance. We will not pay any Loss Payee more than their financial interest in the Covered Property, and we will not pay more than the applicable Limit of Insurance on the Covered Property.

The following is added to the **Loss Payment** Property Loss Condition in **Section I – Property**, as shown in the Declarations or in the Schedule:

A. Loss Payable Clause

For Covered Property in which both you and a Loss Payee shown in the Schedule or in the Declarations have an insurable interest, we will:

1. Adjust losses with you; and

2. Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear.

B. Lender's Loss Payable Clause

1. The Loss Payee shown in the Schedule or in the Declarations is a creditor, including a mortgageholder or trustee, whose interest in that Covered Property is established by such written instruments as:
 - a. Warehouse receipts;
 - b. A contract for deed;
 - c. Bills of lading;
 - d. Financing statements; or
 - e. Mortgages, deeds of trust, or security agreements.
2. For Covered Property in which both you and a Loss Payee have an insurable interest:
 - a. We will pay for covered loss or damage to each Loss Payee in their order of precedence, as interests may appear.
 - b. The Loss Payee has the right to receive loss payment even if the Loss Payee has started foreclosure for similar action on the Covered Property.
 - c. If we deny your claim because of your acts or because you have failed to comply with the terms of this policy, the Loss Payee will still have the right to receive loss payment if the Loss Payee:
 - (1) Pays any premium due under this policy at our request if you have failed to do so;
 - (2) Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and
 - (3) Has notified us of any change in ownership, occupancy or substantial change in risk known to the Loss Payee.

All of the terms of **Section I – Property** will then apply directly to the Loss Payee.

- d. If we pay the Loss Payee for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this policy:
 - (1) The Loss Payee's rights will be transferred to us to the extent of the amount we pay; and

- (2) The Loss Payee's right to recover the full amount of the Loss Payee's claim will not be impaired.

At our option, we may pay to the Loss Payee the whole principal on the debt plus any accrued interest. In this event, you will pay your remaining debt to us.

3. If we cancel this policy, we will give written notice to the Loss Payee at least:
 - a. 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
 - b. 30 days before the effective date of cancellation if we cancel for any other reason.
4. If we do not renew this policy, we will give written notice to the Loss Payee at least 10 days before the expiration date of this policy.

C. Contract Of Sale Clause

1. The Loss Payee shown in the Schedule or in the Declarations is a person or organization you have entered a contract with for the sale of Covered Property.
2. For Covered Property in which both you and the Loss Payee have an insurable interest, we will:
 - a. Adjust losses with you; and
 - b. Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear.
3. The following is added to Paragraph H. **Other Insurance** in **Section III – Common Policy Conditions**:

For Covered Property that is the subject of a contract of sale, the word "you" includes the Loss Payee.

D. EDWARD JESSUP Loss Payable Clause

1. The Loss Payee shown in the Schedule or in the Declarations is the owner of the described building, in which you are a tenant.
2. We will adjust losses to the described building with the Loss Payee. Any loss payment made to the Loss Payee will satisfy your claims against us for the owner's property.
3. We will adjust losses to tenant's improvements and betterments with you, unless the lease provides otherwise.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL INSURED WINSLOW BUILDERS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number:	Building Number:
Building Description:	
EDWARD JESSUP	Name:
EDWARD JESSUP	Address:
Premises Number:	Building Number:
Building Description:	
EDWARD JESSUP	Name:
EDWARD JESSUP	Address:
Premises Number:	Building Number:
Building Description:	
EDWARD JESSUP	Name:
EDWARD JESSUP	Address:
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

The following is added to **Section I – Property:**

The EDWARD JESSUP identified in this endorsement is a
Named Insured ASHCROFT MOTORWORKS
coverage provided by this insurance for direct physical
loss or damage to the building(s) described in the
Schedule.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – CALCULATION OF PREMIUM

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

- A.** For policies with fixed terms in excess of one year, or policies with no stated expiration date, except as provided in Paragraph **B.**, the following applies:
- The premium shown in the Declarations was computed based on rates and rules in effect at the time the policy was issued. On each renewal or continuation of this policy, we will compute the premium in accordance with our rates and rules then in effect.
- B.** For policies with fixed terms in excess of one year, where premium is computed and paid annually, the following applies:
- 1.** The premium shown in the Declarations was computed based on rates and rules in effect at the time the policy was issued. Such rates and rules will be used to calculate the premium at each anniversary, for the entire term of the policy, unless the specific reasons described in Paragraph **2.** or **3.** apply.
 - 2.** The premium will be computed based on the rates and rules in effect on the anniversary date of the policy only when, subsequent to the inception of the current policy period, one or more of the following occurs:
 - a.** After issuance of the policy or after the last renewal date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against, and that occurred subsequent to inception of the current policy period;
 - b.** A material physical change in the property insured
anniversary renewal date of the policy, causes the property to become uninsurable in accordance with underwriting standards in effect at the time the policy was issued or last renewed; or
 - c.** A material change in the nature or extent of the risk
anniversary renewal date of the policy, which causes the risk of "loss" to be substantially and materially increased beyond that contemplated at the time the policy was issued or last renewed.
 - 3.** If, subsequent to the inception of the current policy period, the Limit of Insurance is increased, or Additional Coverages or Causes of Loss are insured, the rate and rules in effect at the time of the change will be applied to calculate the premium and will continue to apply to the change at subsequent anniversary dates.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Section II – Liability is amended as follows:

- A.** The following is added to Paragraph **B. Exclusions**:

This insurance does not apply to:

Perfluoroalkyl And Polyfluoroalkyl Substances

- a.** "Bodily injury" or "property damage" which would not have occurred, or "personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".
- b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.

- B.** The following is added to Paragraph **F. Liability And Medical Expenses Definitions**:

"Perfluoroalkyl or polyfluoroalkyl substances" means any:

- 1.** Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:
 - a.** Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;
 - b.** Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;
 - c.** Perfluoropolyethers (PFPE);
 - d.** Fluorotelomer-based substances; or
 - e.** Side-chain fluorinated polymers; or
- 2.** Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph **B.1.**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EQUIPMENT BREAKDOWN COVERAGE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION I – PROPERTY is revised as follows:

A. The following is added to Paragraph **A.3. Covered Causes of Loss**:

Additional Coverage – “Equipment Breakdown”

The term Covered Cause of Loss includes the Additional Coverage Equipment Breakdown as described and limited below.

- 1.** We will pay for direct physical loss or damage to Covered Property at the premises shown in the Declarations caused by or resulting from an “equipment breakdown”. “Equipment breakdown” loss or damage must be caused by, resulting from, or consisting of:
 - a.** Mechanical breakdown;
 - b.** Electrical or electronic breakdown and “electronic equipment deficiency”;
 - c.** Rupture, bursting, bulging, implosion, or steam explosion; or
 - d.** Artificially generated electrical current, including electrical arcing, that disturbs electrical devices, appliances or wires.
- 2.** “Equipment breakdown” does not include:
 - a.** Physical loss or damage caused by or resulting from any of the following:
 - (1)** Wear and tear;
 - (2)** Rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any other quality in property that causes it to damage or destroy itself;
 - (3)** Smog;
 - (4)** Settling, cracking, shrinking or expansion;
 - (5)** Nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals;
 - (6)** Any accident, loss, damage, cost, claim or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition, interpretation, calculation, comparison, differentiation, sequencing, or processing of electronic data by any computer system including any hardware, programs or software; or
 - (7)** Marring or scratching.

However, if loss or damage not otherwise excluded results, then we pay for such resulting damage.

- b.** Any loss, damage cost or expense directly caused by, contributed to by, resulting from or arising out of the following Covered Causes of Loss:

Fire, lightning, combustion explosion, windstorm or hail, weight of snow, ice or sleet, falling objects, smoke, aircraft or vehicles, riot or civil commotion, vandalism, sinkhole collapse, volcanic action, leakage from fire extinguishing equipment, water damage, earth movement and flood.

3. The following coverages also apply to the direct result of an “equipment breakdown.” These coverages do not provide additional amounts of insurance.

a. Expediting Expenses

With respect to your damaged Covered Property, we will pay the reasonable extra cost to:

- (1) Make temporary repairs; and
- (2) Expedite permanent repairs or permanent replacement.

b. Pollutant Clean Up and Removal

We will pay your additional cost to repair or replace Covered Property because of contamination by a “hazardous substance.” This includes the additional expenses to clean up or dispose of such property.

This does not include contamination of “perishable goods” by refrigerant which is addressed in **3.i.** below. As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no “hazardous substance” been involved.

The most we will pay for loss, damage or expense under this coverage is \$250,000 unless another limit is provided by the Deductible and Limits Exceptions Schedule to which this endorsement can be attached. In that case, the limit provided by the Deductible and Limits Exceptions Schedule will apply.

c. Spoilage

(1) We will pay:

- (a) For physical damage to “perishable goods” due to spoilage;
 - (b) Any necessary expenses you incur to reduce the amount of loss under this coverage to the extent that they do not exceed the amount of loss that otherwise would have been payable under this coverage.
- (2) If you are unable to replace the “perishable goods” before its anticipated sale, the amount of our payment will be determined on the basis of the sales price of the “perishable goods” at the time of the “equipment breakdown,” less discounts and expenses you otherwise would have had. Otherwise our payment will be determined in accordance with the Loss Payment condition.

The most we will pay for loss, damage or expense under this coverage is \$250,000 unless another limit is provided by the Deductible and Limits Exceptions Schedule to which this endorsement can be attached. In that case, the limit provided by the Deductible and Limits Exceptions Schedule will apply.

d. Data Restoration

We will pay for your reasonable and necessary cost to research, replace and restore lost electronic data.

The most we will pay for loss or expense under this coverage is \$100,000.

e. Service Interruption

(1) Any insurance provided for Business Income, Extra Expense, Data Restoration or Spoilage is

extended to apply to your loss, damage or expense caused by the interruption of GRANITE ROW . The interruption must result from an “equipment breakdown” to equipment, including overhead transmission lines, that is owned by a utility, landlord, a landlord’s utility or other supplier who provides you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, internet access, telecommunications services, wide area networks, “cloud computing” or data transmission. The equipment must meet the definition of “equipment breakdown” except that it is not Covered Property.

- (2) The most we will pay for loss, damage or expense under this coverage is the applicable limit for Business Income, Extra Expense, Data Restoration or Spoilage.

f. “Fungi,” Wet Rot or Dry Rot

- (1) We will pay your additional cost to repair or replace Covered Property because of contamination by “fungi,” wet rot or dry rot resulting from an “equipment breakdown.” This includes the additional costs to clean up or dispose of such property. This does not include spoilage of personal property that is “perishable goods” to the extent that such spoilage is covered under Spoilage coverage.
- (2) As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no “fungi,” wet rot or dry rot been involved.
- (3) We will also pay the cost of testing performed after repair or replacement of the damaged Covered Property is completed only to the extent that there is reason to believe there is the presence of “fungi,” wet rot or dry rot.
- (4) This coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.
- (5) The most we will pay or loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, is \$15,000.

g. Business Income and Extra Expense

Any insurance provided under this policy for Business Income or Extra Expense is extended to the coverage provided by this endorsement. However, if a deductible is shown in the Deductible and Limits Exceptions Schedule, then as respects Equipment Breakdown coverage, the “period of restoration” will begin immediately after the “equipment breakdown,” and the deductible shown in the “schedule” will apply. The most we will pay for loss or expense under this coverage is the applicable limit for Business Income and Extra Expense unless another limit is provided by the Deductible and Limits Exceptions Schedule to which this endorsement can be attached. In that case, the limit provided by the Deductible and Limits Exceptions Schedule will apply.

h. Computer Equipment

We will pay for loss, damage or expense caused by or resulting from an “equipment breakdown” to “computer equipment.”

i. Refrigeration Contamination

- (1) We will pay for loss to “perishable goods” due to contamination by refrigerant used in refrigerating, cooling or humidity control equipment.
- (2) If you are unable to replace the “perishable goods” before its anticipated sale, the amount of our payment will be determined on the basis of the sales price of the “perishable goods” at the time of the “equipment breakdown,” less discounts and expenses you otherwise would have had. Otherwise our payment will be determined in accordance with the Valuation condition of this policy.

The most we will pay for loss, damage or expense under this coverage is \$250,000 unless another limit is

provided by the Deductible and Limits Exceptions Schedule to which this endorsement can be attached. In that case, the limit provided by the Deductible and Limits Exceptions Schedule will apply.

j. CFC Refrigerants

We will pay for the additional costs to repair or replace Covered Property due to an “equipment breakdown” because of the use or presence of a refrigerant containing CFC (chlorofluorocarbon) substances.

As used in this coverage, additional costs mean those in excess of what would have been required to repair or replace covered property, had no CFC refrigerant been involved.

We also pay for additional loss, as described under the Spoilage or Business Income coverages provided by this endorsement, caused by the presence of a refrigerant containing CFC substances.

We pay no more than the least of the following:

- (1) The cost to repair the damaged property and replace any lost CFC refrigerant;
- (2) The cost to repair the damaged property, retrofit the system to accept a non-CFC refrigerant, and charge the system with a non-CFC refrigerant; or
- (3) The cost to replace the system with one using a non-CFC refrigerant.

k. Temperature Fluctuation

We will pay for loss of “perishable goods” caused by or resulting from any condition or event to Covered Property that can be resolved by calibrating, resetting, tightening, adjusting or cleaning.

However, we will not pay for loss of “perishable goods” as a result of resetting the power supply to the Covered Property containing the “perishable goods”.

The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain or necessary Extra Expense you incur, is \$5,000.

l. Unauthorized Instruction

We will pay for loss or damage to your “computer equipment” caused by an “unauthorized instruction” which results in an “equipment breakdown”.

m. Risk Improvement

If Covered Property suffers direct physical loss or damage due to an “equipment breakdown”, we will pay for the insured to improve the “power quality” of the electrical system or equipment at the loss location
ASHCROFT ENTERPRISES

We will pay the reasonable extra cost to improve “power quality” for the following electrical systems and/or equipment improvements:

- (1) Installation of surge protection devices (SPD's) which are installed at the loss location's line disconnect, load disconnect, or on specific pieces of equipment and that are certified by Underwriter Laboratories (UL) or has an equivalent certification

However, SPD's do not include any SPD's which are cord-connected surge strips, direct plug-in SPD's or receptacle SPD's;

- (2) An upgrade or replacement of; electrical panels, switchgear or circuit breakers; or
- (3) Electrical wire and wiring improvements which include installation of; flexible conduit, junction boxes or ground wiring.

We will not pay more than 10%, to a maximum limit of \$10,000, of the loss amount paid. An invoice for implementation must be sent to us within 180 Days after the payment of the loss is received.

n. Off-Premises Coverage

We will pay for loss or damage to Covered Property due to an "equipment breakdown" while temporarily at a premises that is not the premises shown in the Declarations.

The most we will pay for loss, damage or expense under this coverage is \$25,000.

B. The following is added to Paragraph B. Exclusions: Equipment Breakdown Exclusions

All exclusions in the Businessowners Coverage Form apply except as modified below and to the extent that coverage is specifically provided by this endorsement.

1. The exclusions are modified as follows:

a. The following is added to Exclusion B.1.g.:

However, if electrical Covered Property requires drying out because of Water, we will pay for the direct expenses of such drying out subject to the applicable Limit of Insurance and deductible for Building or Business Personal Property, whichever applies.

b. As respects this endorsement only, the next to the last paragraph in Exclusion B.1.h. is deleted and replaced with the following:

However, if excluded loss or damage, as described in Paragraph (1) above results in an "equipment breakdown," we will pay only for the loss, damage or expense caused by such "equipment breakdown."

c. As respects this endorsement only, the last paragraph of Exclusion B.2.i. is deleted and replaced with the following:

But if an excluded cause of loss results in an "equipment breakdown," we will pay for the loss, damage or expense caused by that "equipment breakdown."

d. The following is added to Exclusions B.2.m. and B.2.n:

We will also pay for direct physical loss or damage caused by an "equipment breakdown."

2. The following exclusions are added:

a. We will not pay under this endorsement for loss, damage or expense caused by or resulting from:

(1) A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment; or

(2) Any of the following:

(a) Defect, programming error, programming limitation, computer virus, malicious code, loss of data, loss of access, loss of use, loss of functionality or other condition within or involving "electronic data" of any kind; or

- (b) Misalignment, miscalibration, tripping off-line, or any condition which can be corrected by resetting, tightening, adjusting or cleaning, or by the performance of maintenance except as specifically provided in **3.k.** above.

However, if an “equipment breakdown” results, we will pay for the resulting loss, damage or expense caused by that “equipment breakdown.”

- b. With respect to Service Interruption and “Fungi,” Wet Rot, and Dry Rot coverages, we will also not pay for an “equipment breakdown” caused by or resulting from: fire; lightning; windstorm or hail; explosion (except as specifically provided in **A.1.c.** above); smoke; aircraft or vehicles; riot or civil commotion; vandalism; sprinkler leakage; falling objects; weight of snow, ice or sleet; freezing; collapse; flood or earth movement.
- c. With respect to Business Income, Extra Expense and Service Interruption coverages, we will also not pay for any increase in loss resulting from an agreement between you and your customer or supplier.
- d. Except as specifically provided under **A.2.f.** “Fungi,” Wet Rot or Dry Rot coverage, we will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an “equipment breakdown”: Any “fungi,” wet rot or dry rot, including any presence, growth, proliferation, spread or any activity of “fungi,” wet rot or dry rot. This includes, but is not limited to, costs arising from clean up, removal, or abatement of such “fungi,” wet rot or dry rot. However, this exclusion does not apply to spoilage of personal property that is “perishable goods,” to the extent that such spoilage is covered under Spoilage coverage

C. DEDUCTIBLES

The property deductible in the Declarations applies unless a separate Equipment Breakdown deductible is shown in the Deductible and Limits Exceptions Schedule. If a separate Equipment Breakdown deductible is shown, the following applies. Only as regards Equipment Breakdown Coverage, provision **D. Deductibles** is deleted and replaced with the following:

1. Deductibles for Each Coverage

- a. Unless the Deductible and Limits Exceptions Schedule indicates that your deductible is combined for all coverages, multiple deductibles may apply to any “equipment breakdown.”
- b. We will not pay for loss, damage or expense under any coverage until the amount of the covered loss, damage or expense exceeds the deductible amount indicated for that coverage in the Deductible and Limits Exceptions Schedule. We will then pay the amount of loss, damage or expense in excess of the applicable deductible amount, subject to the applicable limit.
- c. If deductibles vary by type of Covered Property and more than one type of Covered Property is involved in any “equipment breakdown,” only the highest deductible for each coverage will apply.

2. Direct and Indirect Coverages

- a. Direct Coverages Deductibles and Indirect Coverages Deductibles may be indicated in the Deductible and Limits Exceptions Schedule Unless more specifically indicated in the Deductible and Limits Exceptions Schedule :

(1) Indirect Coverages Deductibles apply to Business Income and Extra Expense loss; and

(2) Direct Coverages Deductibles apply to all remaining loss, damage or expense covered by this endorsement.

3. Application of Deductibles

a. Dollar Deductibles

We will not pay for loss, damage or expense resulting from any "equipment breakdown" until the amount of loss, damage or expense exceeds the applicable Deductible shown in the Deductible and Limits Exceptions Schedule. We will then pay the amount of loss, damage or expense in excess of the applicable Deductible or Deductibles, up to the applicable Limit of Insurance.

b. Time Deductible

If a time deductible is shown in the Deductible and Limits Exceptions Schedule, we will not be liable for any loss occurring during the specified number of hours or days immediately following the "equipment breakdown." If a time deductible is expressed in days, each day shall mean twenty-four consecutive hours.

c. Multiple of Average Daily Value (ADV)

If a deductible is expressed as a number times ADV, that amount will be calculated as follows:

The ADV (Average Daily Value) will be the Business Income (as defined in any Business Income coverage that is part of this policy) that would have been earned during the period of interruption of business had no "equipment breakdown" occurred, divided by the number of working days in that period. No reduction shall be made for the Business Income not being earned, or in the number of working days, because of the "equipment breakdown" or any other scheduled or unscheduled shutdowns during the period of interruption. The ADV applies to the Business Income value of the entire location, whether or not the loss affects the entire location. If more than one location is included in the valuation of the loss, the ADV will be the combined value of all affected locations. For purposes of this calculation, the period of interruption may not extend beyond the "period of restoration."

The number indicated in the Deductible and Limits Exceptions Schedule will be multiplied by the ADV as determined above. The result shall be used as the applicable deductible.

d. Percentage of Loss Deductibles

If a deductible is expressed as a percentage of loss, we will not be liable for the indicated percentage of the gross amount of loss, damage or expense (prior to any applicable deductible or coinsurance) insured under the applicable coverage. If the dollar amount of such percentage is less than the indicated minimum deductible, the minimum deductible will be the applicable deductible.

D. CONDITIONS

The following conditions are in addition to the Conditions in the Businessowners Coverage Form.

1. Suspension

Whenever Covered Property is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss from an "equipment breakdown" to that Covered Property. This can be done by mailing or delivering a written notice of suspension to:

- a.** Your last known address; or
- b.** The address where the Covered Equipment is located.

Once suspended in this way, your insurance can be reinstated only by an endorsement for that Covered Property. If we suspend your insurance, you will get a pro rata refund of premium for that Covered Property for the period of suspension. But the suspension will be effective even if we have not yet made or offered a refund.

2. Jurisdictional Inspections

If any property that is Covered Property under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

3. Environmental, Safety and Efficiency Improvements

If Covered Property requires replacement due to an "equipment breakdown," we will pay your additional cost to replace with equipment that is better for the environment, safer for people, or more energy or water efficient than the equipment being replaced.

However, we will not pay more than 150% of what the cost would have been to repair or replace with like kind and quality. This condition does not apply to the replacement of component parts or to any property to which Actual Cash Value applies and does not increase any of the applicable limits.

4. Green Environmental and Efficiency Improvements

a. If Covered Property requires repair or replacement due to an "equipment breakdown", we will pay:

- (1) The lesser of the reasonable and necessary additional cost incurred by the insured to repair or replace physically damaged Covered Property of like kind and quality which qualifies as "green". As used in the coverage, like kind and quality means similar size and capacity.
- (2) The additional reasonable and necessary fees incurred by the insured for an accredited professional certified by a "green authority" to participate in the repair or replacement of the physically damaged Covered Property as "green."
- (3) The additional reasonable and necessary cost incurred by the insured for certification or recertification of the repaired or replaced Covered Property as "green."
- (4) The additional reasonable and necessary cost incurred by the insured for "green" in the removal, disposal or recycling of physically damaged Covered Property.
- (5) The Business Income loss, if shown as covered, during the additional time required for repair or replacement of Covered Property, consistent with "green", in the coverages above.

We will not pay more than 150%, to a maximum limit of \$100,000, of what the cost would have been to repair or replace with Covered Property of like kind and quality inclusive of fees, costs and any Business Income loss incurred as stated above.

b. Green Environmental and Efficiency Improvements does not cover any of the following:

- (1) Covered Property does not include "stock", raw materials, finished goods, "production machinery", merchandise, electronic data processing equipment not used in the functional support of the real property, process water, molds and dies, property in the open, property of others for which the insured is legally liable for or personal property of others.
- (2) Any loss adjusted on any valuation basis other than repair or replacement basis as per the Valuation section of the policy.
- (3) Any loss covered under any other section of the policy.
- (4) Any cost incurred due to any law or ordinance with which the insured was legally obligated to comply with prior to the time of the "equipment breakdown".

E. The following are added to Paragraph **H. Property Definitions**:

1. **"Cloud computing"** means on-demand network access to a shared pool of computing resources via networks, servers, storage, applications and services provided by an organization with whom you have a contract with using the following service models: Software as a Service (SaaS), Platform as a Service (PaaS) and Infrastructure as a Service (IaaS) on the following deployment models: public cloud, community cloud, hybrid cloud and private cloud
2. **"Computer equipment"** means Covered Property that is electronic computer or other data processing equipment, including peripherals used in conjunction with such equipment and electronic media and records.
3. **"Electronic equipment"** means devices which operate using many small electrical parts such as, but not limited to, microchips, transistors or circuits.
4. **"Electronic equipment deficiency"** means the quality or condition inside of "electronic equipment" which renders this equipment unexpectedly inoperable and which is operable again once a piece of "electronic equipment" has been replaced.

However, "electronic equipment deficiency" will not include replacement of "electronic equipment" for any condition that could have been resolved without replacement of the "electronic equipment" including but not limited to "computer equipment" maintenance or the reinstallation or incompatibility of software.

5. **"Equipment breakdown"** means:

(1) Physical loss or damage, both originating within:

(a) Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure of contents, excluding:

(i) Waste disposal piping;

(ii) Any piping forming part of a fire protective system;

(iii) Furnaces; and

(iv) Any water piping other than:

1) Boiler feed water piping between the feed pump and the boiler;

2) Boiler condensate return piping; or

3) Water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes.

(2) All mechanical, electrical, "electronic equipment" or fiber optic equipment.

6. **"Green"** means products, materials, methods and processes certified by a "green authority" that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.
7. **"Green Authority"** means an authority on "green" buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), Green Building Initiative Green Globes®, Energy Star Rating System or any other recognized "green" rating system.
8. **"Hazardous substance"** means any substance that is hazardous to health or has been declared to be hazardous to health by a governmental agency.
9. **"Perishable goods"** means personal property maintained under controlled conditions for its preservation, and susceptible to loss or damage if the controlled conditions change.

10. ***“Power quality”*** means the conditions that allow electrical systems or equipment to operate as intended by limiting voltage fluctuations and other power influences that would adversely affect the operational performance and/or reduce the reliability, or the life-span of the electrical system.
11. ***“Production machinery”*** means any machine or apparatus that processes or produces a product intended for eventual sale. However, “production machinery” does not mean any fired or unfired pressure vessel other than a cylinder containing a movable plunger or piston.
12. ***“Unauthorized instruction”*** means a virus, harmful code or similar instruction introduced into or enacted on a computer system or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation.

The most we will pay for loss, damage or expense under this endorsement arising from any “equipment breakdown” is the applicable Limit of Insurance in the Declarations. Coverage provided under this endorsement does not provide an additional amount of insurance.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

OFFICE PLUS

COVERAGE INDEX

This is a summary of the various additional coverages and coverage extensions provided by this endorsement. No coverage is provided by this summary. Refer to the actual endorsement (beginning on page 2) for changes affecting your Businessowners policy.

Description	Limit	Page
Accounts Receivable - On Premises	\$25,000	4
- Off Premises	\$10,000	
Additional Insureds - By Contract, Agreement Or Permit	Included	11
Annual Aggregate Limits Per Location	Included	11
(General Aggregate Limit Amendment)		
Brands And Labels	Included in the BPP Limit	4
Broad Named Insured	Included	11
Business Income - Waiting Period Redefined	24 Hours	8
Business Income From Dependent Properties	\$25,000	3
Claims Expense	\$5,000 / \$500 per Day for Loss of Earnings	4
"Computer" Coverage	Included in the BPP Limit plus \$40,000	5
Computer Fraud & Funds Transfer Fraud	\$25,000	5
Contractor's Installation, Tools and Equipment -		
At Any Covered Job Site	\$10,000	
At All Covered Job Sites	\$10,000	
Contractors' Tools and Equipment	\$3,000	
Damage to Building Caused by Theft Or Vehicle	Included in the BPP Limit	5
Debris Removal	25% of Direct Physical Loss plus \$25,000	2
Employee Dishonesty	\$25,000	5
Employment Practices Liability	\$100,000	10
Equipment Breakdown Coverage	Included in the Property Limits	5
Extended Business Income	Coverage expanded to 120 days	3
Fine Arts Coverage	Included in the BPP Limit plus \$25,000	5
Fire Department Service Charge	\$10,000	2
Fire Extinguisher Systems Recharge Expense	\$15,000	3
Fire Legal Liability	\$500,000	11
Forgery Or Alteration	\$25,000	3
Identity Recovery Coverage	\$15,000	5
Incidental Medical Malpractice	Included	10
Interruption of Computer Operations	\$25,000	3
Lock And Key Replacement	\$1,000	6
Money, Securities And Credit Card Slips – Inside the Premises	\$25,000	6
- Outside the Premises	\$10,000	
Money Orders and "Counterfeit Money"	\$10,000	3
Newly Acquired or Constructed Property - Building	\$500,000	3
- BPP	\$250,000	
Ordinance Or Law Coverage - Coverage 1	Building Limit	6
- Coverage 2 & 3	\$250,000 Blanket	
Ordinance Or Law – Equipment Coverage	Included in the BPP Limit	6
Outdoor Property	\$10,000, max. \$500 per tree, shrub or bush	4
Outdoor Signs	\$5,000	7
Personal Effects	Included in the BPP Limit	4
Property - Off Premises	\$25,000	4
Property Loss Condition - No Coinsurance	Included	7

Description	Limit	Page
Pollutant Clean Up And Removal	\$25,000	3
Premises Boundary Increased	1,000 feet	2
Property Damage Liability - Elevator And Sidetrack Agreements	Included	10
Reward Payment	\$5,000	8
Spoilage Coverage	\$25,000	7
Supplementary Payments - Bail Bonds	\$2,500	9
Unintentional Failure to Disclose Hazards	Included	12
Utility Service - Direct Damage	\$25,000	7
Utility Service - Time Element	\$25,000	7
Valuable Papers And Records - On Premises	\$25,000	4
- Off Premises	\$10,000	
Voluntary Property Damage	\$10,000 Occurrence / \$25,000 Aggregate	9
Water Back-Up And Sump Overflow	\$25,000 Covered Property	7
	\$5,000 Business Income & Extra Expense	

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

Except as otherwise provided, the following Extensions apply to property located in or on the Building described in the Declarations or in the open (or in a vehicle) within 1,000 feet of the described premises. All references to 100 feet that appear in the Businessowners Coverage Form are amended to read 1,000 feet.

The Limits of Insurance apply unless a higher Limit of Insurance is shown in the Declarations. These Coverages and Extensions are subject to all the terms, deductibles, exclusions, and conditions applicable to this policy except as otherwise provided in this endorsement.

I. SECTION I – PROPERTY is revised as follows:

A. Business Personal Property Extension

Paragraph (6) is added to A.1.b.:

(6) Materials, supplies, books, diagnostic equipment and medical equipment/instruments used in your profession.

B. Additional Coverages

A.5. Additional Coverages is amended as follows:

1. Debris Removal

The limit of insurance under a. Debris Removal is increased from \$10,000 to \$25,000.

2. Fire Department Service Charge

The limit of insurance under c. Fire Department Service Charge is increased from \$2,500 to \$10,000.

3. Extended Business Income

a. If Form MU 82 74, Business Income & Extra Expense Exclusion, or Form MU 82 51, Business Income & Extra Expense Limitation, is attached to this policy, there is no change to f. Extended Business Income.

- b. If Form **MU 82 74, Business Income & Extra Expense Exclusion**, or Form **MU 82 51, Business Income & Extra Expense Limitation** is not attached to this policy, then the length of **f. Extended Business Income**, is increased from 30 consecutive days to 120 consecutive days.

4. Pollutant Clean-up And Removal

The limit of insurance under **h. Pollutant Clean-up and Removal** is increased from \$10,000 to \$25,000.

5. Money Orders and "Counterfeit Money"

The limit of insurance under **j. Money Orders and "Counterfeit Money"** is increased from \$1,000 to \$10,000, unless a higher Limit of Insurance is shown in the Declarations.

6. Forgery Or Alteration

The limit of insurance under **k. Forgery Or Alteration** is increased from \$2,500 to \$25,000, unless a higher Limit of Insurance is shown in the Declarations.

7. Business Income From Dependent Properties

- a. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is attached to this policy, **m. Business Income From Dependent Properties** is deleted.
- b. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is not attached to this policy, the limit of insurance under **m. Business Income From Dependent Properties** is increased from \$5,000 to \$25,000, unless a higher Limit of Insurance is shown in the Declarations.

8. Fire Extinguisher Systems Recharge Expense

The limit of insurance under **o. Fire Extinguisher Systems Recharge Expense** is increased from \$5,000 to \$15,000

9. Interruption of Computer Operations

- a. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is attached to this policy, **q. Interruption of Computer Operations** is deleted.
- b. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is not attached to this policy, the limit of insurance under **q. Interruption of Computer Operations** is increased from \$10,000 to \$25,000 unless a higher Limit of Insurance is shown in the Declarations.

C. Coverage Extensions

A.6. Coverage Extensions is amended as follows:

1. Newly Acquired Or Constructed Property

- a. Under Paragraph **a.(1) Buildings**, the limit of insurance is increased from \$250,000 to \$500,000 at each building.
- b. Under Paragraph **b.(2) Business Personal Property**, the limit of insurance is increased from \$100,000 to \$250,000 at each building.
- c. Under Paragraph **c.(3) Period of Coverage**, the coverage period is increased from 30 days to 90 days.

2. Personal Property Off-premises

The limit of insurance under **b. Personal Property Off-premises** is increased from \$10,000 to \$25,000.

3. Outdoor Property

The limit of insurance under **c. Outdoor Property** is increased from \$2,500 to \$10,000. However, we will not pay more than \$1,000 for any one tree, shrub or plant.

4. Personal Effects

The limit of insurance under **d. Personal Effects** is deleted. Coverage for Personal Effects is included in the Business Personal Property Limit of Insurance shown in the Declarations.

5. Valuable Papers and Records

Under **e. Valuable Papers and Records**, the limit of insurance for "valuable papers and records" at the described premises is increased from \$10,000 to \$25,000, unless a higher Limit of Insurance is shown in the Declarations. The limit of insurance for "valuable papers and records" not at the described premises is increased from \$5,000 to \$10,000.

6. Accounts Receivable

The limit of insurance for **f. Accounts Receivable**, at the described premises is increased from \$10,000 to \$25,000 unless a higher Limit of Insurance for Accounts Receivable is shown in the Declarations. The limit of insurance for Accounts Receivable not at the described premises is increased from \$5,000 to \$10,000.

D. Automatic Property Coverages

The following coverages are included in this policy.

1. Brands And Labels

When this policy includes coverage for Business Personal Property, as indicated by a Limit of Insurance shown in the Declarations, coverage for Brands and Labels is included within the applicable Business Personal Property Limit of Insurance shown in the Declarations. If branded or labeled merchandise that is Covered Property is damaged by a Covered Cause of Loss, we may take all or any part of the property at an agreed or appraised value. If so, you may extend the insurance that applies to your Business Personal Property to pay reasonable expenses you incur to:

- a.** Stamp the word "salvage" on the merchandise or its containers, if the stamp will not physically damage the merchandise; or
- b.** Remove the brands or labels, if doing so will not physically damage the merchandise or its containers to comply with the law.

Payment of these expenses is included within the applicable Business Personal Property Limit of Insurance.

2. Claims Expense

You may extend the insurance provided by this coverage form to apply to all reasonable expenses you incur at our request to assist us in the investigation or defense of the claim, including actual loss of earnings up to \$500 a day, because of time off work. This includes the cost of taking inventories and preparing other documentations to show the extent of the loss.

The most we will pay for the preparation of claim data under this Coverage Extension is \$5,000. We will not pay for any expenses billed by or payable to insurance adjusters or attorneys or any costs as provided in the **Property Loss Condition E.2. Appraisal**.

3. "Computer" Coverage

When this policy includes coverage for Business Personal Property, as indicated by a Limit of Insurance shown in the Declarations, coverage for "Computer(s)" is included within the applicable Business Personal Property Limit of Insurance shown in the Declarations. We will pay up to an

additional \$40,000 in any one occurrence of direct physical loss of or damage to "Computer(s)" at the premises described in the Declarations caused by or resulting from a Covered Cause of Loss.

4. Computer Fraud and Funds Transfer Fraud

Form **BP 05 47, Computer Fraud and Funds Transfer Fraud**, is included in this policy. The Limit of Insurance is \$25,000.

5. Damage To Building Caused By Theft Or Vehicle

You may extend the insurance that applies to your Business Personal Property to apply to damage caused directly by theft or attempted theft, or by a motor vehicle to:

- a. That part of any building containing Covered Property including permanently installed fixtures, machinery, and equipment;
- b. Equipment within the building used to maintain or service the building; or
- c. Outdoor fixtures.

Under this Coverage Extension, we will not pay for damage caused by fire or explosion, or to damage to glass (including lettering, ornamentation, or burglar tape on glass).

6. Employee Dishonesty

- a. If the named insured employs more than 50 employees at all insured locations combined, coverage for Employee Dishonesty is excluded.
- b. If the named insured employs 50 or fewer employees at all insured locations combined, **Employee Dishonesty**, as described in **G. Optional Coverages** of form **BP 00 03**, applies to this policy. The most we will pay for loss or damage in any one occurrence is \$25,000 unless a higher Limit of Insurance is shown in the Declarations. A per occurrence deductible of \$250 will apply.

7. Equipment Breakdown Coverage

Coverage for Equipment Breakdown applies. The provisions as shown in form **MU 82 39, Equipment Breakdown Coverage**, apply to this Coverage Extension. Paragraph **G. Optional Coverages, 4. Equipment Breakdown Protection Coverage** does not apply to this policy.

8. Fine Arts Coverage

When this policy includes coverage for Business Personal Property, as indicated by a Limit of Insurance shown in the Declarations, coverage for Fine Arts is included within the applicable Business Personal Property Limit of Insurance shown in the Declarations. We will pay up to an additional \$25,000 for Fine Arts Coverage, unless a higher Limit of Insurance is shown in the Declarations. The provisions as shown in form **MU 82 85, Fine Arts Coverage**, apply to this coverage. A per occurrence deductible of \$250 will apply.

9. Identity Recovery Coverage

In the event of a covered "identity theft" we will provide Expense Reimbursement Coverage, up to an annual aggregate limit of \$15,000. Refer to coverage form **MU 81 86, Identity Recovery Coverage**, for the terms, conditions, definitions and deductibles applicable to this coverage.

10. Lock and Key Replacement

We will pay for the cost to repair or replace locks or keys at the described premises due to theft of keys from your premises. The most we will pay under this Coverage Extension in any one occurrence is \$1,000. A per occurrence deductible of \$50 will apply.

11. Money, Securities and Credit Card Slips

Money And Securities, as described in **G. Optional Coverages** of form **BP 00 03**, applies to this policy. Coverage for credit card slips is included in this Coverage. The Inside the Premises limit of insurance is \$25,000 unless a higher Limit of Insurance is shown in the Declarations. The Outside the Premises limit of insurance is \$10,000. A per occurrence deductible of \$250 will apply.

12. Ordinance Or Law Coverage

When this policy includes coverage for Building, and the Replacement Cost loss valuation condition applies, Ordinance or Law Coverage is provided as Additional Coverage. The provisions as shown in either coverage form **BP 06 67** for NY or **BP 04 46** for all other states apply to this coverage.

The most we will pay under this Additional Coverage:

- a. For **Coverage 1 – Coverage For Loss To The Undamaged Portion Of The Building** is the Building Limit of Insurance shown in the Declarations as applicable to the covered building;
- b. For **Coverage 2 – Demolition Cost Coverage and Coverage 3 – Increased Cost Of Construction Coverage**, the most we will pay for the total of all covered losses is \$250,000, unless a higher Limit of Insurance is shown in the Declarations.

13. Ordinance Or Law – Equipment Coverage

If a Covered Cause of Loss occurs to equipment that is Covered Property, you may extend the insurance that applies to your Business Personal Property to apply to the repair or replacement of the equipment as required by law, subject to the following:

- a. If a Covered Cause of Loss occurs to refrigeration equipment that is Covered Property, we will pay:
 - (1) The cost to reclaim the refrigerant as required by law;
 - (2) The cost to retrofit the equipment to use a non-CFC refrigerant as required by the Clean Air Act of 1990, and any amendments thereto or any other similar laws; and
 - (3) The increased cost to recharge the system with a non-CFC refrigerant.
- b. The terms of this Coverage Extension apply separately to each piece of covered equipment.
- c. We will not pay under this Coverage Extension for the costs associated with the enforcement of any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungi", wet or dry rot or bacteria.
- d. Loss to the equipment will be determined as follows:
 - (1) If the equipment is repaired or replaced, on the same or another premises, we will not pay more than the lesser of:
 - (a) The amount you actually spend to repair the equipment, but not for more than the amount it would cost to replace the equipment with equipment of the same kind and quality; or
 - (b) The Limit of Insurance shown in the Declarations as applicable to the covered Building or Business Personal Property.
 - (2) If the equipment is not repaired or replaced, we will not pay more than the lesser of:
 - (a) The actual cash value of the equipment at the time of loss; or
 - (b) The Limit of Insurance shown in the Declarations as applicable to the Building or Business Personal Property.

(3) We will not pay for loss due to any ordinance or law that:

- (a) You were required to comply with before the loss, even if the equipment was undamaged; and
- (b) You failed to comply with.

14. Outdoor Signs

Outdoor Signs, G. Optional Coverages of form **BP 00 03**, applies to this policy. Coverage is included within the applicable Business Personal Property Limit of Insurance shown in the Declarations. A per occurrence deductible of \$250 will apply.

15. Spoilage Coverage

Form **BP 04 15, Spoilage Coverage**, is included in this policy. The limit of insurance is \$25,000 unless a higher Limit of Insurance is shown in the Declarations. A per occurrence deductible of \$500 will apply.

16. Utility Service – Direct Damage

Form **BP 04 56, Utility Service – Direct Damage**, is included in this policy. The limit of insurance is \$25,000 unless a different Limit of Insurance is shown in the Declarations.

17. Utility Service – Time Element

- a. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is attached to this policy, Utility Service – Time Element coverage does not apply.
- b. If Form **MU 82 74, Business Income & Extra Expense Exclusion** is not attached to this policy, form **BP 04 57, Utility Service – Time Element**, is included in this policy. The limit of insurance is \$25,000 unless a different Limit of Insurance is shown in the Declarations.

18. Water Back-Up And Sump Overflow

Form **BP 04 53, Water Back-Up and Sump Overflow**, is included in this policy. The Covered Property Annual Aggregate Limit of Insurance is \$25,000. The Business Income and Extra Expense Annual Aggregate Limit of Insurance is \$5,000.

E. Deductibles

The Optional Coverage deductible described in paragraph **D.2. Deductibles** and shown in the Declarations also applies to loss or damage to Building Glass.

F. Property Loss Conditions

1. Insurance to Value Provision

- a. If the Actual Cash Value – Building option applies, as shown in the Declarations, we will determine the value of Buildings at actual cash value in accordance with paragraph **E.5.d.(2)**.
- b. If the Actual Cash Value – Building option does not apply, form **BP 04 83, Removal of Insurance-ToValue Provision** is included in this policy. This endorsement removes property loss conditions relating to the application of coinsurance in determination of payment of a covered loss.

2. Property of Others

Paragraph **E.5.d.(3)(b)** is replaced by the following:

Property of others if the actual cash value option is selected for your Business Personal Property. However, if the replacement cost option applies to your Business Personal Property, property of others will be valued on a replacement cost basis.

3. Reward Payment

Paragraph 9. is added:

9. We will reimburse you for up to \$5,000 for rewards paid to an “eligible person” for information leading to the arrest and conviction of any person or persons committing a crime resulting in loss of or damage to Covered Property from a Covered Cause of Loss. However, we will pay no more than the lesser of the following amounts:

- (1) Actual cash value of the Covered Property at the time of loss or damage, but not more than the amount required to repair or replace it; or
- (2) The amount determined by the loss settlement procedure applicable to the Covered Property under **E.5. Loss Payment**.

As used in this Condition, an “eligible person” means that person designated by a law enforcement agency as being the first to voluntarily provide the information leading to the arrest and conviction or return of the stolen Covered Property, and who is not:

- (1) You or any family member;
- (2) Your employee or any of his or her family members;
- (3) An employee of a law enforcement agency;
- (4) An employee of a business engaged in property protection;
- (5) Any person who had custody of the Covered Property at the time the theft was committed; or
- (6) Any person involved in the crime.

No reward will be reimbursed unless and until the person(s) committing the crime is (are) convicted or the Covered Property is returned.

The lesser of the amount of the reward or \$5,000 is the most we will reimburse for loss under this Condition in any one occurrence.

G. Business Income Waiting Period Redefined

1. If form **MU 82 74, Business Income & Extra Expense Exclusion** applies to this policy, the following paragraph does not apply and the provisions of form **MU 82 74** will prevail.
2. If form **MU 82 74, Business Income & Extra Expense Exclusion** does not apply to this policy, the definition of “period of restoration” in paragraph **H. Property Definitions** is revised as follows:

Paragraph **9.a.(1)(a)** is replaced by the following:

- a. 24 hours after the time of direct physical loss or damage for Business Income Coverage if the Declarations show 24 hours for Business Income and Extra Expense Period of Restoration; or
- b. 48 hours after the time of direct physical loss or damage for Business Income Coverage if the Declarations show 48 hours for Business Income and Extra Expense Period of Restoration; or
- c. 72 hours after the time of direct physical loss or damage for Business Income Coverage if the Declarations show 72 hours for Business Income and Extra Expense Period of Restoration; or
- d. With the date of the direct physical loss or damage for Business Income Coverage if the Declarations show Immediately for Business Income and Extra Expense Period of Restoration.

II. SECTION II – LIABILITY is revised as follows:

A. Coverages

1. Supplementary Payments – Bail Bonds

As described in paragraph 1.f.(1)(b), the amount we will pay for cost of bail bonds required because of accidents or traffic law violations to which Business Liability Coverage for "bodily injury" applies is increased from \$250 to \$2,500. We do not have to furnish these bonds.

2. Hired Auto And Non-Owned Auto Liability

If, (a) the insured is not classified in the Declarations as an Office: Real Estate Office; and (b) there is no Commercial Auto policy in place for the insured, the insurance provided under paragraph A.1. **Business Liability** includes coverage for **Hired Auto Liability and Non-Owned Auto Liability**.

Based on the predominant state in which this policy is issued, the provisions as shown in one of the following coverage forms apply to this coverage:

BP 04 04 Hired Auto And Non-Owned Liability – MA, MI, NH, OH, PA, RI;

BP 04 28 Hired Auto And Non-Owned Liability – NJ;

BP 04 36 Hired Auto And Non-Owned Liability – NY; or

MU 82 87 Hired Auto And Non-Owned Liability – VT

3. Voluntary Property Damage

a. Voluntary Property Damage is included in this policy.

(1) We will pay for unintentional "property damage" to property of others:

(a) Caused by you or while the property is in your possession; and

(b) Arising out of the operations described in the Declarations and covered by this policy.

(2) We will pay the cost to repair or replace the damage to property of others:

(a) Which is in excess of \$500 for each "occurrence". This deductible applies separately to each claim.

(b) We will pay any part or all of the deductible amount to effect settlement of any claim or 'suit' and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.

(c) The most we will pay under this coverage is \$10,000 per "occurrence" subject to \$25,000 annual aggregate.

(3) We will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance.

b. Exclusions

(1) "Property damage" covered under COVERAGE A.

(2) "Property damage" due to disappearance, abstraction, theft or loss of use.

(3) The COVERAGE A. Exclusions apply except for the following:

a. 2.j.3. - Property loaned to you.

b. 2.j.4. - Personal property in your care, custody or control.

c. 2.j.5. - That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations.

- (4) Section II Liability, A. Coverages, 1. Business Liability, f. Coverage Extension – Supplementary Payments are excluded with respect to Voluntary Property Damage coverage.

c. Condition

If you replace the damaged property, or furnish the labor and materials necessary for repair of the damaged property, we will pay your actual cost exclusive of any prospective profit or overhead charges. Repair or replacement of any damaged property is not an admission of liability by either you or us. At our option, any property replaced or paid for by us becomes our property.

4. Employment Practices Liability

- a. If Form **BP 04 17, Employment-Related Practices Exclusion**, is attached to this policy, Employment Practices Liability coverage does not apply.
- b. If (a) the insured is not designated in the Declarations as an Office: Lawyers Office; and (b) there are no insured locations in the state of Vermont **Employment Practices Liability** Coverage is included in this policy a \$100,000 annual aggregate limit applies to this coverage. A per claim or suit deductible of \$10,000 will apply.

Based on the predominant state in which this policy is issued, refer to one of the following coverage forms, for the terms, conditions, provisions, and deductibles applicable to this coverage:

MU 82 37 Employment Practices Liability Insurance Coverage Endorsement – MA, MI, NH, NJ, OH, PA, RI, ; or

MU 82 94 Employment Practices Liability Insurance Coverage Endorsement – NY

B. Exclusions

B. Exclusions is amended as follows:

1. Property Damage Liability – Elevator And Sidetrack Agreements

- a. Under **B. Exclusions, k. Damage To Property, paragraphs (3), (4) and (6)** do not apply to “property damage” to property while on or being moved onto or off an elevator.
- b. **B. Exclusions, i. Damage To Your Product** , does not apply to:
- (a) “Your Product” while on or being moved onto or off an elevator; or
- (b) Liability assumed under a sidetrack agreement.

This insurance is excess of any other valid and collectible insurance available to the insured whether primary, excess, contingent or on any other basis.

C. Who Is An Insured

C. Who Is An Insured is amended as follows:

1. Incidental Medical Malpractice

Paragraph **C.2.a.(1)(d)** is replaced by the following:

- (d) Arising out of his or her providing or failing to provide professional health care services. However, if you have employees who are nurses, emergency medical technicians or paramedics, and you are not in the business or occupation of providing any such professional health care services, those employees are insureds with respect to such professional services.

2. Broad Named Insured

The following is added to paragraph **C.2.:**

e. Any organization over which you maintain ownership or a majority interest will qualify as a named insured. However:

- (1) Coverage does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and
- (2) Coverage does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.
- (3) Coverage will not apply to injury or damage with respect to which an insured under this coverage part as a named insured is also insured under another policy or would be an insured under such policy but for its termination or the exhaustion of its limits of insurance.

3. Additional Insureds – By Contract, Agreement Or Permit

Coverage is included on a blanket basis for Additional Insureds that are required by written contract, agreement or permit. The provisions as shown in Coverage Form **MU 82 77, Additional Insureds – By Contract, Agreement Or Permit**, apply to this Coverage.

D. Liability And Medical Expenses Limits Of Insurance

D. Liability And Medical Expenses Limits Of Insurance are amended as follows:

1. Medical Expenses

a. The following is added to paragraph D.2.:

The Medical Expenses Limit of Insurance is \$15,000 as shown in the Declarations.

b. However, if form **BP 04 38, Medical Expenses – Exclusion**, applies to this policy, the preceding paragraph 1.(a) does not apply and the provisions of **BP 04 38** will prevail.

2. **Fire Legal Liability (Damage To Premises Rented To You)** Paragraph D.3. is replaced by the following:

3. The most we will pay under Business Liability Coverage for damages because of "property damage" to a premises while rented to you or in the case of fire while rented to you or temporarily occupied by you with the permission of the owner is \$500,000 unless a higher Limit of Insurance is shown in the Declarations.

3. General Aggregate Limit Amendment – Aggregate Limit Per Location

Paragraph c. is added to D. Liability And Medical Expenses Limits of Insurance, 4. Aggregate Limits:

c. The General Aggregate (for damages other than those included in the "products-completed operations hazard") as defined in paragraph b. above applies separately to each of your "locations" owned by or rented to you and shown in the Declarations.

As used in this paragraph, "location" means premises involving the same or connecting lots, or premises whose connection is interrupted only by a street, roadway, waterway or right-of-way of a railroad.

E. Unintentional Failure To Disclose Hazards

The following is added to paragraph E. Liability And Medical Expenses General Conditions:

5. If you unintentionally fail to disclose any hazards existing on the effective date of this Coverage Form, we will not deny coverage under this Coverage Form because of such failure.

III. SECTION III – COMMON POLICY CONDITIONS is revised as follows:

A. Insurance Under Two Or More MAP Plus Endorsements

Paragraph **M. Insurance Under Two Or More MAP Plus Endorsements** is added to **SECTION III:**

- M.** If this Coverage Form and any other MAP Plus Coverage Form issued to you by us apply to the same loss or damage, the aggregate maximum Limit of Insurance under all the MAP Plus Coverage Forms shall not exceed the highest applicable Limit of Insurance under any one MAP Plus Coverage Form.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL INSUREDS - BY CONTRACT, AGREEMENT OR PERMIT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION II - LIABILITY is amended as follows: The following is added to paragraph C. Who Is An Insured:

3. Additional Insureds By Contract, Agreement Or Permit

- a. Any person or organization, when you and such person or organization have agreed in writing in a contract, agreement or permit that was executed prior to the "bodily injury", "property damage" or "personal and advertising injury", that such person or organization be added as an additional insured on your policy. Such person or organization is an additional insured only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by:
 - (1) Your acts or omissions; or
 - (2) The acts or omissions of those acting on your behalf;
in performance of your ongoing operations for the additional insured. A person's or organization's status as an additional insured ends when your operations for that additional insured are completed; or
 - (3) Your acts or omissions or the acts or omissions of those acting on your behalf in connection with premises owned by or rented to you.
- b. With respect to the insurance afforded to these additional insureds, the following additional exclusions apply:
 - (1) A contract, agreement or permit that was executed after the "bodily injury", "property damage" or "personal and advertising injury".
 - (2) "Bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of, or failure to render, any professional services.
 - (3) "Bodily injury", "property damage" or "personal and advertising injury" occurring after:
 - (a) All work, including materials, parts or equipment furnished in connection with such work, on or on behalf of the additional insured(s) at the location of the covered operations has been completed; or
 - (b) That portion of "your work", out of which the injury or damage arises, has been put to its intended use by any person or organization other than another contractor or subcontractor engaged in performing operations for a principal as a part of the same project.
- c. This insurance is primary if that is required by the contract, agreement or permit.
- d. This insurance is non-contributory if that is required by the contract, agreement or permit.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ASBESTOS EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION II - LIABILITY is revised as follows:

The following is added to paragraph B. Exclusions:

This insurance does not apply to:

1. "Bodily injury", "property damage" or "personal and advertising injury" arising, in whole or in part, either directly or indirectly out of the manufacture, storage, processing, mining, use, sale, installation, removal, disposal, distribution, handling, inhalation, ingestion, absorption or existence of, exposure to or contact with asbestos, asbestos contained in goods, products or materials, asbestos fibers or asbestos dust.
2. Any loss, cost or expense arising out of any:
 - a. Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify, neutralize or in any way respond to or assess the effects of asbestos, asbestos contained in goods, products or materials, asbestos fibers or asbestos dust; or
 - b. Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing or in any way responding to or assessing the effects of asbestos, asbestos contained in goods, products or materials, asbestos fibers or asbestos dust.
3. This exclusion also applies to:
 - a. Any supervision, instructions, recommendations, warnings or advice given or which should have been given in connection with the above; and
 - b. Any obligation to share damages with or repay someone else who must pay damages because of such injury or damage.
4. Asbestos Exclusion

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FINE ARTS COVERAGE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION I - PROPERTY is revised as follows:

A. Fine Arts Coverage

1. With respect to coverage provided by this endorsement, the provisions of the **Businessowners Coverage Form** apply, unless modified by this endorsement.
2. The following is added to paragraph **A.5. Additional Coverages**:

When this policy includes coverage for Business Personal Property, as indicated by a Limit of Insurance shown in the Declarations, we will pay for direct loss or damage to Fine Arts, whether owned by:

- a. You; or
- b. Others, and in your care, custody or control.

Fine Arts includes, but is not limited to, antiques, paintings, etchings, drawings, tapestries, sculptures and fragile property such as porcelains, china and marble.

We cover Fine Arts while:

- a. In a premises described in the Declarations;
- b. In transit; and
- c. Off premises temporarily at a location not owned or operated by you for exhibition, framing, renovation, packing or appraising.

3. Property Not Covered

In addition to the items listed in paragraph **A.2. Property Not Covered**, Fine Arts does not include:

- a. Furs, fur garments and garments trimmed with fur;
- b. Jewelry, watches, watch movements, jewels, pearls, precious and semi-precious stones, bullion, gold, silver, platinum and other precious alloys or metals. However, this exclusion does not apply to "antique" jewelry.

4. Limits Of Insurance

Unless a higher Limit of Insurance is shown in the Declarations, the most we will pay for loss in any one occurrence under this Additional Coverage is:

- a. The Business Personal Property Limit of Insurance; and
- b. Up to an additional \$25,000.

5. Deductible

A per occurrence deductible of \$250 will apply.

B. Exclusions

In addition to the exclusions listed in paragraph **B. Exclusions**, we will not pay for loss or damage to Fine Arts caused by or resulting from any of the following:

1. Processing And Work

Processing of or work upon the covered property, including repairs or restoration.

2. Theft From An Unattended Vehicle

Theft of any property covered under this Endorsement from any unattended vehicle unless, at the time of theft, the vehicle's windows, doors and compartments were closed and locked, and there are visible signs that the theft was a result of forced entry. But this exclusion does not apply to property in the custody of a carrier for hire.

C. Valuation

With respect to the coverage provided by this endorsement, paragraph **E.5. Loss Payment** is replaced by the following:

1. The value of each item of property that is individually declared and described in the Fine Arts Schedule of Covered Property is the applicable Limit of Insurance shown in the Schedule for that item.
2. The value of all other fine arts will be the least of the following amounts:
 - a. The actual cash value of that property at the time of loss;
 - b. The cost of reasonably restoring that property to its condition immediately before loss or damage; or
 - c. The cost of replacing that property with substantially identical property.

D. Property Loss Conditions

The following are added to paragraph **E. Property Loss Conditions**:

1. In case of loss to any part of a pair or set we will:
 - a. Repair or replace any part to restore the pair or set to its value before the loss; or
 - b. Pay the difference between the value of the pair or set before and after the loss.
2. You must arrange for fine arts to be packed and unpacked by competent packers.

E. Property Definitions

The following is added to paragraph **H. Property Definitions**:

"Antique" means an object having value because its craftsmanship is in style or fashion of former times and its age is 100 years old or older.

Fine Arts Schedule Of Covered Property

Item	Description of Property	Value
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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL INSURED - BY CONTRACT, AGREEMENT OR PERMIT - COMPLETED OPERATIONS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SECTION II - LIABILITY is revised as follows: The following

is added to paragraph C. Who Is An Insured:

3. Additional Insureds By Contract, Agreement Or Permit

- a. Any person or organization, when you and such person or organization have agreed in writing in a contract, agreement or permit that was signed and executed prior to the "bodily injury", "property damage" or "personal and advertising injury", that such person or organization be added as an additional insured on your policy. Such person or organization is an additional insured only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by:

- (1) Your acts or omissions; or

- (2) The acts or omissions of those acting on your behalf;

in the performance of "your work" performed for that additional insured and included in the "Products - Completed Operations Hazard".

- b. This insurance is primary if that is required by the contract, agreement or permit.
- c. This insurance is non-contributory if that is required by the contract, agreement or permit.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

IDENTITY RECOVERY COVERAGE – NEW YORK

IDENTITY THEFT CASE MANAGEMENT SERVICE AND EXPENSE REIMBURSEMENT

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

The following is added to **SECTION I – PROPERTY, A.5. Additional Coverages:**

IDENTITY RECOVERY COVERAGE

We will provide the Case Management Service and Expense Reimbursement Coverage indicated below if all of the following requirements are met:

1. There has been an "identity theft" involving the personal identity of an "identity recovery insured" under this policy; and
2. Such "identity theft" is first discovered by the "identity recovery insured" during the policy period for which this Identity Recovery coverage is applicable; and
3. Such "identity theft" is reported to us within 60 days after it is first discovered by the "identity recovery insured."

If all three of the requirements listed above have been met, then we will provide the following to the "identity recovery insured":

Blue Fork Mechanical

Services of an "identity recovery case manager" as needed to respond to the "identity theft"; and

2. Expense Reimbursement

Reimbursement of necessary and reasonable "identity recovery expenses" incurred as a direct result of the "identity theft."

This coverage is additional insurance.

EXCLUSIONS

The following additional exclusions apply to this coverage:

We do not cover loss or expense arising from any of the following.

1. The theft of a professional or business identity.
2. Any fraudulent, dishonest or criminal act by an "identity recovery insured" or any person aiding or abetting an "identity recovery insured", or by any authorized representative of an "identity recovery insured", whether acting alone or in collusion with others. However, this exclusion shall not apply to the interests of

an "identity recovery insured" who has no knowledge of or involvement in such fraud, dishonesty or criminal act.

3. An "identity theft" that is not reported in writing to the police.

LIMITS

Case Management Service is available as needed for any one "identity theft" for up to 12 consecutive months from the inception of the service. Expenses we incur to provide Case Management Service do not reduce the amount of limit available for Expense Reimbursement coverage.

Expense Reimbursement coverage is subject to a limit of \$15,000 annual aggregate per "identity recovery insured." Regardless of the number of claims, this limit is the most we will pay for the total of all loss or expense

TALLGRASS WORKS

"identity thefts" to any one "identity recovery insured" which are first discovered by the "identity recovery insured" during a 12-month period starting with the beginning of the present annual policy period. If an "identity theft" is first discovered in one policy period and continues into other policy periods, all loss and expense arising from such "identity theft" will be subject to the aggregate limit applicable to the policy period when the "identity theft" was first discovered.

Legal costs as provided under item d. of the definition of "identity recovery expenses" are part of, and not in addition to, the Expense Reimbursement coverage limit.

Item e. (Lost Wages) and item f. (Child and Elder Care Expenses) of the definition of "identity recovery expenses" are jointly subject to a sublimit of \$5,000. This sublimit is part of, and not in addition to, the Expense Reimbursement coverage limit. Coverage is limited to wages lost and expenses incurred within 12 months after the first discovery of the "identity theft" by the "identity recovery insured."

Item g. (Miscellaneous Unnamed Costs) of the definition of "identity recovery expenses" is subject to a sublimit of \$1,000. This sublimit is part of, and not in addition to, the Expenses Reimbursement coverage limit. Coverage is limited to costs incurred within 12 months after the first discovery of the "identity theft" by the "identity recovery insured."

BLUE FORK

Neither the Case Management Service nor the Expense Reimbursement coverage is subject to a BLUE FORK .

CONDITIONS

The following additional conditions apply to this coverage:

A. Help Line

For assistance, the "identity recovery insured" should call the **Identity Recovery Help Line at 1-800-414-9792.**

The Identity Recovery Help Line can provide the "identity recovery insured" with:

1. Information and advice for how to respond to a possible "identity theft"; and
2. Instructions for how to submit a service request for Case Management Service and/or a claim form for Expense Reimbursement Coverage.

In some cases, we may provide Case Management services at our expense to an "identity recovery insured" prior to a determination that a covered "identity theft" has occurred. Our provision of such services is not an admission of liability under the policy. We reserve the right to deny further coverage or service if, after investigation, we determine that a covered "identity theft" has not occurred.

As respects Expense Reimbursement Coverage, the "identity recovery insured" must send to us, within 60 days after our request, receipts, bills or other records that support his or her claim for "identity recovery expenses."

B. Services

The following conditions apply as respects any services provided by us or our designees to any "identity recovery insured" under this endorsement:

1. Our ability to provide helpful services in the event of an "identity theft" depends on the cooperation, permission and assistance of the "identity recovery insured."
2. All services may not be available or applicable to all individuals. For example, "identity recovery insureds" who are minors or foreign nationals may not have credit records that can be provided or monitored. Service in Canada will be different from service in the United States and Puerto Rico in accordance with local conditions.
3. We do not warrant or guarantee that our services will end or eliminate all problems associated with an "identity theft" or prevent future "identity thefts."

DEFINITIONS

With respect to the provisions of this endorsement only, the following definitions are added:

1. **"Identity Recovery Case Manager"** means one or more individuals assigned by us to assist an "identity recovery insured" with communications we deem necessary for re-establishing the integrity of the personal identity of the "identity recovery insured." This includes, with the permission and cooperation of the "identity recovery insured," written and telephone communications with law enforcement authorities, governmental agencies, credit agencies and individual creditors and businesses.
2. **"Identity Recovery Expenses"** means the following when they are reasonable and necessary expenses that are incurred as a direct result of an "identity theft":
 - a. Costs for re-filing applications for loans, grants or other credit instruments that are rejected solely as a result of an "identity theft."
 - b. Costs for notarizing affidavits or other similar documents, long distance telephone calls and postage solely as a result of your efforts to report an "identity theft" or amend or rectify records as to your true name or identity as a result of an "identity theft."
 - c. Costs for credit reports from established credit bureaus.
 - d. Fees and expenses for an attorney approved by us for the following:
 - (1) The defense of any civil suit brought against an "identity recovery insured."
 - (2) The removal of any civil judgment wrongfully entered against an "insured."
 - (3) Legal assistance for an "identity recovery insured" at an audit or hearing by a governmental agency.
 - (4) Legal assistance in challenging the accuracy of the "identity recovery insured's" consumer credit report.
 - (5) The defense of any criminal charges brought against an "identity recovery insured" arising from the actions of a third party using the personal identity of the "identity recovery insured."
 - e. Actual lost wages of the "identity recovery insured" for time reasonably and necessarily taken away from work and away from the work premises. Time away from work includes partial or whole work days. Actual lost wages may include payment for vacation days, discretionary days, floating holidays and paid personal days. Actual lost wages does not include sick days or any loss arising from time taken away

from self employment. Necessary time off does not include time off to do tasks that could reasonably have been done during non-working hours.

- f. Actual costs for supervision of children or elderly or infirm relatives or dependents of the "identity recovery insured" during time reasonably and necessarily taken away from such supervision. Such care must be provided by a professional care provider who is not a relative of the "identity recovery insured."
- g. Any other reasonable costs necessarily incurred by an "insured" as a direct result of the "ID theft." Such costs include:

- (1) Costs by the "insured" to recover control over his or her personal identity.
- (2) Deductibles or service fees from financial institutions.

Such costs do not include:

- (3) Costs to avoid, prevent or detect "ID theft" or other loss.
- (4) Monies lost or stolen.
- (5) Costs that are restricted or excluded elsewhere in this endorsement or policy.

3. **"Identity Recovery Insured"** means the following:

- a. A full time employee of the entity insured under this policy; or
- b. An owner of the entity insured under this policy who meets any of the following criteria:
 - (1) A sole proprietor of the insured entity;
 - (2) A partner in the insured entity; or
 - (3) An individual having an ownership position of 20% or more of the insured entity.

An "identity recovery insured" must always be an individual person. The entity insured under this policy is not an "identity recovery insured."

4. **"Identity Theft"** means the fraudulent use of the social security number or other method of identifying an "identity recovery insured." This includes fraudulently using the personal identity of an "identity recovery insured" to establish credit accounts, secure loans, enter into contracts or commit crimes.

"Identity theft" does not include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

All other provisions of this policy apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROTECTIVE SAFEGUARDS

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

SCHEDULE

Premises Number	Building Number	Protective Safeguards Symbols Applicable	Description of "P-9" If Applicable
001	001	P-9	LOCAL FIRE ALARM
002	001	P-9	LOCAL FIRE ALARM

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. The following is added to the **Property General Conditions** in **Section I – Property**:

Protective Safeguards

1. As a condition of this insurance, you are required to maintain the protective devices or services listed in the Schedule above.
2. The protective safeguards to which this endorsement applies are identified by the following symbols:
 - a. **"P-1" Automatic Sprinkler System**, including related supervisory services. Automatic Sprinkler System means:
 - (1) Any automatic fire protective or extinguishing system, including connected:
 - (a) Sprinklers and discharge nozzles;
 - (b) Ducts, pipes, valves and fittings;
 - (c) Tanks, their component parts and supports; and (d) Pumps and private fire protection mains.
 - (2) When supplied from an automatic fire protective system: (a) Non-automatic fire protective systems; and (b) Hydrants, standpipes and outlets.

- b. **"P-2" Automatic Fire Alarm**, protecting the entire building, that is:
 - (1) Connected to a central station; or
 - (2) Reporting to a public or private fire alarm station.
- c. **"P-3" Security Service**, with a recording system or watch clock, making hourly rounds covering the entire building, when the premises are not in actual operation.
- d. **"P-4" Service Contract**, with a privately owned fire department providing fire protection service to the described premises.
- e. **"P-5" Automatic Commercial Cooking Exhaust And Extinguishing System**, installed on cooking appliances and having the following components:
 - (1) Hood;
 - (2) Grease removal device;
 - (3) Duct system; and
 - (4) Wet chemical fire extinguishing equipment.
- f. **"P-9"**, the protective system described in the Schedule.

B. The following is added to Paragraph B. Exclusions in Section I – Property:

We will not pay for loss or damages caused by or resulting from fire or theft if, prior to the fire or theft, you:

- 1. Knew any suspension or impairment in any protective safeguard listed in the Schedule above and failed to notify us of that fact; or
- 2. Failed to maintain any protective safeguard listed in the Schedule above, and over which you had control, in complete working order.

If part of an Automatic Sprinkler System or Automatic Commercial Cooking Exhaust And

Extinguishing System is shut off due to breakage, leakage, freezing conditions or opening of sprinkler heads, notification to us will not be necessary if you can restore full protection within 48 hours.



THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMUNICABLE DISEASE EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM:

The following exclusion is added to our Businessowners Coverage Form under Paragraph **B. Exclusions** in **Section II – Liability**:

BUSINESSOWNERS LIABILITY COVERAGE FORM:

The following exclusion is added to our Businessowners Liability Coverage Form under Paragraph **B. Exclusions**:

Communicable Disease

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of the actual or alleged transmission of a communicable disease.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the:

- a.** Supervising, hiring, employing, training or monitoring of others that may be infected with and spread a communicable disease;
- b.** Testing for a communicable disease;
- c.** Failure to prevent the spread of the disease; or
- d.** Failure to report the disease to authorities.

THIS IS A CLAIMS-MADE COVERAGE PART

PLEASE NOTE THAT "DEFENSE COSTS" ARE CONTAINED WITHIN THE LIMIT OF LIABILITY AND THE DEDUCTIBLE. THIS MEANS THAT THE LIMIT OF LIABILITY AND THE DEDUCTIBLE SPECIFIED IN THE SUPPLEMENTAL DECLARATIONS OF THIS EMPLOYMENT PRACTICES LIABILITY COVERAGE PART SHALL BE REDUCED, AND MAY BE COMPLETELY EXHAUSTED, BY "DEFENSE COSTS". IN THE EVENT THAT THE LIMIT OF LIABILITY IS EXHAUSTED, THE INSURER SHALL NOT BE LIABLE FOR DEFENSE COSTS OR FOR ANY DAMAGES, JUDGMENTS OR SETTLEMENTS.

EMPLOYMENT PRACTICES LIABILITY INSURANCE COVERAGE FORM - NEW YORK

Throughout this Coverage Form (hereinafter referred to as "EPL Coverage"), the words "you" and "your" refer to the "named insured(s)" shown in the Supplemental Declarations of this EPL Coverage and any other person(s) or organization(s) qualifying as a "named insured" under this EPL Coverage. The words "we", "us" and "our" refer to the company providing this insurance.

The word "insured" means any person or organization qualifying as such under **SECTION III. WHO IS AN INSURED**. Other words and phrases that appear in "quotations" have special meaning. Refer to **SECTION VII. DEFINITIONS**.

The terms and conditions of the Cancellation Clause of the Common Policy Conditions and any amendment to such terms incorporated by endorsement are hereby incorporated herein and shall apply to coverage as is afforded by this EPL Coverage, unless specifically stated otherwise in an endorsement(s) attached hereto.

SECTION I. WHAT IS COVERED

A. Insuring Agreement

1. "We" shall pay those "losses" arising out of "your" "wrongful employment act" (other than a "third party violation") against "your" "employees", "recognized volunteers" and applicants for employment, to which this insurance applies.
2. If coverage for "third party violations" is shown on the Supplemental Declarations, then "we" shall pay those "losses" arising out of an "insured's" "third party violation".
3. The "wrongful employment act" must commence or take place after the Retroactive Date, but before the end of the "EPL coverage period". If no Retroactive Date appears on the Supplemental Declarations, then the Retroactive Date shall be the date of organization of the "named insured". A "claim" or "suit" for a "wrongful employment act" must be first made against "you" during the "EPL coverage period" or any applicable Extended Reporting Period and reported to "us" pursuant to the terms of this EPL Coverage.
4. A "claim" or "suit" by a person or organization seeking damages will be deemed to have been first made when "we" receive written notice of the "claim" or "suit" from "you" or a third party. A claim will also be deemed reported on the date such notice is received by "us". "Claims" reported to "us" alleging the same or related "wrongful employment acts" shall be considered reported to "us" at the time and during the "EPL coverage period" when the first such "claim" was reported.

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5. Notwithstanding the above, in the event a "claim" is filed against, sent or delivered to, or received by "you" prior to the "EPL coverage period" but notice of which is received by "us" during the "EPL coverage period" coverage under this "EPL coverage period" shall only apply (subject to the other terms and conditions of this EPL Coverage) only as follows:
- a. If at the time the "claim" was filed against, sent or delivered to, or received by "you", there was in existence at that time a valid and collectible liability insurance policy, providing substantially similar coverage as is provided by this EPL Coverage, issued to "you" by "us" of which this policy is a renewal (hereinafter referred to as the "Former Policy"), then coverage shall be afforded under this EPL Coverage in an amount not greater than the amount of coverage which would have been provided for the "claim" under the "Former Policy" if notice of the "claim" had been received by "us" during the policy period of such "Former Policy". The foregoing sentence may result in (but not be limited to): (1) reducing the EPL Aggregate Limit of Liability available for such a "claim" to the available limit of liability applicable to the "Former Policy"; (2) increasing the applicable deductible amount to that deductible amount applicable to the "Former Policy"; or (3) reducing or eliminating coverage due to exclusions or other restrictions appearing in the "Former Policy" but eliminated, in part or in whole, in this EPL Coverage; and
 - b. If at the time the "claim" was filed against, sent or delivered to, or received by "you", a "Former Policy" was not in existence, no coverage shall be afforded under this EPL Coverage for such "claim".

B. Defense

- 1. "We" have the right and duty to defend and appoint an attorney to defend any "claim" or "suit" brought against any "insured" for a "wrongful employment act" to which this insurance applies, even if the "claim" or "suit" is groundless, false or fraudulent. "You" shall have the right to participate in, and assist in the direction of, the defense of any claim. "You" shall have the option to select "your" attorney or to consent to "our" appointment of an attorney, which consent shall not be unreasonably withheld.
- 2. "We" have the right to investigate and settle any "claim" or "suit" that "we" believe is proper, however "you" shall be entitled to consent to such settlement, provided "your" consent is not unreasonably withheld and is provided as soon as practicable. If "you" refuse to consent to any settlement that "we" recommend and that is acceptable to the claimant, then "our" liability under this EPL Coverage for such "claim" or "suit" shall not exceed the amount for which we could have settled had "your" consent not been withheld at the time of "our" recommendation. "You" shall thereafter negotiate and defend that "claim" or "suit" at "your" own cost and without "our" involvement.
- 3. "We" shall pay all reasonable costs "we" ask the "insured" to incur while helping "us" investigate or defend a "claim" or "suit". "We", however, will not pay more than \$250 per day for earnings lost by the "insured" because of time taken off from work.
- 4. "We" shall pay premiums for appeal bonds, or bonds to release property being used to secure a legal obligation, for a covered "suit". "We" shall only pay, however, for bonds valued up to "our" EPL Aggregate Limit of Liability. "We" shall have no obligation to appeal or to obtain these bonds.
- 5. Payments for "defense costs" are included within the EPL Aggregate Limit of Liability. They are not in addition to the EPL Aggregate Limit of Liability. "Our" duty to defend or to make payment of any "claim" or "suit" pursuant to Paragraphs 1. through 4. of this Clause B., ends after the EPL Aggregate Limit of Liability has been exhausted by payment of "loss", including "defense costs".
- 6. "We" shall pay all interest on that amount of any judgment within the EPL Aggregate Limit of Liability:
 - a. Which accrues after entry of judgment; and
 - b. Before "we" pay, offer to pay, or deposit in court that part of the judgment within the EPL Aggregate Limit of

Liability.

These interest payments shall be in addition to and not part of the EPL Aggregate Limit of Liability.

C. Transfer of Control

1. If "we" conclude that, based on "claims" or "suits" which have been reported to "us" and to which this insurance may apply, the EPL Aggregate Limit of Liability is likely to be used up in the payment of judgments, settlements or "defense costs", "we" will notify the first "named insured", in writing, to that effect.
2. When the EPL Aggregate Limit of Liability has actually been used up in the payment of judgments, settlements or "defense costs":
 - a. "We" will notify the first "named insured" in writing, as soon as practicable, that:
 - i. Such EPL Aggregate Limit of Liability has actually been used up; and
 - ii. "Our" duty to defend "suits" seeking damages subject to the EPL Aggregate Limit of Liability has also ended.
 - b. "We" will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all "claims" and "suits" seeking damages which are subject to the EPL Aggregate Limit of Liability and which are reported to "us" before the EPL Aggregate Limit of Liability is used up. That "insured" must cooperate in the transfer of control of said "claims" and "suits".

"We" agree to take such steps, as "we" deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

"We" will take no action whatsoever with respect to any "claim" or "suit" seeking damages that would have been subject to the EPL Aggregate Limit of Liability, had it not been used up, if the "claim" or "suit" is reported to "us" after the EPL Aggregate Limit of Liability has been used up.
 - c. The first "named insured", and any other insured involved in a "suit" seeking damages subject to the EPL Aggregate Limit of Liability, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate "insured" and "us". Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.
3. The first "named insured" will reimburse "us" for expenses "we" incur in taking those steps "we" deem appropriate in accordance with Paragraph **2b.** above. The duty of the first "named insured" to reimburse "us" will begin on:
 - a. The date on which the EPL Aggregate Limit of Liability is used up, if "we" sent notice in accordance with Paragraph **1.** above; or
 - b. The date on which "we" sent notice in accordance with Paragraph **2a.** above, if "we" did not send notice in accordance with Paragraph **3a.** above.
4. The exhaustion of the EPL Aggregate Limit of Liability by the payments of judgments, settlements or "defense costs", and the resulting end of "our" duty to defend, will not be affected by "our" failure to comply with any of the provisions of this Condition.

SECTION II. EXCLUSIONS - WHAT IS NOT COVERED

This insurance does not apply to:

A. Criminal Acts

Any liability arising out of any dishonest, fraudulent, criminal, or malicious act by or at the direction of any "insured". However, if a "claim" or "suit" also includes an allegation which is otherwise covered under this EPL Coverage, "we" will defend a "claim" or "suit" asserting a dishonest, fraudulent, criminal or malicious act until such time as the "insured" is determined to have committed such dishonest, fraudulent, criminal or malicious act. We will not provide defense costs associated with any criminal proceeding.

The "wrongful employment act(s)" of an "insured" shall not be imputed to any other "insured" for the purpose of determining the applicability of this Exclusion **A.**;

B. "Property Damage"

Any liability arising out of "property damage";

C. "Bodily Injury"

Any liability arising out of "bodily injury";

D. Worker's Compensation, Social Security and Unemployment, Disability and Retirement Benefits

Any liability arising out of any obligation pursuant to any worker's compensation, disability benefits, unemployment compensation, unemployment insurance, retirement benefits, social security benefits or similar law. This exclusion, however, shall not apply to "loss" arising from a "claim" or "suit" for "retaliation";

E. Contractual Liability

Any liability arising out of any actual or alleged contractual liability of any "insured" under any express contract or agreement. This exclusion, however, shall not apply to the extent any liability does not arise under such express contract or agreement;

F. ERISA, FLSA, COBRA, WARN, OSHA and NLRA

Any liability arising out of the "insured's" failure to fulfill any responsibility, duty or obligation imposed by the Employee Retirement Income Security Act of 1974 (ERISA), the Fair Labor Standards Act (except the Equal Pay Act), Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA), Workers' Adjustment and Retraining Notification Act (WARN), Occupational Safety and Health Act (OSHA), National Labor Relations Act of 1947 (NLRA), any rules or regulations of the foregoing promulgated thereunder, and amendments thereto or any similar provisions of any federal, state, or local statutory or common law. This exclusion, however, shall not apply to "loss" arising from a "claim" or "suit" for "retaliation";

It is acknowledged that "claims" and "suits" for violation(s) of any of the responsibilities, obligations or duties imposed by "similar federal, state, local or foreign statutory law or common law", as such quoted language is used in the immediate-preceding paragraph, include, without limitation, any and all "claims" and "suits", which in whole or in part allege, arise out of, are based upon, are attributable to, or are in any way related to any of the circumstances described in any of the following:

1. The refusal, failure or inability of any "insured(s)" to pay wages or overtime pay (or amounts representing such wages or overtime pay (or amounts representing such wages or overtime pay) for services rendered or time spent in connection with work related activities (as opposed to tort-based back pay or front pay damages for torts other than conversion);
2. Improper deductions from pay taken by any "insured(s)" from any "employee(s)" or purported "employee(s)"; or
3. Failure to provide or enforce legally required meal or rest break periods.

Notwithstanding the foregoing, this Exclusion **F.** shall not apply to the extent that a "claim" or "suit" is for "retaliation";

G. Non-Monetary Relief

That part of any "claim" or "suit" seeking any non-monetary relief, including but not limited to:

1. Injunctive relief;
2. Declaratory relief;
3. Disgorgement;
4. Job reinstatement;
5. Costs or expenses incurred in accommodating any disabled person, pursuant to the Americans with Disabilities Act or 1990 (ADA), including amendments to that law or similar federal, state or local statutory or common law;
6. Any liability or costs incurred in connection with any educational, sensitivity or other corporate program, policy or seminar relating to a "claim" or "suit" alleging discrimination or other "wrongful employment act"; or
7. Other equitable remedies, including as to all of the above, the cost of compliance therewith; provided, however, if such request for non-monetary relief is part of an otherwise covered "claim" or "suit", "we" will not seek to allocate "defense costs" for the portion of the "claim" or "suit" seeking non-monetary relief;

H. Certain "Insureds"

Any "claim" or "suit" brought by any "insured". This exclusion, however, shall not apply to a "claim" or "suit" brought by an "employee" of the "insured", other than an "employee" who is or was a director of the "insured";

I. Prior Knowledge

Any liability arising out of incidents, circumstances or "wrongful employment acts", which an "insured"

1. Had knowledge of; or
2. Could have reasonably foreseen might result in a "claim" or "suit"

And which were known to the "insured" prior to the effective date of this EPL Coverage or the first EPL Coverage issued by "us" of which this EPL Coverage is an uninterrupted renewal;

J. Prior Notice

Any liability arising out of the facts alleged, or to the same or "related wrongful employment acts" alleged or contained in any "claim" or "suit" which has been reported, or in any circumstances of which notice has been given, under any policy of which this EPL Coverage is a renewal or replacement or which it may succeed in time;

K. Securities Holder

Any "claim" or "suit" brought by a securities holder of the "insured" in their capacity as such, whether directly, derivatively on behalf of the "insured", or by class action;

L. Outside Boards

Any liability arising out of any actual or alleged act or omission of an "insured" serving in any capacity, other than as a director, officer or "employee" of the "insured" entity.

M. Intentional Acts

Any liability arising out of intentional harassment or coercion (including sexual harassment), intentional "retaliation", disparate treatment discrimination or intentional civil rights violations which any "insured" allegedly or actually participates in, directs or knowingly allows. However, if a "claim" or "suit" also includes an allegation, which is otherwise covered under this EPL Coverage Part, "we" will defend a "claim" or "suit" asserting any intentional harassment or coercion, intentional "retaliation", disparate treatment discrimination or intentional civil rights violations until such time as the "insured" is determined to have committed such act.

The "wrongful employment act(s)" of an "insured" shall not be imputed to any other "insured" for the purpose of determining the applicability of this exclusion;

N. Strikes and Lockouts

Any liability arising out of any actual or alleged "wrongful employment act" committed against any striking or locked-out "employee", or to an "employee" who has been temporarily or permanently replaced due to any labor dispute. This exclusion, however, shall not apply to "loss" arising from a "claim" or "suit" for "retaliation".

SECTION III. WHO IS AN INSURED

A. Individual

If "you" are shown in the Declarations as an individual, "you" and "your" spouse or are "insureds", only for the conduct of a business of which "you" are the sole owner.

B. Corporation

If "you" are shown in the Declarations as a corporation or organization other than a partnership or joint venture, trust or limited liability company, "you" and "your" "subsidiaries" are "insureds".

C. Partnership or Joint Venture

If "you" are shown in the Declarations as a partnership or joint venture, "you" are an "insured". "Your" members, partners or co-venturers and their spouses or are also "insureds", but only for the conduct of "your" business.

D. Limited Liability Company

If "you" are shown in the Declarations as a limited liability company, "you" are an "insured". "Your" members are also "insureds", but only with respect to the conduct of "your" business. "Your" managers are "insureds", but only with respect to their duties as "your" managers.

E. Trusts

If "you" are shown in the Declarations as a trust, "you" are an "insured". "Your" trustees are also "insureds", but only with respect to their duties as trustees.

F. "Employees"

"Your" "employees", executive officers and directors are "insureds", only for the conduct of "your" business within the scope of their employment or their duties as executive officers or directors.

G. Extensions

1. Subject otherwise to the terms hereof, this EPL Coverage shall cover "loss" arising from any "claims" or "suits" made against the estates, heirs, or legal representative of deceased individual "insureds", and the legal representatives of individual "insureds", in the event of incompetency, who were individual "insureds" at the time the "wrongful employment acts", upon which such "claims" or "suits" are based, were committed.
2. Subject otherwise to the terms hereof, this EPL Coverage shall cover "loss" arising from all "claims" and "suits" made against the lawful spouse of an individual "insured", including a "claim" or "suit" that seeks damages recoverable from marital community property, property jointly held by the individual "insured" and the spouse or property transferred from the individual "insured" to the spouse; provided, however, that this extension shall not afford coverage for a "claim" or "suit" arising out of any "wrongful employment act" of the spouse, but shall apply only to "claims" or "suits" arising out of any "wrongful employment acts" of an individual "insured", subject to this EPL Coverage's terms, conditions and exclusions.
3. Subject otherwise to the terms hereof, during the "EPL coverage period" and any applicable Extended Reporting Period, an individual covered by "your" EPL Coverage during such affiliation shall continue to be covered under this EPL Coverage and any Extended Reporting Period after such affiliation has ceased for such individual's covered "Wrongful Employment Acts" during such affiliation.

SECTION IV. LIMIT OF LIABILITY (including "defense costs")

- A. The EPL Aggregate Limit of Liability shown in the Supplemental Declarations of this EPL Coverage and the information contained in this section limits the most "we" shall pay for all "loss" arising out of "claims" and "suits" first made against "insureds" during the "EPL coverage period" or any applicable Extended Reporting Period, regardless of:
 1. The number of persons or organizations covered by this EPL Coverage; or
 2. The number of "claims" made or "suits" brought; or
 3. The length of the "EPL coverage period".
- B. The EPL Aggregate Limit of Liability is the most "we" shall pay for all "losses" covered under this EPL Coverage, including amounts incurred for "defense costs".
- C. The EPL Aggregate Limit of Liability for the any applicable Extended Reporting Period shall be part of, and not in addition to the EPL Aggregate Limit of Liability for the "EPL coverage period".

Where "Termination of Coverage" is due only to a decrease in the EPL Aggregate Limit of Liability, the EPL Aggregate Limit of Liability for the Supplemental Extended Reporting Period, if elected, shall be no greater than the amount of such decrease. In such instance, the EPL Aggregate Limit of Liability provided for the Supplemental Extended Reporting Period shall replace, and shall not be in addition to, the limit of liability provided for the Automatic Extended Reporting Period.

- D. All "claims" and "suits" arising from the same or "related wrongful employment acts" shall be treated as arising out of a single "wrongful employment act".
- E. All "claims" or "suits" arising out of one "wrongful employment act" shall be deemed to be made on the date that the first such "claim" is made or "suit" is brought. All "claims" asserted in a "class action suit" will be treated as arising out of a single "wrongful employment act".
- F. Any "claim" or "suit" which is made subsequent to the "EPL coverage period" or any applicable Extended Reporting Period which, pursuant to Section VI., Clause D., Paragraphs 3. and 4. is considered made during the "EPL coverage period" or any applicable Extended Reporting Period shall also be subject to the one EPL Aggregate Limit of Liability stated in the Supplemental Declarations of this EPL Coverage.

SECTION V. DEDUCTIBLE

"You" shall be responsible for the deductible amount shown in the Supplemental Declarations of this EPL Coverage with respect to each "claim" and "suit" and "you" may not insure against it. A single deductible amount shall apply to "loss" arising from all "claims" and "suits" alleging the same "wrongful employment act" or "related wrongful employment acts". Expenses "we" incur in investigating, defending and settling "claims" and "suits" are included in the deductible. The deductible is not included within the EPL Aggregate Limit of Liability.

At our option, "we" may pay any part or all of the EPL Deductible Amount to effect settlement of any "claim" or "suit" and upon notification of the action taken, "you" shall promptly reimburse "us" for such part of the deductible that has been paid by "us".

SECTION VI. CONDITIONS

"We" have no duty to provide coverage under this EPL Coverage, unless there has been full compliance with all the Conditions contained in this EPL Coverage.

A. Assignment

The interest of any "insured" is not assignable. "You" cannot assign or transfer "your" interest in this EPL Coverage without "our" written consent attached to the EPL Coverage.

B. Bankruptcy or Insolvency

"Your" bankruptcy, insolvency or inability to pay, will not relieve "us" from the payment of any "claim" or "suit" covered by this EPL Coverage.

Under no circumstances will "your" bankruptcy, insolvency, or inability to pay require "us" to drop down, in any way replace, or assume any of "your" obligations with respect to the Deductible provisions of this EPL Coverage.

C. Coverage Territory

"We" cover "wrongful employment acts" in the United States of America, its territories and possessions, Puerto Rico, or Canada, but only if the "claim" is made and the "suit" is brought for such "wrongful employment act" in the United States of America, its territories and possessions, Puerto Rico, or Canada.

D. Duties in the Event of an Incident, "Claim" or "Suit"

1. If, during the "EPL coverage period", incidents or events occur which "you" reasonably believe may give rise to a "claim" or "suit" for which coverage may be provided hereunder, such belief being based upon either written notice from the potential claimant or the potential claimant's representative; or notice of a complaint filed with EEOC, DOL or OFCCP (or similar federal, state or local agency); or upon a contemporaneously made memorandum of an oral "claim", allegation or threat, "you" shall give written notice to "us" as soon as practicable and either:
 - a. Anytime during the "EPL coverage period" or any applicable Extended Reporting Period; or
 - b. Within sixty (60) days after the end of the Automatic Extended Reporting Period or Supplemental Extended Reporting Period (if applicable).
2. If a "claim" is made or a "suit" is brought against any "insured", "you" must:
 - a. Immediately record the specifics of the "claim" or "suit" and the date received; and
 - b. Provide "us" with written notice, as described in Paragraph 3. below, as soon as practicable.

3. Such written notice of "claim" or "suit" shall contain:
 - a. The identity of the person(s) alleging a "wrongful employment act";
 - b. The identity of the "insured(s)" who allegedly were involved in the incidents or events;
 - c. The date the alleged incidents or events took place; and
 - d. The written notice or contemporaneously prepared memorandum of the oral "claim", allegation or threat referred to above.

If written notice is given to "us" during the "EPL coverage period" or any applicable Extended Reporting Period, pursuant to the above requirements, then any "claim" or "suit" which is subsequently made against any "insureds" and reported to "us" alleging, arising out of, based upon or attributable to such circumstances or alleging any "related wrongful employment act" to such circumstances, shall be considered made at the time such notice of such circumstances was first given.

4. If notice of a "claim" is given by "you" or on "your" behalf or if written notice is given by or on behalf of the injured party or any other claimant, to one of "our" licensed agents in the state of New York with particulars sufficient to identify "you", then such notice shall be deemed notice to "us".
5. With respect to all "claims" covered under this policy, if "we" disclaim liability or deny coverage based upon the failure to provide timely notice, then the injured person or any other claimant may maintain an action directly against "us", in which the sole question is "our" disclaimer or denial based on the failure to provide timely notice, unless within sixty days following such disclaimer or denial, "you" or "we":
 - a. Initiate an action to declare the rights of the parties under the insurance policy; and
 - b. Name the injured person or other claimant as a party to the action.

Failure to give any notice of "claim" required to be given by this coverage within the prescribed time shall not invalidate any "claim" made by "you" or by any other claimant, unless the failure to provide such timely notice has prejudiced "us". However, no claim made by "you", an injured person or any other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

6. If "you" submit written notice of a "claim" or "suit", pursuant to this Clause D., then any "claim" or "suit" that may subsequently be made against an "insured" and reported to "us" alleging the same or a "related wrongful employment act" to the "claim" or "suit" for which such notice has been given shall be deemed, for the purpose of this insurance, to have been first made during the "EPL coverage period" in effect at the time such written notice was first submitted to "us".
7. "You" and any other "insured" must:
 - a. Immediately send "us" copies of any demands, notices, summonses or legal papers received in connection with any "claim" or "suit";
 - b. Authorize "us" to obtain records and other information;
 - c. Cooperate with "us" in the investigation, settlement or defense of the "claim" or "suit";
 - d. Assist "us", upon "our" request, in the enforcement of any right against any person or organization which may be liable to the "insured" because of injury or damage to which this insurance may also apply;

- e. Not take any action, or fail to take any required action, that prejudices the rights of the "insureds" or "us" with respect to such "claim" or "suit".
- 8. No "insureds" will, except at their own cost, voluntarily make a payment, assume any obligation, or incur any expense without "our" prior written consent.

E. Transfer of Rights of Recovery Against Others to "Us"

"You" may be able to recover all or part of a "loss" from someone other than "us". "You", therefore, shall do all that is possible after a "loss" to preserve any such right of recovery. If "we" make a payment under this EPL Coverage, that right of recovery shall belong to "us". "You" shall do whatever is necessary, including signing documents, to help "us" obtain that recovery.

F. Extended Reporting Periods

- 1. "You" shall have the right to the Extended Reporting Periods described in Paragraph 2. of this Clause F., in the event that:
 - a. "You" or "we" shall cancel this EPL Coverage;
 - b. "You" or "we" shall refuse to renew this EPL Coverage; or
 - c. "We" renew this EPL Coverage with a decrease in the limit of liability, a reduction of coverage, an increase to the deductible or self-insured retention, a new exclusion, or any other change in coverage that is less favorable to "you";

(All of the above herein referred to as "Termination of Coverage")

- 2. If an event as specified in Paragraph 1. of this Clause F. has occurred, "you" shall have the right to the following:
 - a. An Automatic Extended Reporting Period of sixty (60) days after the effective date of "Termination of Coverage" and solely with respect to the coverage terminated hereunder at no additional premium in which to give to "us" written notice of "claims" first made or "suits" first brought against the "insureds" during said Automatic Extended Reporting Period for any "wrongful employment acts" occurring during the "EPL Coverage Period" and are otherwise covered by this EPL Coverage. For the purposes of determining the length of the Supplemental Extended Reporting Period, the Automatic Extended Reporting Period shall be included.
 - b. Upon payment of an additional 75% of the full annual premium applicable to this EPL Coverage, a Supplemental Extended Reporting Period of one (1) year following the effective date of "Termination of Coverage" and solely with respect to the coverage terminated hereunder in which to give "us" written notice of "claims" first made or "suits" first brought against the "insureds" during said Supplemental Extended Reporting Period for any "wrongful employment acts" occurring during the "EPL coverage period" and are otherwise covered by this EPL Coverage.
 - c. Within thirty (30) days of the effective date of "Termination of Coverage", "we" shall mail or deliver to "you" a written advice of the existence of the Automatic Extended Reporting Period and the amount of the required additional premium for the Supplemental Extended Reporting Period; however, if this policy is canceled by "us" for non-payment of premium or fraud on the part of "you", "we" shall not be required to provide such premium quotation unless requested by "you".

"Your" right to an Extended Reporting Period Endorsement shall terminate, however, unless "you" request it in writing and pay the additional premium due not later than the later of:

- i. Sixty (60) days after the effective date of "Termination of Coverage"; or
- ii. Thirty (30) days after "we" have mailed or delivered to "you" a written advice of the amount of the required

additional premium, if "we" are obligated to give such written notice.

- d. The Supplemental Extended Reporting Period Endorsement cannot be canceled by either party, except for non-payment of premium. The additional premium for the Supplemental Extended Reporting Period shall be fully earned at the inception of the Supplemental Extended Reporting Period and this EPL Coverage cannot be cancelled after such additional premium is paid. If "we" do not receive the written request as required, "you" may not exercise this right at a later date.
- e. This insurance, provided during the Supplemental Extended Reporting Period, is excess over any other valid and collectible insurance that begins or continues in effect after the Supplemental Extended Reporting Period becomes effective, whether the other insurance applies on a primary, excess, contingent, or any other basis.
- f. In the event of cancellation by "us" for the non-payment of premium, any monies received by "us" as payment for the Supplemental Extended Reporting Period shall be first applied to such premium owing for the policy. The Supplemental Extended Reporting Period will not take effect until the premium owing for the policy is paid in full and the premium owing for the Supplemental Extended Reporting Period is paid promptly when due.

Notwithstanding the forgoing, in the event that

- i. "We" shall cancel for non-payment of premium or fraud on the part of "you"; and
- ii. At the effective date of such "Termination of Coverage" "we" have provided this coverage to "you" on a claims-made basis without interruption for less than one (1) year

Then "you" shall not have the right to elect and purchase the Supplemental Extended Reporting Period. For the purposes of this paragraph, the Automatic Extended Reporting Period shall not be considered as time when "we" provided "you" this coverage.

- g. Any other "insured" shall have the right to purchase a Supplemental Extended Reporting Period to the extent of "Termination of Coverage" as respects only himself, if:
 - i. "You" have been placed in liquidation or bankruptcy or permanently cease operations; and
 - ii. "You" or a designated trustee does not purchase the Supplemental Extended Reporting Period; and
 - iii. Within one hundred twenty (120) days of the "Termination of Coverage" "we" have received from such other "insured" a written request for such Supplemental Extended Reporting Period Endorsement. If such other "insured" does not pay the required additional premium when due, then such Supplemental Extended Reporting Period Endorsement shall be void.
- h. In the event of a "Transaction", as defined in Clause **G.** below, the "named insured" shall have the right, upon payment of an additional 75% of the full annual premium applicable to this EPL Coverage to buy a Supplemental Extended Reporting Period of one (1) year following the effective date of "Termination of Coverage" and solely with respect to the coverage terminated hereunder in which to give "us" written notice of "claims" first made or "suits" first brought against the "insureds" during said Supplemental Extended Reporting Period for any "wrongful employment acts" occurring after the effective date of the EPL Coverage or the first EPL Coverage issued by "us" and prior to the effective time of the "Transaction" and otherwise covered by this EPL Coverage. To obtain a Supplemental Extended Reporting Period pursuant to this Paragraph **h.**, "you" must request it in writing and pay the additional premium due, within thirty (30) days prior to the end of the "EPL coverage period". The provisions of Paragraphs **1.** and **2.** of this Clause **F.** shall also apply to any Supplemental Extended Reporting Period provided to "you" pursuant to this Paragraph **h.** In the event of a "Transaction", the right to a Supplemental Extended Reporting Period shall not otherwise exist except as indicated in this paragraph.

G. Change in Control of "Named Insured"

If during the "EPL coverage period":

1. The "named insured" shall consolidate with or merge into, or sell all or substantially all of its assets to any other person or entity or group of persons or entities acting in concert; or
2. Any person or entity or group of persons or entities acting in concert shall acquire an amount of the outstanding securities representing more than fifty (50%) percent of the voting power for the election of directors or General Partners of the "named insured" (in the event the "named insured" is a Partnership), or acquires the voting rights of such an amount of such securities; or
3. A General Partner of the "named insured" (in the event the "named insured" is a partnership) withdraws, resigns or is terminated;

(Any of the above events herein referred to as the "Transaction") Then this EPL Coverage shall continue in full force and effect as to "wrongful employment acts" occurring during the "EPL Coverage Period" and prior to the effective time of the "Transaction", but there shall be no coverage afforded by any provision of this EPL Coverage for any actual or alleged "wrongful employment acts" occurring after the effective time of the "Transaction". This EPL Coverage may not be canceled after the effective time of the "Transaction" and the entire premium for this EPL Coverage shall be deemed earned as of such time. "You" shall also have the right to an offer by "us" of a Supplemental Extended Reporting Period described in Clause **F.** of this EPL Coverage.

"You" shall give "us" written notice of the "Transaction" as soon as practicable, but not later than thirty (30) days after the effective date of the "Transaction".

H. Legal Action Against "Us"

No one may bring an action against "us" unless there has been full compliance with all the terms of this EPL Coverage and the amount of "your" obligation to pay has been finally determined either by:

1. Judgment against "you" which remains unsatisfied at the expiration of thirty (30) days from the service of notice of entry of the judgment upon "you" and upon "us"; or
2. Written agreement of "you", the claimant and "us".

Any person or organization or legal representative thereof who has secured such judgment or written agreement shall thereafter be entitled to recover under this EPL Coverage to the extent of the insurance afforded by this EPL Coverage. "We" may not be impleaded by "you" or "your" legal representative in any legal action brought against "you" by any person or organization.

I. Other Insurance

Unless expressly written to be excess over other valid and collectible insurance, it is intended that the insurance provided by this EPL Coverage shall be primary.

J. EPL Coverage Changes

This EPL Coverage contains all the agreements between "you" and "us" concerning this insurance. The first "named insured" in the Supplemental Declarations of this EPL Coverage is authorized to request changes in this EPL Coverage. This EPL Coverage can only be changed by a written endorsement "we" issue and make part of this EPL Coverage.

K. Representations

By accepting this policy, you agree that:

1. The statements in the Declarations are accurate and complete;
2. Those statements are based upon representations you made to us; and
3. We have issued this policy in reliance upon your representations.

L. Special Rights and Duties of the "Named Insured"

"You" agree that when there is more than one person and/or entity covered under this EPL Coverage, the "named insured" in the Supplemental Declarations of this EPL Coverage shall act on behalf of all "insureds" as to:

1. Giving of notice of a "claim" or "suit";
2. Giving and receiving notice of cancellation or nonrenewal;
3. Payment of premiums and receipt of return premiums;
4. Acceptance of any endorsements issued to form a part of this EPL Coverage; or
5. Purchasing or deciding not to purchase the Supplemental Extended Reporting Period.

M. Separation of Insureds

Except with respect to the EPL Aggregate Limit of Liability and any rights or duties specifically assigned to the first "named insured" in Clause **L.** of this **Section VI.**, this insurance applies:

1. As if each "named insured" were the only "named insured"; and
2. Separately to each insured against whom a "claim" or "suit" is made.

N. Headings

The descriptions in the headings of this EPL Coverage are solely for convenience, and form no part of the terms and conditions of coverage.

SECTION VII. DEFINITIONS

- A.** "Bodily injury" means bodily injury, sickness, or disease sustained by a person, including death resulting from any of these at any time.
- B.** "Claim" means a written demand for money. The term "claim" shall also mean an Equal Employment Opportunity Commission (EEOC), Department of Labor (DOL) or Office of Federal Contract Compliance Program (OFCCP) (or similar federal, state or local agency) proceeding or investigation seeking monetary relief commenced by the filing of a notice of charges, service of a complaint or similar document of which notice has been given to "you". However, in no event, shall the term "claim" include any labor or grievance proceeding, which is subject to a collective bargaining agreement.
- C.** "Class Action Suit" means any suit seeking certification or certified as a class action by a federal or state court.

- D.** "Defense Costs" means reasonable and necessary fees, costs and expenses consented to by "us" resulting solely from the investigation, adjustment, defense and appeal of a "claim" or "suit" against "you". In no event shall "defense costs" include "your" or "our" routine ongoing expenses, including, without limitation, the salaries of "your" or "our" "employees", officers or staff attorneys.
- E.** "Employee" means an individual whose labor or service is engaged by and directed by "you" for remuneration, whether such individual is in a supervisory, co-worker or subordinate position or otherwise, including any part-time, seasonal, and temporary "employees".
An individual who is an independent contractor or leased to "you" shall also be an "employee". Independent contractors who do not provide ongoing and routine services solely for "you" shall not be considered "employees", including but not limited to independent trade contractors (e.g. plumber, electrician).
- F.** "EPL coverage period" means the period commencing on the effective date shown in the Supplemental Declarations of this EPL Coverage. This period ends on the earlier of the expiration date or the effective date of cancellation of this EPL Coverage. If "you" became an "insured" under this EPL Coverage after the effective date, the "EPL coverage period" begins on the date "you" became an "insured".
- G.** "Loss(es)" means monetary amounts which this insurance applies and which "you" are legally obligated to pay (including front pay and back pay), judgments, settlements, pre-judgment interest on that part of any judgment paid by "us", statutory attorney fees, and "defense costs"; however, "loss" shall not include:
1. Civil or criminal fines or penalties imposed by law;
 2. Punitive or exemplary damages;
 3. The multiplied portion of multiplied damages;
 4. Taxes;
 5. Any amount for which the "insureds" are not financially liable or which are without legal recourse to the "insureds";
 6. Employment related benefits, stock options, perquisites, deferred compensation or any other type of compensation other than salary, wages or bonus compensation;
 7. Matters which may be deemed uninsurable under the law pursuant to which this EPL Coverage shall be construed.
 8. Any liability or costs incurred by any "insured" to modify any building or property in order to make said building or property more accessible or accommodating to any disabled person, or any liability or costs incurred in connection with any educational, sensitivity or other corporate program, policy or seminar.
- H.** "Named Insured" means the person or organization designated in the Supplemental Declarations page of this EPL Coverage.
- I.** "Property Damage" means physical injury to, or destruction of, tangible property including the loss of use of thereof, or loss of use of tangible property, which has not been physically injured or destroyed.
- J.** "Recognized volunteer" means an uncompensated individual who volunteers labor or services to "you", but only when performing such labor or services at the request of and under the direction of "you".
- K.** "Related Wrongful Employment Act(s)" means "wrongful employment acts" which are the same, related or continuous, or "wrongful employment acts" which arise from a common nucleus of facts. "Claims" or "suits" can allege "related wrongful employment acts", regardless of whether such "claims" or "suits" involve the same or different claimants, "insureds" or legal causes of actions.
- L.** "Retaliation" means a "wrongful employment act" of an "insured" alleged to be in response to, the actual or attempted exercise by an "employee" of any right that such "employee" has under the law. Provided, however, "retaliation" shall not include the "wrongful employment act" of an "insured" alleged to be in response to the threat of or the actual filing of any claim or suit under the Federal False Claims Act or any other federal state, local or foreign "whistleblower law".

M. "Subsidiary" means:

1. Any for-profit organization which, on or before the inception of the "EPL coverage period", is more than fifty (50%) owned by the "named insured", either directly or indirectly through one or more of its "subsidiaries"; or
2. A for-profit organization which becomes a "subsidiary" during the "EPL coverage period", but only upon the condition that within ninety (90) days of its becoming a "subsidiary", the "named insured" shall have provided "us" with full particulars of the new "subsidiary" and agreed to any additional premium or amendment of the provisions of this EPL Coverage required by "us" relating to such new "subsidiary". Further, coverage as shall be afforded to the new "subsidiary" is conditioned upon the "named insured" paying when due any additional premium required by "us" relating to such new "subsidiary".

An organization becomes a "subsidiary" when the "named insured" owns more than fifty (50%) percent ownership interest in such "subsidiary", either directly, or indirectly through one or more of its "subsidiaries". An organization ceases to be a "subsidiary" when the "named insured" ceases to own more than a fifty (50%) percent ownership in such "subsidiary", either directly, or indirectly through one or more of its "subsidiaries".

In all events, coverage as is afforded under this EPL Coverage with respect to a "claim" made or "suit" brought against any "subsidiary" or an "insured" of any "subsidiary", shall only apply to "wrongful employment act(s)" commenced or allegedly commenced after the effective time that such "subsidiary" became a "subsidiary", and prior to the time that such "subsidiary" ceased to be a "subsidiary".

- N. "Suit" means a civil proceeding or an administrative proceeding seeking money damages, and includes an arbitration, mediation or any other alternative dispute resolution procedure seeking such damages, to which the "insured" must submit or may submit with "our" consent. "Suit" shall not include any civil proceeding or administrative proceeding arising from any labor or grievance dispute which is subject to a collective bargaining agreement.**
- N. "Third party violation" means any actual or alleged discrimination or sexual harassment against "your" customers, vendors or clients. "Third party violation" shall also include any of the following as it relates to such discrimination or sexual harassment:**
1. Violation of an individual's civil rights;
 2. Libel;
 3. Slander;
 4. Humiliation;
 5. Mental anguish;
 6. Infliction of emotional distress;
 7. Defamation; or
 8. Invasion of privacy.
- O. "Whistleblower law" means a statute, rule or regulation, which protects an employee against discrimination from his or her employer, if the employee discloses or threatens to disclose to a superior or any governmental agency; or who gives testimony relating to, any action with respect to the employer's operations, which may be a violation of public policy as reflected in legislation, administrative rules, regulations or decisions, judicial decisions, and professional codes of ethics.**

P. "Wrongful Employment Act(s)" means any actual or alleged:

1. Wrongful dismissal, discharge or termination (either actual or constructive), including breach of an implied contract;
2. Harassment (including sexual harassment, whether quid pro quo, hostile work environment or otherwise);
3. Discrimination (including but not limited to discrimination based upon age, gender, race, color, national origin, religion, sexual orientation or preference, pregnancy or disability); provided, however, discrimination shall not include discrimination based on disparate treatment;
4. "Retaliation" (including lockouts);
5. Employment-related misrepresentation(s) to "your" "employee" or applicant for employment with "you";
6. Employment-related libel, slander, humiliation, mental anguish, infliction of emotional distress, defamation, or invasion of privacy;
7. Wrongful failure to employ or promote;
8. Wrongful deprivation of career opportunity, wrongful demotion or negligent "employee" evaluation, including the giving of negative or defamatory statements in connection with an "employee" reference;
9. Wrongful discipline;
10. Failure to grant tenure;
11. Failure to provide or enforce adequate or consistent corporate policies and procedures relating to any "wrongful employment act";
12. Negligent supervision or hiring by an "insured", relating to any of the above;
13. Violation of an individual's civil rights relating to any of the above; or
14. "Third party violations: but only if coverage for "third party violations" is shown on the Supplemental Declarations.

Notwithstanding the foregoing, with respect to "claims" subject to New York Law, "we" shall not be liable to make any payment for "loss" in connection with a "claim" or "suit" made against any insured who allegedly or actually participates in, directs or knowingly allows any harassment, "retaliation", intentional discrimination or civil rights violations of any law, rule or statute of New York. However, if a "claim" or "suit" also includes an allegation which is otherwise covered under this EPL Coverage we will defend a "claim" or "suit" alleging that an insured participated in, directed or knowingly allowed any harassment, "retaliation", intentional discrimination or civil rights violations of any law, rule or statute of New York until such time as the insured is determined to have committed such harassment, "retaliation", intentional discrimination or civil rights violation of any law, rule or statute of New York. The "wrongful employment act(s)" of any "insured(s)" shall not be imputed to any other "insured" for the purposes of determining the applicability of the foregoing exclusion.

NEW YORK REGULATION 121 CLAIMS-MADE DISCLOSURE NOTICE ADDENDUM TO DECLARATIONS AND APPLICATION

THIS DISCLOSURE NOTICE IS BEING PROVIDED IN ACCORDANCE WITH NEW YORK LAW AND HIGHLIGHTS CERTAIN IMPORTANT FEATURES OF YOUR POLICY. THIS NOTICE PROVIDES NO COVERAGE AND DOES NOT REPLACE ANY PROVISION OF YOUR POLICY. FOR COMPLETE INFORMATION ON YOUR COVERAGE, READ YOUR POLICY, REVIEW THE SUPPLEMENTAL DECLARATIONS OF THE EMPLOYMENT PRACTICES LIABILITY COVERAGE AND DISCUSS IT WITH YOUR INSURANCE AGENT OR BROKER. IF THERE IS ANY CONFLICT BETWEEN THE POLICY AND THIS NOTICE, THE PROVISIONS OF THE POLICY SHALL PREVAIL.

1. The Employment Practices Liability Coverage Form is written on a claims-made basis. The policy only covers claims made against you during the policy period or any applicable Extended Reporting Period.
2. The policy provides no coverage for claims arising out of any "wrongful employment acts" which took place prior to the Retroactive Date, if any, on the Supplemental Declarations of this Employment Practices Coverage.
3. All coverage under the policy ceases upon the "termination of coverage" of this policy, except for the Automatic Extended Reporting Period, unless the Supplemental Extended Reporting Period is purchased.
4. Automatic Extended Reporting Period

In the event of "termination of coverage", we will provide an Automatic Extended Reporting Period. This period starts following the effective date of the "termination of coverage" and lasts for sixty (60) days. Any claim first made during the Automatic Extended Reporting Period will be considered made during the policy period.

5. Supplemental Extended Reporting Period

In the event of "termination of coverage", a Supplemental Extended Reporting Period of one (1) year is available, but only by endorsement and upon payment of an additional 75% of the full annual premium applicable to this EPL Coverage. The Supplemental Extended Reporting Period starts when the Automatic Extended Reporting Period described in Paragraph 4. above ends. Any claim first made during the Supplemental Extended Reporting Period will be considered made during the policy period.

6. Upon "termination of coverage", it is very important that you consult with your insurance agent, broker or other insurance advisor. Potential coverage gaps may arise upon the expiration of the Automatic or Supplemental Extended Reporting Period.
7. During the first several years of claims-made coverage, premiums will be comparatively lower than occurrence coverage premiums. As such, you can expect substantial annual premium increases in subsequent years, independent of overall rate level increases, until the claims-made coverage reaches maturity.

Please consult with your agent or broker if you have any questions.

CYBER INSURANCE ENDORSEMENT – NEW YORK

Refer to the Cyber Insurance Supplemental Declarations if information is not shown on this form.

NOTICE TO POLICYHOLDER

THIS CYBER INSURANCE ENDORSEMENT (“ENDORSEMENT”) IS COMPRISED OF TWO COVERAGE COMPONENTS. SECTION I – CYBER LIABILITY COVERAGES IS WRITTEN ON A CLAIMS-MADE BASIS. SECTION II – FIRST PARTY BREACH EVENT COVERAGES PROVIDE CERTAIN FIRST PARTY COVERAGES.

READ THIS ENTIRE ENDORSEMENT CAREFULLY TO DETERMINE **YOUR** RIGHTS AND DUTIES AND WHAT IS AND IS NOT COVERED. THE TERMS, DEFINITIONS, CONDITIONS, AND EXCLUSIONS SET FORTH IN THIS ENDORSEMENT, AND THE LIMITS OF LIABILITY SHOWN IN THE SCHEDULE OF COVERAGES AND LIMITS (“THE SCHEDULE”), APPLY ONLY TO THIS ENDORSEMENT. ANY CONDITIONS CONTAINED ELSEWHERE IN THE POLICY, INCLUDING THE CANCELLATION AND RENEWAL/NONRENEWAL PROVISIONS, REMAIN UNCHANGED AND WILL APPLY TO THIS ENDORSEMENT, UNLESS THIS ENDORSEMENT STATES OTHERWISE.

THERE IS NO COVERAGE UNDER THIS ENDORSEMENT FOR **CLAIMS** ARISING OUT OF INCIDENTS, OCCURRENCES, OR ALLEGED WRONGFUL ACTS WHICH TAKE PLACE OR FIRST COMMENCE PRIOR TO THE **RETROACTIVE DATE** STATED IN THIS ENDORSEMENT. THIS ENDORSEMENT COVERS ONLY **CLAIMS** ACTUALLY MADE AGAINST THE **INSURED** NORTHVALE MOTORWORKS

NORTHVALE MOTORWORKS UNDER THIS ENDORSEMENT CEASES UPON TERMINATION OF COVERAGE, EXCEPT FOR THE AUTOMATIC EXTENDED REPORTING PERIOD, UNLESS **YOU** PURCHASE ADDITIONAL EXTENDED REPORTING PERIOD COVERAGE.

THIS COVERAGE PROVIDES AN AUTOMATIC EXTENDED REPORTING PERIOD OF SIXTY (60) DAYS. **YOU** ALSO HAVE THE RIGHT TO PURCHASE A SUPPLEMENTAL EXTENDED REPORTING PERIOD OF ONE (1) YEAR FOR AN ADDITIONAL PREMIUM OF 95%, OF THE ANNUAL PREMIUM IN EFFECT ON THE DATE THIS ENDORSEMENT WAS ISSUED OR LAST RENEWED. POTENTIAL COVERAGE GAPS MAY ARISE WHEN ANY EXTENDED REPORTING PERIOD COVERAGE ENDS.

DURING THE FIRST SEVERAL YEARS OF THE CLAIMS-MADE RELATIONSHIP, CLAIMS-MADE BASIS RATES ARE COMPARATIVELY LOWER THAN OCCURRENCE RATES, AND **YOU** CAN EXPECT SUBSTANTIAL ANNUAL PREMIUM INCREASES, INDEPENDENT OF OVERALL RATE LEVEL INCREASES, UNTIL THE CLAIMS-MADE RELATIONSHIP REACHES MATURITY. THE RATES FOR ANY EXTENDED REPORTING PERIOD COVERAGE WILL BE BASED ON THE RATES IN EFFECT ON THE DATE THE POLICY WAS ISSUED OR LAST RENEWED.

ALL WORDS AND PHRASES IN THIS ENDORSEMENT THAT APPEAR IN **BOLD AND ITALIC** PRINT HAVE THE MEANINGS SET FORTH IN SECTION VI OF THIS ENDORSEMENT. ANY DEFINITIONS CONTAINED IN ANY OTHER COVERAGE OF THE POLICY DO NOT APPLY TO THIS ENDORSEMENT.

POLICY NUMBER: BOP161281

ENDORSEMENT EFFECTIVE DATE: 09/08/26

RETROACTIVE DATE: 09/08/26



The Cyber Insurance limits of liability are specified in the Schedule shown below. The Cyber Insurance limits of liability are in addition to, and will not reduce, the limits of liability provided elsewhere under the Policy.

Our payment of *defense costs* will not reduce the Cyber Insurance limits of liability.

SCHEDULE OF COVERAGES AND LIMITS

COVERAGES	
Section I - Cyber Liability Coverages	
Coverage A - Multimedia Liability Coverage	
Coverage B - Security and Privacy Liability Coverage	
Coverage C - Privacy Regulatory Liability Coverage	
Coverage D - PCI DSS Liability Coverage	
Section II - First Party Breach Event Coverages	
Coverage E - <i>Privacy Breach Response Costs, Notification Expenses and Customer Support and Credit Monitoring Expenses</i> Coverage	
Coverage F - Network Asset Protection Coverage	
Coverage G - Cyber Extortion Coverage	
Coverage H - BrandGuard® Coverage	
LIMITS OF LIABILITY	
Each <i>Claim</i> Limit \$ <u>100,000</u>	Annual Aggregate Limit \$ <u>100,000</u>

In consideration of the premium paid and subject to all terms, conditions, definitions, exclusions and other provisions of this Endorsement, and any applicable conditions contained in the Policy, **we** agree as follows:

SECTION I – CYBER LIABILITY COVERAGES

COVERAGE A - MULTIMEDIA LIABILITY COVERAGE

Subject to the limits of liability shown in the Schedule, **we** will pay *damages* which an *insured* becomes legally obligated to pay and *defense costs* resulting from a *claim* for an actual or alleged *multimedia peril*, if:

1. Such *claim* is first made during the *endorsement period* or any extended reporting period;
2. The *insured* reports such *claim* in writing to **us** or **our** authorized agent as soon as reasonably possible; and
3. The *multimedia peril* takes place or first commences on or after the *retroactive date*.

A *claim* under Coverage A will be deemed to have been first made when notice of such *claim* is received by any *insured* TALLGRASS SERVICE GROUP



COVERAGE B - SECURITY AND PRIVACY LIABILITY COVERAGE

Subject to the limits of liability shown in the Schedule, *we* will pay *damages* which an *insured* becomes legally obligated to pay and *defense costs* resulting from a *claim* for an actual or alleged *security and privacy wrongful act*, if:

1. Such *claim* is first made during the *endorsement period* or any extended reporting period;
2. The *insured* reports such *claim* in writing to *us* or *our* authorized agent as soon as reasonably possible; and
3. The *security and privacy wrongful act* takes place or first commences on or after the *retroactive date*.

A *claim* under Coverage B will be deemed to have been first made when notice of such *claim* is received by any *insured* TALLGRASS SERVICE GROUP

COVERAGE C - PRIVACY REGULATORY LIABILITY COVERAGE

Subject to the limits of liability shown in the Schedule, *we* will pay any *regulatory compensatory award* which an *insured* becomes legally obligated to pay and *defense costs* resulting from a *claim* for an actual or alleged *security breach* or *privacy breach*, if:

1. Such *claim* is first made during the *endorsement period* or any extended reporting period;
2. The *insured* reports such *claim* in writing to *us* or *our* authorized agent as soon as reasonably possible; and
3. The *security breach* or *privacy breach* takes place or first commences on or after the *retroactive date*.

A *claim* under Coverage C will be deemed to have been first made when notice of such *claim* is received by any *insured* TALLGRASS SERVICE GROUP

COVERAGE D - PCI DSS LIABILITY COVERAGE

Subject to the limits of liability shown in the Schedule, *we* will pay *PCI DSS assessments* which an *insured* becomes legally obligated to pay and *defense costs* resulting from a *claim* for an actual or alleged *security breach* or *privacy breach*, if:

1. Such *claim* is first made during the *endorsement period* or any extended reporting period;
2. The *insured* reports the *claim* in writing to *us* or *our* authorized agent as soon as reasonably possible; and
3. The *security breach* or *privacy breach* takes place or first commences on or after the *retroactive date*.

A *claim* under Coverage D will be deemed to have been first made when notice of such *claim* is received by any *insured* TALLGRASS SERVICE GROUP

SECTION II – FIRST PARTY BREACH EVENT COVERAGES

COVERAGE E - PRIVACY BREACH RESPONSE COSTS, NOTIFICATION EXPENSES, AND CUSTOMER SUPPORT AND CREDIT MONITORING EXPENSES COVERAGE

Subject to the limits of liability shown in the Schedule, *we* will pay reasonable *privacy breach response costs*, *notification expenses*, or *customer support and credit monitoring expenses* which *you* incur during the *endorsement period* as a direct result of an *adverse media report*, *security breach* or *privacy breach*, if:

1. The *adverse media report*, *security breach* or *privacy breach* is first discovered by an *insured* during the *endorsement period*; and
2. *You* report the *adverse media report*, *security breach* or *privacy breach* in writing to *us* or *our* authorized agent as soon as reasonably possible.



COVERAGE F - NETWORK ASSET PROTECTION COVERAGE

Coverage F.1. - Loss of *Digital Assets*

Subject to the limits of liability shown in the Schedule, **we** will reimburse **you** for *digital assets loss* and *special expenses* which **you** incur as a direct result of damage, alteration, corruption, distortion, theft, misuse, or destruction of *digital assets* that is directly attributable to a *covered cause of loss*, if:

- a. The *covered cause of loss* is first discovered by an *insured* during the *endorsement period*;
- b. **You** report the *covered cause of loss* in writing to **us** or **our** authorized agent as soon as reasonably possible; and
- c. **You** provide clear evidence that the *digital assets loss* and *special expenses* directly resulted from the *covered cause of loss*.

We will pay *digital assets loss* and *special expenses* for a period of up to twelve (12) months following the discovery of the damage, alteration, corruption, distortion, theft, misuse, or destruction of *digital assets*.

Coverage F.2. - Non-Physical Business Interruption and Extra Expense

Subject to the limits of liability shown in the Schedule, **we** will reimburse **you** for *income loss*, *interruption expenses* and *special expenses* which **you** incur during the *period of restoration*, but after the *waiting period*, as a direct result of a total or partial interruption, degradation in service or failure of an *insured computer system* that is directly attributable to a *covered cause of loss*, if:

- a. The *covered cause of loss* is first discovered by an *insured* during the *endorsement period*;
- b. **You** report the *covered cause of loss* in writing to **us** or **our** authorized agent as soon as reasonably possible; and
- c. **You** provide clear evidence that the *income loss*, *interruption expenses* and *special expenses* directly resulted from the *covered cause of loss*.

COVERAGE G - CYBER EXTORTION COVERAGE

Subject to the limits of liability shown in the Schedule, **we** will reimburse **you** for *cyber extortion expenses* and *cyber extortion monies* that **you** pay as a direct result of a *cyber extortion threat*, including a demand for *cyber extortion monies*, if:

1. Such *cyber extortion threat* is first received by an *insured* during the *endorsement period*;
2. **You** provide clear evidence that the *cyber extortion expenses* and *cyber extortion monies* directly resulted from the *cyber extortion threat*; and
3. **You** report the *cyber extortion threat* in writing to **us** or **our** authorized agent as soon as reasonably possible.

Cyber extortion expenses and *cyber extortion monies* must not be paid without **our** prior consultation and written authorization. **You** must make every reasonable effort to notify local law enforcement authorities and the Federal Bureau of Investigation, or similar equivalent foreign agency, before surrendering any *cyber extortion monies* in response to a *cyber extortion threat*.

COVERAGE H - BRANDGUARD® COVERAGE

Subject to the limits of liability shown in the Schedule, **we** will reimburse **you** for *your* provable and ascertainable *brand loss*, which **you** sustain during the *period of indemnity*, but after the *waiting period*, as a direct result of an *adverse media report* or *notification*, if:

1. **You** first discover the *brand loss* during the *endorsement period*;
2. **You** report the *brand loss* in writing to **us** or **our** authorized agent as soon as reasonably possible; and
3. **You** provide clear evidence that the *brand loss* directly resulted from the *adverse media report* or *notification*.



SECTION III – CYBER LIABILITY DEFENSE, INVESTIGATION AND SETTLEMENT

The following Cyber Liability Defense, Investigation and Settlement provisions will apply only to Coverage A, B, C, and D of this Endorsement and will supersede any other defense, investigation or settlement provisions contained elsewhere in the Policy.

- A. *We* will have the right and duty to defend any *claim* under Coverage A, Coverage B, Coverage C, or Coverage D, even if the allegations of the *claim* are groundless, false or fraudulent. *We* will have the right to appoint counsel to defend any such *claim*. However, *we* will have no duty to defend any *insured* against any *claim* seeking amounts or relief to which this insurance does not apply.
- B. At *our* sole discretion, *we* may investigate and settle any *claim* if *we* have *your* written consent to settle and the settlement is within the applicable limit of liability. If *you* refuse to consent to any settlement recommended by *us* and acceptable to the claimant, *we* may then withdraw from *your* defense by tendering control of the defense to *you*. From that point forward, *you* will, at *your* own expense, negotiate or defend such *claim*, independently of *us*. *Our* liability will not exceed the amount for which the *claim* could have been settled if such recommendation was consented to, plus *defense costs* incurred by *us*, and *defense costs* incurred by *you* with *our* written consent, prior to the date of such refusal.
- C. *We* will not be obligated to defend or pay any *claim* after the applicable limit of liability hereunder has been exhausted.
- D. *Our* payment of *defense costs* will not reduce the limits of liability.
- E. Once the limits of liability specified in Section V of this Endorsement are exhausted, *we* will have no further obligation to make any payment under this Endorsement. *We* will have the right to withdraw from the further defense or payment of any *claim* by transferring control of said *claim* to the *insured* in accordance with Section XII of this Endorsement.
- F. No *insured* will incur any *defense costs*, *damages*, or any other amounts covered by this Endorsement, or settle any *claim*, assume any contractual obligation, admit liability, voluntarily make any payment, or otherwise consent to any settlement or judgment with respect to any *claim* without *our* prior written consent, which will not be unreasonably withheld. *We* will not be liable for any *defense costs* or other amounts, or any settlement or judgment to which *we* have not consented.

SECTION IV - EXCLUSIONS

The following Exclusions will apply only to the Coverages provided under this Endorsement. Any exclusionary language that appears elsewhere in the Policy will not apply to this Endorsement.

The insurance provided under this Endorsement does not apply to:

- A. Any *claim* based upon, arising out of, resulting from, in consequence of, or in any way involving any *multimedia peril, security and privacy wrongful act, security breach, privacy breach, covered cause of loss, cyber extortion threat or adverse media report*:
 - 1. Which was the subject of written notice given to *us* or to any other insurer prior to the effective date of the first Cyber Insurance Endorsement issued to *you* and continuously renewed thereafter;
 - 2. Which was the subject of any written demand or civil proceeding made or brought against an *insured* prior to the effective date of the first Cyber Insurance Endorsement issued to *you* and continuously renewed thereafter, or that involved the same or substantially the same fact, circumstance, or situation underlying or alleged in such prior demand or civil proceeding;
 - 3. Which any *insured* had knowledge of prior to the effective date of the first Cyber Insurance Endorsement issued to *you* and continuously renewed thereafter.
- B. Any *claim* based upon, arising out of, resulting from, in consequence of, or in any way involving any actual, alleged or threatened discharge, dispersal, release or escape of *pollutants*, or any direction, request or voluntary decision to test for, abate, monitor, clean up, remove, contain, treat, detoxify or neutralize *pollutants*.



- C. Any **claim** for liability assumed by any **insured** under any oral or written contract or agreement, except where such liability would apply apart from such contract or agreement and is otherwise covered by this Endorsement. With respect to any **multimedia peril, security breach or privacy breach**, this exclusion does not apply to any **claim** alleging liability **assumed under contract**.
- D. Any **claim** for breach of any express, implied, actual or constructive contract, warranty, guarantee, or promise, except where such liability would apply apart from such contract, warranty, guarantee or promise and is otherwise covered by this Endorsement. This exclusion does not apply to any **claim** alleging breach of **your** privacy policy or liability **assumed under contract**.
- E. Any **claim** for violations of the False Claims Act or any similar federal or state law, rule, or regulation concerning billing errors or fraudulent billing practices or abuse.
- F. Any **claim** for infringement of any patent or the misappropriation, theft, copying, display, or publication of any trade secret.
- G. Any **claim** for unfair competition, price fixing, deceptive trade practices, restraint of trade, or violation of any anti-trust laws.
- H. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving:
1. Any employment or employment-related matters, including, but not limited to, employer-employee relations, policies, acts or omissions;
 2. Any actual or alleged refusal to employ any person or any other actual or alleged misconduct with respect to employees; or
 3. Any actual or alleged obligations of the **insured** under any workers' compensation, unemployment insurance, social security, disability benefits or other similar law.
- This exclusion does not apply to an otherwise covered **claim** under Coverage B, which is brought by **your** past, present or future employee alleging a **security and privacy wrongful act**.
- I. Any **claim** for **bodily injury or property damage**.
- J. Any **claim** for harassment or discrimination because of, or relating to, race, creed, color, age, sex, sexual orientation or preference, national origin, religion, handicap, disability, political affiliation, marital status, or any other basis prohibited by federal, state or local law.
- K. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving:
1. Satellite failures;
 2. Electrical or mechanical failures or interruption including, but not limited to, electrical disturbance, spike, brownout, or blackout; or
 3. Outages to gas, water, telephone, cable, telecommunications or other infrastructure, unless such infrastructure is under **your** direct operational control and such **claim** is otherwise covered under Coverage F.
- L. Any **claim** for violation of any of United States of America's economic or trade sanctions, including, but not limited to, sanctions administered and enforced by the U.S. Treasury Department's Office of Foreign Assets Control ("OFAC").
- M. Any **criminal proceeding**.
- N. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving any of the of following, if committed by any **insured**, whether acting alone or in collusion with other persons:
1. Any willful, deliberately dishonest, malicious, or fraudulent act or omission;
 2. Any intentional violation of the law or of **your** privacy policy; or
 3. The gaining in fact of any profit, remuneration or financial advantage to which an **insured** was not legally entitled,

This exclusion does not apply to:

1. Any **insured** that did not commit, participate in, or have knowledge of any willful, dishonest, fraudulent, or malicious conduct described in this exclusion; or
2. A **claim** resulting from sabotage by **your** employee.

- O. Any **claim** under Coverage A, Coverage B, Coverage C or Coverage D based upon, arising out of, resulting from, in consequence of, or in any way involving:
1. Any actual or alleged **multimedia peril, security and privacy wrongful act, security breach or privacy breach** that took place or first commenced prior to the **retroactive date**; or
 2. Any actual or alleged **multimedia peril, security and privacy wrongful act, security breach or privacy breach** that took place on or after the **retroactive date**, which, together with an actual or alleged **multimedia peril, security and privacy wrongful act, security breach or privacy breach** that took place prior to the **retroactive date**, would constitute related **multimedia perils, security and privacy wrongful acts, security breaches or privacy breaches**.

For purposes of this exclusion, **multimedia perils, security and privacy wrongful acts, security breaches or privacy breaches** will be deemed related if **we** determine that they are logically or causally connected by any common fact, circumstance, situation, event, transaction or series of facts, circumstances, situations, events or transactions.

- P. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving any business, joint venture or enterprise not named on the Declarations Page.
- Q. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving any conduct, act, error or omission of any individual serving in any capacity other than as **your** officer, director, partner, stockholder, trustee or employee.
- R. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving an **insured's** insolvency or bankruptcy, the insolvency or bankruptcy of any other individual or entity, or the failure, inability or unwillingness to make payments because of the insolvency, liquidation, or bankruptcy of any individual or entity. However, bankruptcy or insolvency of an **insured** or an **insured's** estate will not relieve **us** of **our** obligations under this Endorsement.
- S. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the wear and tear, drop in performance, progressive deterioration, or aging of **your** electronic equipment or **computer hardware**.
- T. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the failure of overhead transmission and distribution lines.
- U. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the gradual deterioration of subterranean insulation.
- V. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving fire, smoke, explosion, lightning, wind, water, flood, earthquake, volcanic eruption, tidal wave, landslide, hail, force majeure or any other physical event, however caused.
- W. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the gradual deterioration or wear and tear of an **insured computer system**.
- X. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the actual or alleged inaccurate, inadequate or incomplete description of the price of goods, products or services.
- Y. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving cost guarantees, cost representations, contract price or cost estimates being exceeded.
- Z. Any **claim** brought by or on behalf of:
1. Any **insured** VANTAGE ENTERPRISES
 2. Any entity which is owned, in whole or in part, by an **insured**, or any entity directly or indirectly controlled, operated or managed by an **insured**;
 3. Any entity which is a parent, affiliate or subsidiary of any entity or joint venture in which an **insured** CLEARWATER
 4. Any individual or entity who is a partner of any entity or joint venture in which an **insured** is also a partner.



This exclusion does not apply to an otherwise covered **claim** under Coverage B, which is brought by **your** past, present or future employee alleging a **security and privacy wrongful act**.

AA. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving **unauthorized trading**.

BB. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving:

1. The actual or alleged purchase or sale of securities, or an offer, or solicitation of an offer, to purchase or sell securities;
2. The actual or alleged loss of value of any securities; or
3. Any actual or alleged violation of any securities law such as the provisions of the Securities Act of 1933, the Securities Exchange Act of 1934, the Sarbanes-Oxley Act of 2002 or any regulation promulgated under the foregoing statutes, or any federal, state, local, or foreign laws similar to the foregoing statutes, including Blue Sky laws, whether such law is statutory, regulatory or common law.

CC. Any **claim** for violation of the Organized Crime Control Act of 1970 (commonly known as “Racketeer Influenced and Corrupt Organizations Act” or “RICO”), as amended, or any regulation promulgated under the foregoing statutes, or any similar federal, state, local or foreign laws, whether such law is statutory, regulatory or common law.

DD. Any **claim** which is brought by the Federal Trade Commission, the Federal Communications Commission or any other federal, state or local governmental entity, in such entity’s regulatory or official capacity. This exclusion does not apply to an otherwise covered **claim** under Coverage C.

EE. Any **claim** alleging:

1. The violation of any pension, healthcare, welfare, profit sharing or mutual or investment plans, funds or trusts; or
2. The violation of any provision of the Employee Retirement Income Security Act of 1974 and its amendments, or the Pension Protection Act of 2006 and its amendments, or any regulation, ruling or order issued pursuant thereto.

FF. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving:

1. War, including undeclared or civil war; or
2. Warlike action by a military force, including action to hinder or defend against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
3. Insurrection, rebellion, revolution, usurped power, or action taken by a governmental authority in hindering or defending against any of these.

GG. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving **your** commercial decision to cease providing a product or service, but only if **you** are contractually obligated to continue providing such products or services.

HH. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving:

1. Gambling or pornography;
2. Prizes, awards or coupons.

II. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the use of programs that are not **operational programs** or **delivered programs**.

JJ. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving any **insured’s** intentional use of illegal or unlicensed programs that are in violation of the provisions or laws

HARBOR POINT MOTORWORKS

KK. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the confiscation, commandeering, requisition, destruction of, or damage to **computer hardware** by order of a government de jure or de facto or by any public authority for whatever reason.



LL. Any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving the actual or alleged existence, emission or discharge of any electromagnetic field, electromagnetic radiation or electromagnetism that affects the health, safety or condition of any person or the environment or that affects the value, marketability, condition or use of any property.

MM. Any fines, penalties or sanctions imposed by law or punitive or exemplary damages.

NN. With respect to Coverage F.1. – Loss of **Digital Assets**:

1. Any amount incurred in restoring, updating or replacing **digital assets** to a level beyond that which existed prior to the **covered cause of loss**;
2. Physical damage to the **computer hardware** or **data** center, other than accidental physical damage or destruction of **electronic media** so that stored **digital assets** are no longer machine-readable;
3. Contractual penalties or consequential **damages**;
4. Any liability to third parties for whatever reason, including legal costs and expenses of any type;
5. The economic or market value of **digital assets**;
6. Costs or expenses incurred to identify, patch or remediate software program errors or **computer system** vulnerabilities;
7. Costs to upgrade, redesign, reconfigure or maintain an **insured computer system** to a level of functionality beyond that which existed prior to the **covered cause of loss**; or
8. Any losses paid under Coverage F.2. – Non-Physical Business Interruption and Extra Expense.

OO. With respect to Coverage F.2. – Non-Physical Business Interruption and Extra Expense:

1. Any amount incurred in updating or replacing **digital assets** to a level beyond that which existed prior to the **covered cause of loss**;
2. Contractual penalties or consequential **damages**;
3. Any liability to third parties for whatever reason, including legal costs and expenses of any type;
4. Costs or expenses incurred to identify, patch or remediate software program errors or **computer system** vulnerabilities;
5. Loss of goodwill and reputational harm;
6. Costs to upgrade, redesign, reconfigure or maintain an **insured computer system** to a level of functionality beyond that which existed prior to the **covered cause of loss**; or
7. Any losses paid under Coverage F.1. – Loss of **Digital Assets**.

PP. With respect to Coverage H - BrandGuard®:

1. Any amounts incurred by **you** to reestablish **your reputation**, including **public relations expenses**;
2. Any amounts incurred in any **claim** that is insured by any other insurance, except excess insurance;
3. Any amounts incurred in connection with an **adverse media report** that also affects or refers in similar terms to a general security issue, an industry or **your** specific competitors without any specific allegations regarding a **privacy breach** or **security breach** by an **insured**, a **BPO service provider**, an **outsourced IT service provider**, or by others acting on **your** behalf and for whom **you** are legally responsible;
4. Any civil or regulatory liability to third parties for whatever reason, including legal costs and expenses of any type;
5. Contractual penalties or consequential **damages**; or
6. **Privacy breach response costs, notification expenses** or **customer support and credit monitoring expenses** paid under Coverage E.



SECTION V - LIMITS OF LIABILITY

The following Limits of Liability provisions will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

- A. The limit of liability shown in the Schedule as the Each **Claim** Limit is the most **we** will pay under this Endorsement for each **claim**, regardless of the number of **insureds** involved or affected, the number of individuals or entities making a **claim**, or the number of **claims**.
- B. Subject to the provisions respecting each **claim**, the limit of liability shown in the Schedule as the Annual Aggregate Limit is the most **we** will pay for all Coverages of this Endorsement combined.
- C. All **claims** arising out of the same, related, or continuing acts, facts or circumstances, will be considered a single **claim** without regard to the number of **insureds**, **claims**, or persons or entities making a **claim**, and only one Each **Claim** Limit will apply.
- D. With respect to Coverage A, B, C, and D, **we** will deem related **claims** to have been first made on the date the earlier of the related **claims** was first made. Appeals and any post-trial proceedings or consolidated proceedings approved by **us** will be considered part of the original **claim**.
- E. With respect to Coverage E, F, G, and H, all covered amounts resulting from a **security breach, privacy breach, covered cause of loss, cyber extortion threat, adverse media report, or brand loss** will be subject to the limit of liability of the **endorsement period** in effect when the **security breach, privacy breach, covered cause of loss, cyber extortion threat, adverse media report, or brand loss** was first discovered by an **insured**. In the event a **claim** involves multiple, continuing or repeated **security breaches, privacy breaches, covered causes of loss, cyber extortion threats, adverse media reports, or brand loss**, the applicable limit of liability will be determined based on the date the earliest **security breach, privacy breach, covered cause of loss, cyber extortion threat, adverse media report, or brand loss** occurred.
- F. If more than one Coverage of this Endorsement applies to a **claim**, only one Each **Claim** Limit will apply.

SECTION VI - DEFINITIONS

The following Definitions will apply only to the Coverages provided under this Endorsement. Any definitions contained elsewhere in the Policy will not apply to the words or phrases used in this Endorsement. If a term is defined both below and elsewhere in the Policy, only the definitions below will apply to the Coverages provided under this Endorsement.

When used in this Endorsement:

- A. The words **you** and **your** refer to the person or entity named in the Declarations, and the words **we**, **us** and **our** refer to the insurance company named in the Declarations.
- B. **Acquiring bank** means a bank or financial institution that accepts credit or debit card payments (including credit cards, debits cards, stored value cards and pre-paid cards) for products or services on behalf of a merchant, including processing and crediting those payments to a merchant's account.
- C. **Adverse media report** means any unpredictable report or communication of an actual or potential **security breach or privacy breach**, which:
 - 1. Has been publicized through any media channel including, but not limited to, television, **print media**, radio or electronic networks, the **internet**, or electronic mail; and
 - 2. Threatens material damage to **your reputation or your** brands.

- D. **Assumed under contract** means liability for **damages** resulting from a **multimedia peril, security breach** or **privacy breach** where such liability has been assumed by **you** in the form of a written hold harmless or indemnity agreement, if such agreement was executed prior to the date the **multimedia peril, security breach, or privacy breach** occurred.
- E. **BPO service provider** means any third party independent contractor that provides business process outsourcing services for **your** benefit under a written contract with **you**, including, but not limited to, call center services, fulfillment services, and logistical support.
- F. **Bodily injury** means physical injury, sickness, disease, pain or death, and if arising out of the foregoing, mental anguish, mental injury, shock, humiliation or emotional distress sustained by a person at any time.
- G. **Brand loss** means **your** revenue as could have been reasonably projected immediately prior to **notification** or, in the event of an **adverse media report**, immediately prior to the publication of an **adverse media report**, but which has been lost as a direct result of such **notification** or **adverse media report**. **Brand loss** will be determined in accordance with Section VIII C. of this Endorsement.
- H. **Card association** means Visa International, Mastercard, Discover, JCB American Express and any similar credit or debit card association that is a participating organization of the Payment Card Industry Security Standards Council.
- I. **Claim** means:
1. With respect to Coverage A (Multimedia Liability Coverage) and Coverage B (Security and Privacy Liability Coverage):
 - a. Any written demand made against an **insured** in which **damages** are alleged; or
 - b. Any judicial proceeding initiated against an **insured**, commenced by the service of a complaint or similar pleading or notice, in which **damages** are alleged.
 2. With respect to Coverage C (Privacy Regulatory Liability Coverage), a **government investigation** commenced against an **insured** by letter, notice, complaint, or order of investigation.
 3. With respect to Coverage D (PCI DSS Liability Coverage), any written demand made against an **insured** by an **acquiring bank** or **card association** for a **PCI DSS assessment** due to the **insured's** MERIDIAN ENTERPRISES
 4. With respect to Coverage E (**Privacy Breach Response Costs, Notification Expenses, and Customer Support and Credit Monitoring Expenses** Coverage), **your** written report to **us** or **our** authorized agent of an **adverse media report, security breach, or privacy breach**.
 5. With respect to Coverage F (Network Asset Protection Coverage), **your** written report to **us** or **our** authorized agent of a **covered cause of loss**.
 6. With respect to Coverage G (Cyber Extortion Coverage), **your** written report to **us** or **our** authorized agent of a **cyber extortion threat**.
 7. With respect to Coverage H (BrandGuard® Coverage), **your** written report to **us** or **our** authorized agent of **brand loss** directly caused by an **adverse media report** or **notification**.
- J. **Computer hardware** means the physical components of any **computer system** including CPUs, memory, storage devices, storage media, and input/output devices and other peripheral devices and components, including, but not limited to, cable, connectors, fiber optics, wire, power supply units, keyboards, display monitors, and audio speakers.
- K. **Computer program** means an organized set of instructions that, when executed, causes a computer to behave in a predetermined manner. **Computer program** includes, but is not limited to, communications, networking, operating system, and related **computer programs** used to create, maintain, process, retrieve, store, or transmit electronic **data**.
- L. **Computer system** means interconnected electronic, wireless, web, or similar systems (including all **computer hardware** and software) used to process and store **data** or information in an analogue, digital, electronic, or wireless format including, but not limited to, **computer programs**, electronic **data**, operating systems, **firmware**, servers, media libraries, associated input and output devices, mobile

devices, networking equipment, websites, extranets, off line storage facilities (to the extent that they hold electronic **data**), and electronic backup equipment.

- M. **Computer virus** means a program that possesses the ability to create replicas of itself (commonly known as an “auto-reproduction” program) within other programs or operating system areas or which can spread copies of itself wholly or partly to other **computer systems**.
- N. **Covered cause of loss** means, and is limited to, the following:
1. Accidental Damage or Destruction
 - a. Accidental physical damage or destruction of **electronic media** so that stored **digital assets** are no longer machine-readable;
 - b. Accidental damage or destruction of **computer hardware** so that stored **data** is no longer machine-readable;
 - c. Failure in power supply or under/over voltage only if such power supply, including back-up generators, is under **your** direct operational control;
 - d. **Programming error of delivered programs**; or
 - e. Electrostatic build-up and static electricity.
 2. Administrative or Operational Mistakes
An accidental, unintentional, or negligent act, error or omission by **your** employee, a **BPO service provider**, or **outsourced IT service provider** in:
 - a. The entry or modification of **your** electronic **data**, which causes damage to such **data**;
 - b. The creation, handling, development, modification, or maintenance of **digital assets**; or
 - c. The ongoing operation or maintenance of an **insured computer system** excluding the design, architecture, or configuration of an **insured computer system**.
 3. Computer Crime and Computer Attacks
An act, mistake or negligent error or omission in the operation of an **insured computer system** or in the handling of **digital assets** by **your** employee, a **BPO service provider**, or **outsourced IT service provider**, which fails to prevent or hinder any of the following attacks on an **insured computer system**:
 - a. A **denial of service attack**;
 - b. **Malicious code**;
 - c. **Unauthorized access**; or
 - d. **Unauthorized use**.
- O. **Criminal proceeding** means any governmental action for enforcement of criminal laws, including those offenses for which conviction could result in imprisonment or criminal fine.
- P. **Customer support and credit monitoring expenses** means those reasonable and necessary expenses which **you** incur, with **our** prior written consent, for the provision of customer support activity in the event of a **privacy breach**, including the provision of credit file monitoring services and identity theft education and assistance for up to a period of twelve (12) months from the date of enrollment in such services.
- Q. **Cyber extortion expenses** means all reasonable and necessary costs and expenses which **you** incur, with **our** prior written consent, as a direct result of a **cyber extortion threat**, other than **cyber extortion monies**.
- R. **Cyber extortion monies** means any funds or property which **you** pay, with **our** prior written consent, to a person(s) or entity(ies) reasonably believed to be responsible for a **cyber extortion threat** insured under Coverage G, for the purpose of terminating such **cyber extortion threat**.
- S. **Cyber extortion threat** means a credible threat or series of related credible threats, including, but not limited to, a demand for **cyber extortion monies**, directed at **you** to:
1. Release, divulge, disseminate, destroy or use the confidential information of a third party taken from **you** as a result of **unauthorized access** to, or **unauthorized use** of, an **insured computer system**;
 2. Introduce **malicious code** into an **insured computer system**;

3. Corrupt, damage or destroy an *insured computer system*;
 4. Restrict or hinder access to an *insured computer system*, including, but not limited to the threat of a *denial of service attack*; or
 5. Electronically communicate with *your* customers and falsely claim to be *you* or to be acting under *your* direction to falsely obtain personal or confidential information of *your* customers (also known as “pharming,” “phishing,” or other types of false communications).
- T. **Damages** means the amount of money which an *insured* is legally obligated to pay because of a covered *claim* under Coverage A or Coverage B, including judgments and settlements negotiated with *our* consent. **Damages** do not include:
1. Taxes;
 2. Any amount for which an *insured* is absolved from legal responsibility to make payment to a third party;
 3. Amounts owed under contract;
 4. *Your* future profits or royalties or any return, withdrawal, restitution or reduction of *your* professional fees, profits or other charges;
 5. Punitive, liquidated or exemplary *damages* or the multiplied portion of multiplied *damages*;
 6. Fines, sanctions or penalties;
 7. Any matters that are deemed uninsurable under applicable law;
 8. The costs to comply with orders granting injunctive or non-monetary relief, including specific performance or any agreement to provide such relief;
 9. Disgorgement of any remuneration or financial advantage to which *you* were not legally entitled; or
 10. Settlements negotiated without *our* consent.
- U. **Data** means any machine-readable information, including, but not limited to, ready-for-use programs, applications, account information, personal information, health and medical information, or electronic information subject to back-up procedures, irrespective of the way it is used and rendered.
- V. **Defense costs** means reasonable and necessary legal fees, costs and expenses incurred with *our* consent in the investigation, defense and appeal of any covered *claim* under Coverage A, Coverage B, Coverage C, or Coverage D. **Defense costs** does not include any wages, salaries, fees, overhead or other charges incurred by, or paid to, any *insured* for any time spent in cooperating in the defense and investigation of any *claim* or potential *claim* under this Endorsement.
- W. **Delivered programs** means programs, applications, and software where the development stage has been finalized, having passed all test-runs, and been proven successful in a live environment.
- X. **Denial of service attack** means an event caused by unauthorized or unexpected interference or a malicious attack intended by the perpetrator to overwhelm the capacity of a *computer system* by sending an excessive volume of electronic *data* to such *computer system* to prevent authorized access to such *computer system*.
- Y. **Digital assets** means *data* and *computer programs* that exist in an *insured computer system*. **Digital assets** do not include *computer hardware*.
- Z. **Digital assets loss** means reasonable and necessary expenses and costs which *you* incur to replace, recreate, or restore *digital assets* to the same state and with the same contents immediately before it was damaged, destroyed, altered, misused, or stolen, including expenses for materials and machine time. **Digital assets loss** also includes amounts representing employee work time to replace, recreate, or restore *digital assets*, which will be determined on a predefined billable hour or per hour basis as based upon *your* schedule of employee billable hours.
- AA. **Electronic media** means floppy disks, CD ROM’s, hard drives, magnetic tapes, magnetic discs, or any other media on which electronic *data* is recorded or stored.

- BB. **Endorsement period** means the period of coverage commencing on the effective date specified on this Endorsement and ending on the earlier of the termination, expiration or cancellation date of the Policy to which this Endorsement attaches. **Endorsement period** does not include any extended reporting period.
- CC. **Firmware** means the fixed programs that internally control basic low-level operations in a device.
- DD. **Government investigation** means a formal investigation instituted against an **insured** by any federal, state or local government agency or authority, the subject matter of which is a **security breach** or **privacy breach**.
- EE. **Income loss** means financial loss **you** sustain, as determined in accordance with the provisions of Coverage F.2.
- FF. **Insured** means the **named insured** and current executive officers, partners, directors, stockholders, trustees, or employees of the **named insured**, but only while such individuals are acting within the scope of their duties on behalf of the **named insured**.
- GG. **Insured computer system** means:
1. A **computer system** operated by and either owned by, or leased to, **you**;
 2. With respect to Coverage B only, a **computer system** operated by a **BPO service provider** or **outsourced IT service provider** and used for the sole purpose of providing hosted computer application services to **you** or for processing, maintaining, hosting, or storing **your** electronic **data**, pursuant to a written contract with **you** for such services.
- HH. **Internet** means the worldwide public network of computers which enables the transmission of **electronic data** between different users, including a private communications network existing within a shared or public network platform.
- II. **Interruption expenses** means those expenses, excluding **special expenses**, which **you** incur in accordance with the provisions of Coverage F.2., to:
1. Avoid or minimize the suspension of **your** business as a result of a total or partial interruption, degradation in service, or failure of an **insured computer system** caused directly by a **covered cause of loss**, which **you** would not have incurred had no **covered cause of loss** occurred, including, but not limited to, the use of rented/leased external equipment, substitution of other work or production procedures, use of third party services, or additional staff expenditures or labor costs; and
 2. Minimize or avoid a **covered cause of loss** and continue **your** business.
- The amount of **interruption expenses** recoverable under II.1. above, will in no case exceed the amount by which the covered **income loss** is reduced by such incurred expenses.
- JJ. **Malicious code** means software intentionally designed to insert itself and damage a **computer system** without the owner's informed consent by a variety of forms including, but not limited to, virus, worm, Trojan horses, spyware, dishonest adware, and crimeware.
- KK. **Multimedia peril** means the release or display of any **electronic media** on **your internet** site or **print media** for which **you** are solely responsible, which directly results in any of the following:
1. Any form of defamation or other tort related to the disparagement or harm to the **reputation** or character of any person or organization, including libel, slander, product disparagement, or trade libel,
 2. Invasion, infringement or interference with an individual's right of privacy including false light, intrusion upon seclusion, commercial misappropriation of name, person, or likeness, and public disclosure of private facts;
 3. Plagiarism, piracy, or misappropriation of ideas under an implied contract;
 4. Infringement of copyright, trademark, trade name, trade dress, title, slogan, service mark or service name; or
 5. Domain name infringement or improper deep-linking or framing.
- LL. **Named insured** means the person or organization listed as such on the Declarations Page.
- MM. **Notification** means notice to affected individuals in the event of a **security breach** or a **privacy breach**.

- NN. **Notification expenses** means those reasonable and necessary expenses which **you** incur, with **our** prior written consent, to notify affected individuals in the event of a **security breach** or **privacy breach**, whether or not there is a specific requirement by law to do so. **Notification expenses** includes, but is not limited to:
1. Legal expenses;
 2. Computer forensic and investigation fees;
 3. **Public relations expenses**;
 4. Postage expenses; and
 5. Related advertising expenses.
- OO. **Operational programs** means programs and software that are ready for operational use, having been fully developed, tested, and accepted by **you**.
- PP. **Outsourced IT service provider** means a third party independent contractor that provides information technology services for **your** benefit under a written contract with **you**. **Outsourced IT service provider** services includes, but is not limited to, hosting, security management, co-location, and **data** storage.
- QQ. **PCI Data Security Standard** (known as “PCI DSS”) means the published Payment Card Industry Security Council Data Security Standard in effect now, or as hereafter amended, which all merchants and processors must follow when storing, processing and transmitting cardholder **data**.
- RR. **PCI DSS assessment** means the monetary fines, penalties, or assessments owed by an **insured** under the terms of any agreement between the **insured** and an **acquiring bank** or **card association** to accept payment by credit card, debit card or prepaid card, but only where such fines, penalties, or assessments result from a **security breach** or **privacy breach**. **PCI DSS assessment** does not include any fine or penalty imposed by law.
- SS. **Period of indemnity** means the period commencing on the earlier of the date of **notification** or the first publication of an **adverse media report** (whichever applies), and ending on the earlier of: (1) the date that gross revenues are restored to the level they had been prior to **notification** or the first **adverse media report** (whichever applies); or (2) One hundred eighty (180) consecutive days after the notice of **claim** under Coverage H is received by **us**.
- TT. **Period of restoration** means the period commencing on the date when the interruption, degradation, or failure of an **insured computer system** began and ends on the earlier of:
1. The date when the **insured computer system** is restored or could have been repaired or restored to the same condition, functionality, and level of service that existed prior to the **covered cause of loss** with reasonable diligence, plus up to thirty (30) additional consecutive days after the restoration of the **insured computer system** to allow for restoration of **your** business; or
 2. One hundred twenty (120) consecutive days after the notice of **covered cause of loss** is received by **us**.
- UU. **Pollutants** means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, and waste, including materials to be recycled, reconditioned or reclaimed.
- X. **Print media** means newspapers, newsletters, magazines, books, and literary works in any form, brochures or other types of publications, and advertising materials, including packaging, photographs, and digital images.
- WW. **Privacy breach** means any of the below, whether actual or alleged, but only if committed or allegedly committed by **you** or by others acting on **your** behalf for whom **you** are legally responsible, including **BPO service providers** and **outsourced IT service providers**:
1. A common law breach of confidentiality, infringement, or violation of any right to privacy, including, but not limited to, a breach of **your** privacy policy, false light, intrusion upon a person’s seclusion, commercial misappropriation of name, person, or likeness, or public disclosure of a person’s private information; or
 2. Any breach of privacy regulations, as they currently exist and as amended, associated with the

confidentiality, access, control, and use of personally identifiable, non-public information, including, but not limited to:

- a. Health Insurance Portability and Accountability Act of 1996 ("Public Law 104- 191"), known as HIPAA, and related state medical privacy laws;
- b. Gramm-Leach-Bliley Act of 1999 ("G-L-B"), also known as the Financial Services Modernization Act of 1999;
- c. State and federal statutes and regulations regarding the security and privacy of consumer information;
- d. Governmental privacy protection regulations or laws associated with the control and use of personal information;
- e. Privacy provisions of consumer protection laws, including the Federal Fair Credit Reporting Act ("FCRA") and similar state laws;
- f. Title XIII, the Health Information Technology for Economic and Clinical Health Act ("HITECH"), of the American Recovery and Reinvestment Act of 2009 ("ARRA").

A series of continuing *privacy breaches* or related or repeated *privacy breaches* will be considered a single *privacy breach* and will be deemed to have occurred when the first of such *privacy breaches* occurred.

- XX. **Privacy breach response costs** means those reasonable and necessary fees and expenses which *you* incur, with *our* prior written consent, for the employment of a public relations consultant prior to or following the publication of an *adverse media report*, if *you* reasonably consider such action is necessary to avert or mitigate any material damage to *your reputation* or brands, which results or reasonably will result from the *adverse media report*.
- YY. **Programming error** means an error which occurs during the development or encoding of a *computer program*, software, or application, which would, when in operation, result in a malfunction or incorrect operation of a *computer system*.
- ZZ. **Property damage** means injury to tangible property, including all resulting loss of use of that property, and loss of use of tangible property that is not physically injured. *Data* is not considered tangible property.
- AAA. **Public relations expenses** means reasonable and necessary expenses incurred by *you* to re-establish *your reputation* which was damaged as a direct result of an *adverse media report*.
- BBB. **Regulatory compensatory award** means a sum of money that an *insured* is legally obligated to pay as an award or fund for affected individuals, including a regulatory agency's monetary award to a third party, due to an adverse judgment or settlement arising out of a *government investigation*. **Regulatory compensatory award** does not include a fine, penalty or sanction imposed by law or punitive or exemplary damages.
- CCC. **Reputation** means the estimation of trust that patients, customers or clients have in doing business with *you* or in purchasing *your* products or services.
- DDD. **Retroactive date** means the date specified as such on this Endorsement, on or after which any *multimedia peril, security and privacy wrongful act, security breach, or privacy breach* must have taken place to be considered for coverage under Coverage A, B, C, or D of this Endorsement. The *retroactive date* may not be changed during the term of the claims-made relationship and any extended reporting period.
- EEE. **Security and privacy wrongful act** means any of the following acts, whether actual or alleged, but only if committed or allegedly committed by an *insured*:
1. Failure to prevent or hinder a *security breach* that in turn results in:
 - a. The alteration, copying, corruption, destruction, deletion, or damage to electronic *data* stored on an *insured* WINSLOW INDUSTRIES
 - b. Theft, loss or unauthorized disclosure of electronic and non-electronic confidential commercial, corporate, personally identifiable, or private information that is in *your* care, custody or control;
 - c. Theft, loss, or unauthorized disclosure of electronic and non-electronic confidential commercial,

corporate, personally identifiable, or private information that is in the care, custody or control of a **BPO service provider** or **outsourced IT service provider** that is holding, processing, or transferring such information on **your** behalf; provided, however, that the theft, loss or unauthorized disclosure occurs while **your** written contract with such **BPO service provider** or **outsourced IT service provider** is in effect; or

d. **Unauthorized use** of, or **unauthorized access** to, a **computer system** other than an **insured**

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2. Failure to timely disclose a **security breach** affecting personally identifiable, nonpublic information or the failure to dispose of personally identifiable, nonpublic information within the required period, in violation of privacy regulations in effect now or in the future;
3. Failure to prevent the transmission of **malicious code** or **computer virus** from an **insured computer system** to the **computer system** of a third party;
4. A **privacy breach**;
5. Failure to prevent or hinder participation by an **insured computer system** in a **denial of service attack** directed against **internet** sites or the **computer system** of any third party; or
6. Loss of employee information.

FFF. **Security breach** means any of the following, whether a specifically targeted attack or a generally distributed attack:

1. **Unauthorized access** to, or **unauthorized use** of, an **insured computer system**, including **unauthorized access** or **unauthorized use** resulting from the theft of a password from an **insured computer system** or from any **insured**;
2. A **denial of service attack** against an **insured computer system**; or
3. Infection of an **insured computer system** by **malicious code** or the transmission of **malicious code** from an **insured**

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A series of continuing **security breaches**, related or repeated **security breaches**, or multiple **security breaches** resulting from a continuing failure of computer security will be considered a single **security breach** and will be deemed to have occurred when the first of such **security breaches** occurred.

GGG. **Special expenses** means reasonable and necessary costs and expenses which **you** incur to:

1. Prevent, preserve, minimize, or mitigate any further damage to **digital assets**, including the reasonable and necessary fees and expenses of specialists, outside consultants, or forensic experts **you** retain;
2. Preserve critical evidence of any criminal or malicious wrongdoing;
3. Purchase replacement licenses for **computer programs** because the copy protection system or access control software was damaged or destroyed by a **covered cause of loss**; or
4. Notify customers of a total or partial interruption, degradation in service, or failure of an **insured computer system** resulting from a **covered cause of loss**.

HHH. **Termination of coverage** means:

1. Cancellation or nonrenewal of the Policy or this Endorsement, whether made by **us** or the **named insured**

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2. A decrease in limits, reduction of coverage, increased deductible or self-insured retention, a new exclusion, or any other change in this Endorsement which is less favorable to the **insured**.

III. **Unauthorized access** means the gaining of access to a **computer system** by an unauthorized person or persons.

JJJ. **Unauthorized trading** means trading, which at the time of the trade is:

1. In excess of permitted financial limits; or
2. Outside of permitted product lines.

KKK. **Unauthorized use** means the use of a **computer system** by unauthorized persons or authorized persons in an unauthorized manner.

LLL. **Waiting period** means:

1. With respect to Coverage F.2., the 8-hour period which must elapse before **income loss**,

interruption expenses or *special expenses* may be payable. The *waiting period* applies to each *period of restoration*.

2. With respect to Coverage H, the two-week period which must elapse after *notification*, or in the event of an *adverse media report*, after publication of the first *adverse media report*, before *brand loss* may be payable. The *waiting period* applies to each *period of indemnity*.

SECTION VII – NOTICE PROVISIONS

The following Notice Provisions will apply only to the Coverages provided under this Endorsement and will supersede any other similar provisions contained elsewhere in the Policy.

A. NOTICE OF A *CLAIM*

1. The *insured* must give *us* or *our* authorized agent written notice of any *claim* as soon as reasonably TALLGRASS
2. *You* must provide *us* with copies of all documentation comprising the *claim* as well as any authorization, cooperation, or assistance *we* may require.
3. *We* will not be obligated to pay any amounts incurred prior to notice of a *claim* to *us* or amounts incurred without *our* prior written consent.

B. NOTICE OF A POTENTIAL *CLAIM*

If, during the *endorsement period*, any *insured* first becomes aware of any facts or circumstances which could give rise to a *claim* under Coverage A, B, C or D of this Endorsement, and if the *insured* provides *us* or *our* authorized agent with written notice during the *endorsement period* of:

1. The details regarding such facts or circumstances;
2. The nature of the loss incurred;
3. The identity of the potential claimant(s) involved;
4. The manner in which the *insured* first became aware of the facts or circumstances; and
5. The consequences which have resulted or may result,

then any *claim* subsequently made arising out of such reported facts or circumstances will be deemed to be a *claim* first made on the date notice complying with the foregoing requirements was first received by *us* or *our* authorized agent.

- C. The failure to give any notice required to be given by this Endorsement within the period prescribed herein will not invalidate any *claim*, unless the failure to provide timely notice has prejudiced *us*. The failure to give any notice required to be given by this Endorsement within the period prescribed herein will not invalidate any *claim* if it can be shown not to have been reasonably possible to give such notice within the prescribed period and that notice was given as soon as was reasonably possible thereafter.
- D. If *we* disclaim liability or deny coverage for any *claim* based upon the failure to provide timely notice, then the claimant may maintain an action directly against *us*, in which the sole question is *our* disclaimer or denial based on the failure to provide timely notice, unless within sixty (60) days following such disclaimer or denial, the *insured* or *we*: (1) initiate an action to declare the rights of the parties under the insurance Policy; and (2) names the claimant as a party to the action.
- E. Notice given by or on behalf of an *insured* to *our* authorized agent will be deemed notice to *us*. Written notice by or on behalf of the claimant to *our* authorized agent, with particulars sufficient to identify the *insured* VANTAGE INDUSTRIES

SECTION VIII – FIRST PARTY BREACH EVENT LOSS DETERMINATION

The following First Party Breach Event Loss Determination provisions will apply only to Coverage F and Coverage H of this Endorsement and will supersede any other similar provisions contained elsewhere in the Policy.

A. LOSS OF **DIGITAL ASSETS**

The coverage provided under Coverage F.1., **digital assets loss** will be determined as follows:

1. If the impacted **digital asset** was purchased from a third party, **we** will pay only the lesser of the original purchase price of the **digital asset** or the reasonable and necessary **digital assets loss**.
2. If it is determined that the **digital assets** cannot be replaced, restored or recreated, then **we** will only reimburse the actual and necessary **digital assets loss** incurred up to such determination.

B. NON-PHYSICAL BUSINESS INTERRUPTION AND EXTRA EXPENSE

For the coverage provided under Coverage F.2., **income loss** will be determined as the reduction of **your** income during the **period of restoration**, which is:

1. **Your** net income (net profit or loss before income taxes) that would have been reasonably projected, but which has been lost directly as a result of a total or partial interruption, degradation in service or failure of an **insured computer system** caused directly by a **covered cause of loss**. The revenue projection will take into account the prior experience of **your** business preceding the date of the **covered cause of loss** and the probable experience had no **covered cause of loss** occurred. Revenues include the amount of money paid or payable to **you** for goods, products or services sold, delivered or rendered in the normal course of **your** business. Revenue projection will be reduced by the extent to which **you** use substitute methods, facilities or personnel to maintain **your** revenue stream. **We** will take into consideration **your** documentation of the trends in **your** business and variations in, or other circumstances affecting, **your** business before or after the **covered cause of loss**, which would have affected **your** business had no **covered cause of loss** occurred; and
2. Any fixed operating expenses (including ordinary payroll) incurred, but only to the extent that such operating expenses must continue during the **period of restoration**.

C. BRANDGUARD®

For the coverage provided under Coverage H, **brand loss** will be determined as follows:

The revenue projection required to calculate **brand loss** will take into account the prior experience of **your** business preceding the date of the **adverse media report** or **notification**, whichever applies, and the probable experience had no **adverse media report** been published or **notification** occurred. Revenues include the amount of money paid or payable to **you** for goods, products or services sold, delivered or rendered in the normal course of **your** business. Revenue projection will be reduced by the extent to which **you** use substitute methods, facilities, or personnel to maintain its revenue stream. **We** will take into consideration **your** documentation of the trends in **your** business and variations in, or other circumstances affecting, **your** business before or after the **adverse media report** or **notification**, which would have affected **your** business had no **adverse media report** been published or **notification** occurred. Any fixed operating expenses (including ordinary payroll) incurred will be considered in calculating **brand loss**, but only to the extent that such operating expenses must continue during the **period of indemnity**.

SECTION IX – EXTENDED REPORTING PERIOD

The following Extended Reporting Period provisions will apply only to Coverage A, B, C, and D of this Endorsement and will supersede any other similar provisions contained elsewhere in the Policy.

A. AUTOMATIC EXTENDED REPORTING PERIOD

1. Upon **termination of coverage**, **we** will provide **you** with an Automatic Extended Reporting Period of sixty (60) days within which **claims** otherwise covered by this Endorsement may be made. Such Automatic Extended Reporting Period will commence immediately upon **termination of coverage** and will apply to a **claim** under Coverage A, B, C, or D which:
 - a. Arises out of an actual or alleged **multimedia peril, security and privacy wrongful act, security breach or privacy breach**, whichever applies, that takes place or first commences on or after the **retroactive date**, but prior to **termination of coverage**; and
 - b. Is first made during the Automatic Extended Reporting Period; and
 - c. Is reported in writing to **us** or **our** authorized agent as soon as reasonably possible.
2. In the event similar insurance is in force during the Automatic Extended Reporting Period, coverage as provided by this Endorsement will be excess over any other valid and collectible insurance.
3. The aggregate limit for the Automatic Extended Reporting Period will be equal to the remaining amount of the Annual Aggregate Limit, as shown in the Schedule, as of the effective date of **termination of coverage**.
4. Within thirty (30) days after **termination of coverage**, **we** will provide **you** with written notice of the Automatic Extended Reporting Period coverage and the availability of, the premium for, and the importance of purchasing additional extended reporting period coverage. However, in the event of termination of the Policy for non-payment of premium or fraud on **your** part, **we** will not be required to provide such a premium quotation, unless requested by **you**.

B. SUPPLEMENTAL EXTENDED REPORTING PERIOD

1. **You** will have the option, upon payment of the required additional premium, plus any premium for the policy period which is owed and not yet paid, or less any return premium owed because of **termination of coverage**, to purchase a Supplemental Extended Reporting Period of twelve (12) months following the effective date of **termination of coverage**. The Supplemental Extended Reporting Period will extend the time during which **claims** otherwise covered by this Endorsement may be made. If the Supplemental Extended Reporting Period is purchased, the Automatic Extended Reporting Period will be included within the Supplemental Extended Reporting Period. Such Supplemental Extended Reporting Period will apply only to a **claim** under Coverage A, B, C, or D which:
 - a. Arises out of an actual or alleged **multimedia peril, security and privacy wrongful act, security breach or privacy breach**, whichever applies, that takes place or first commences on or after the **retroactive date**, but prior to **termination of coverage**; and
 - b. Is first made during the Supplemental Extended Reporting Period; and
 - c. Is reported in writing to **us** or **our** authorized agent as soon as reasonably possible.
2. Except where otherwise specified, the right to purchase the Supplemental Extended Reporting Period applies upon **termination of coverage**. **You** will have the greater of the following time periods within which to submit written acceptance of the extended reporting period coverage:
 - a. Sixty (60) days after the effective date of **termination of coverage**; or
 - b. Thirty (30) days after **we** have mailed or delivered to **you** a written notice of the availability of, and the premium for, the Supplemental Extended Reporting Period.
3. The right to purchase the Supplemental Extended Reporting Period will terminate unless written notice of such election, together with full payment of the required additional premium due, plus any premium for the policy period which is owed and not yet paid, or less any return premium owed because of **termination of coverage**, is received by **us** or **our** authorized agent within the period prescribed in paragraph 2 above.

4. The additional premium for the Twelve (12) month Supplemental Extended Reporting Period will be 95% of the annual premium for Cyber Insurance in effect on the date the Policy was issued or last renewed.
5. If **you** do not elect to purchase a Supplemental Extended Reporting Period, then coverage under this Endorsement will terminate at the end of the Automatic Extended Reporting Period. If **you** elect to purchase a Supplemental Extended Reporting Period, coverage will terminate at the end of the Supplemental Extended Reporting Period.
6. Once in effect, the Supplemental Extended Reporting Period may not be canceled, and the entire premium will be deemed fully earned. **We** will not be liable to return any portion of the premium to **you** for such Supplemental Extended Reporting Period. If **you** have not paid the required additional premium for the Supplemental Extended Reporting Period when due, then such Supplemental Extended Reporting Period will be void.
7. If **we** terminate coverage due to non-payment of premium or fraud, and at the effective date of such **termination of coverage we** have provided this Endorsement to **you** on a claims-made basis without interruption for less than one (1) year, there will be no right to elect or purchase a Supplemental Extended Reporting Period. For purposes of this paragraph, extended reporting period coverage will not be considered as time when **we** are providing coverage.
8. Any person employed or otherwise affiliated with **you**, and covered by this Endorsement during such affiliation, will continue to be covered under this Endorsement and any extended reporting period after such affiliation has ceased, but only for such person's acts, errors or omissions committed or allegedly committed while affiliated with **you**.
9. If this Endorsement is issued to a corporation, partnership or other entity, any person covered as an **insured** under this Endorsement will have the right to purchase the Supplemental Extended Reporting Period upon **termination of coverage** as respects only himself or herself, if: (a) the corporation, partnership or entity has been placed in liquidation or bankruptcy or permanently ceases operations; (b) the corporation, partnership or entity, or its designated trustee, does not purchase the Supplemental Extended Reporting Period; and (c) such person requests the extended reporting period coverage within one hundred twenty (120) days of **termination of coverage**. **We** will have no obligation to provide any notice to any such person of the availability of the extended reporting period coverage.
10. In the event similar insurance is in force during the Supplemental Extended Reporting Period, coverage as provided by this Endorsement will be excess over any other valid and collectible insurance.

SECTION X – OTHER INSURANCE

The following Other Insurance provision will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

The coverage provided by this Endorsement will be excess insurance over any other valid and collectible insurance available, including any self-insured retention or deductible portion thereof, whether such insurance is stated to be primary, pro rata, contributory, excess, contingent or otherwise, unless such insurance specifically applies as excess insurance over the insurance provided under this Endorsement.

SECTION XI – BANKRUPTCY OR INSOLVENCY

The following Bankruptcy or Insolvency provision will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

Bankruptcy or insolvency of an **insured** or an **insured's** estate will not relieve **us** or **our** obligations under this Endorsement.

SECTION XII – TRANSFER OF DUTIES WHEN THE LIMITS OF LIABILITY ARE EXHAUSTED

The following Transfer of Duties When the Limits of Liability Are Exhausted provisions will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

- A. If *we* conclude that, based on *claims* which have been reported and to which this insurance may apply, the limits of liability specified in Section V are likely to be used up in payment of amounts under this Endorsement, *we* will notify *you* to that effect.
- B. When the limits of liability have actually been exhausted:
 - 1. *We* will notify the *insured* in writing as soon as practicable that: (a) such limits of liability have been exhausted; and (b) *our* obligation to defend or pay any amounts, including *defense costs*, has ended.
 - 2. *We* will initiate and cooperate in the transfer in control to the appropriate *insured* of all *claims* which are subject to the limits of liability and were reported to *us* or *our* authorized agent before the limits of liability were exhausted. *You*, and any other *insured*, must cooperate in the transfer of control of said *claims*. *You*, and any other *insured* involved in a *claim*, must arrange for the defense and payment of such *claim* within the period agreed to by the appropriate *insured* and *us*. Absent any such agreement, arrangements for defense and payment of the *claim* must be made as soon as practicable. *We* will take such steps as deemed appropriate to avoid default in, or continue the defense or handling of, such *claim* until such transfer is completed, provided the *insured* is cooperating in completing such transfer.
 - 3. The *insured* will reimburse *us* for *defense costs* it incurs in transferring control of a *claim*. *We* will take no action whatsoever with respect to any *claim* that would have been subject to the limits of liability, had such limits not been exhausted, if the *claim* is reported to *us* after the limits of liability have been exhausted.
 - 4. *You* will also be responsible for providing *notification* and customer support, including the provision of credit file monitoring services and identity theft education and assistance to affected individuals. *You* may continue to utilize vendors recommended by *us* to provide such services.
 - 5. The exhaustion of the limits of liability and the resulting end of *our* obligation to defend or pay any amount, including *defense costs*, will not be affected by *our* failure to comply with any of the provisions of this Section XII.

SECTION XIII – ACTION AGAINST *US*

The following Action Against *Us* provisions will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

- A. No action will lie against *us*, unless there has been full compliance with all of the terms and conditions of this Endorsement, and until the amount of the *insured's* obligation to pay has been determined either by judgment entered in a court of law against the *insured* or by the *insured's* written agreement with the claimant or claimant's legal representative and *us*.
- B. Any claimant who has secured such judgment or written agreement will thereafter be entitled to recover under this Endorsement to the extent of the insurance afforded by this Endorsement.

SECTION XIV – ARBITRATION

The following Arbitration provision will apply only to the Coverages provided under this Endorsement and will supersede any similar provisions contained elsewhere in the Policy.

Notwithstanding any other provision of this Endorsement or the Policy affecting this Endorsement, if any irreconcilable dispute exists between *us* and an *insured*, either party may make a written demand for arbitration. As an absolute condition to any arbitration, the *insured* and *us* must mutually agree to arbitration and the arbitration procedure. Judgment upon the award may be entered in any court having jurisdiction. The arbitrator

has the power to decide any dispute between *us* and the *insured* concerning the application or interpretation of this Endorsement; provided however, the arbitrator will have no power to revise or reform the actual language of this Endorsement. The *insured* and *us* will share equally in the cost of arbitration.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM

A. Section I – Property is amended as follows:

1. Paragraph (5) under **A.5.I. Increased Cost Of Construction** Additional Coverage is replaced by the following:

(5) Under this Additional Coverage, we will not pay any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

2. Paragraph r. under **A.5. Additional Coverages** does not apply.
3. Paragraph i. under **B.1. Exclusions** does not apply.
4. Paragraph (3) under **B.1.j. Exclusions** does not apply.
5. Paragraph (2) under **B.2.I. Exclusions** is replaced by the following:
 - (2) Rust, corrosion, fungus, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself.
6. Paragraph **E.2. Appraisal** Property Loss Conditions is replaced by the following:

2. Appraisal

- a. If we and you disagree on the value of the property, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.

- b. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.

- c. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

- d. Each party will:

- (1) Pay its chosen appraiser; and
- (2) Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

7. The following is added to Paragraph **E.3. Duties In The Event Of Loss Or Damage** Property Loss Conditions:

- a. Notice given by or on your behalf; or
- b. Written notice by or on behalf of any claimant;

to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

8. The following is added to Paragraph **E. Property Loss Conditions**:

Estimation Of Claims

Upon request, we will furnish you or your representative with a written estimate of damages to real property, specifying all deductions, provided such an estimate has been prepared by us or has been prepared on our behalf for our own purposes. This estimate will be provided within 30 days after your request or its preparation, whichever is later.

9. Paragraphs **f.** and **g.** under **F.2. Mortgageholders** Property General Conditions are replaced by the following:

f. Cancellation

- (1) If we cancel this Policy, we will give written notice to the mortgageholder at least:
 - (a) 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
 - (b) 30 days before the effective date of cancellation if we cancel for any other reason.
- (2) If you cancel this Policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, cancellation will become effective on the later of:
 - (a) The effective date of cancellation of the insured^{HARBOR POINT}
 - (b) 10 days after we give notice to the mortgageholder.

g. Nonrenewal

- (1) If we elect not to renew this Policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this Policy.
- (2) If you elect not to renew this Policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, nonrenewal will become effective on the later of:
 - (a) The expiration date of the Policy; or
 - (b) 10 days after we give notice to the mortgageholder.

10. Paragraphs **b.** and **f.** under **G.3. Employee Dishonesty** Property General Conditions are replaced by the following:

b. We will not pay for loss or damage:

- (1) Resulting from any dishonest or criminal act that you or any of your partners or "members" commit whether acting alone or in collusion with other persons.
- (2) Resulting from any dishonest act committed by any of your employees (except as provided in Paragraph **a.**), "managers" or directors:
 - (a) Whether acting alone or in collusion with other persons; or
 - (b) While performing services for you or otherwise.
- (3) The only proof of which as to its existence or amount is:
 - (a) An inventory computation; or
 - (b) A profit and loss computation.
- (4) Caused by an employee if the employee had also committed theft or any other dishonest act prior to the effective date of this Policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the employee, learned of that theft or dishonest act prior to the policy period shown in the Declarations.

However, this Paragraph **G.3.b.(4)** does not apply to an employee whose theft or other dishonest act was committed prior to becoming employed by you and which resulted in the employee being convicted of one or more criminal offenses in this state or any other jurisdiction, if, after learning about the employee's past criminal conviction or convictions, you made a determination to hire or retain the employee utilizing the factors set out in New York Correction Law Article 23-A.

- f.** This Optional Coverage is cancelled as to any employee immediately upon discovery by:

- (1) You; or

- (2) Any of your partners, "members", "managers", officers or directors not in collusion with the employee;

of any dishonest act committed by that employee before or after being hired by you.

However, this Paragraph **G.3.f.** does not apply to an employee whose dishonest act was committed prior to becoming employed by you and which resulted in the employee being convicted of one or more criminal offenses in this state or any other jurisdiction, if, after learning about the employee's past criminal conviction or convictions, you made a determination to hire or retain the employee utilizing the factors set out in New York Correction Law Article 23-A.

11. Paragraph **4.** under **H. Property Definitions** does not apply.

12. If this Policy covers the interest of the owner of any of the following types of buildings or structures:

- a. Residential, except owner-occupied single-family or owner-occupied two-family buildings or structures;
- b. Commercial; or
- c. Industrial;

the following provision is added:

Before payment to you for loss or damage to the above buildings or structures caused by or resulting from fire, we will:

- a. Deduct from your payment the claim of any tax district that issues a certificate of lien in accordance with the Insurance Law; and
- b. Pay directly to the tax district the amount of the claim.

When we pay that claim, we will have no obligation to pay the amount of that claim to you. Our payment of that claim within 30 days of our receipt of the certificate of lien will be a conclusive presumption that the claim was valid and properly paid.

B. Section II – Liability is amended as follows:

1. Paragraph **a.** under **A.1. Business Liability** is replaced by the following:

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured HARBOR POINT seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured HARBOR POINT seeking damages for "bodily injury", "property damage" or "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Paragraph **D. Liability And Medical Expenses Limits Of Insurance** in Section II – Liability; and

- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements or medical expenses.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Paragraph **f. Coverage Extension – Supplementary Payments.**

2. The following provision is added and supersedes any provision to the contrary:

Failure to give notice to us as required under this Policy shall not invalidate any claim made by the insured

claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by the insured, injured person or other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

3. The following is added to Paragraph **E.2. Duties In The Event Of Occurrence, Offense, Claim Or Suit** Liability And Medical Expenses General Condition:

- a. Notice given by or on your behalf; or
- b. Written notice by or on behalf of any claimant;

to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

4. Paragraph **E.3. Legal Action Against Us** Liability And Medical Expenses General Condition is replaced by the following:

3. Legal Action Against Us

- a. Except as provided in Paragraph **b.**, no person or organization has a right under this Policy:

- (1) To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- (2) To sue us on this Policy unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Policy or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and a release of liability signed by us, the insured and the claimant or the claimant's legal representative.

- b. With respect to "bodily injury" and "personal and advertising injury" claims, if we deny coverage or do not admit liability because an insured or the injured person, someone acting for the injured person or other claimant fails to give us written notice as soon as practicable, then the injured person, someone acting for the injured person or other claimant may bring an action against us, provided the sole question is whether the denial of coverage or nonadmission of liability is based on the failure to provide timely notice.

However, the injured person, someone acting for the injured person or other claimant may not bring an action if within 60 days after we deny coverage or do not admit liability, we or an insured:

- (1) Brings an action to declare the rights of the parties under the Policy; and

- (2) Names the injured person, someone acting for the injured person or other claimant as a party to the action.

5. The following is added to Paragraph **E. Liability And Medical Expenses General Conditions**:

Transfer Of Duties When A Limit Of Insurance Is Used Up

- a. If we conclude that, based on "occurrences", offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) Liability And Medical Expenses Limit;

- (2) Medical Expenses Limit; or

- (3) Damage To Premises Rented To You;

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured effect.

- b. When a limit of insurance described in Paragraph **a.** above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured, in writing, as soon as practicable, that:

- (a) Such a limit has actually been used up; and

- (b) Our duty to defend "suits" seeking damages subject to that limit has also ended.

- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insuredIRONVALE BUILDERS damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- (3) The first Named Insured, and any other insured

damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- c. The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with Paragraph **b.(2)**.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with Paragraph **a.**; or

- (2) The date on which we sent notice in accordance with Paragraph **b.(1)**, if we did not send notice in accordance with Paragraph **a.**

- d. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this condition.

6. Paragraph **F.11**. "Loading or unloading" Liability And Medical Expenses Definition does not apply.

7. The following additional provisions apply:

- a. The aggregate limits of this Policy as shown in the Declarations will be increased in proportion to any policy extension provided in accordance with Paragraph **C.3.c.(4)** of this endorsement.

- b. The last sentence of Limit Of Insurance does not apply when the policy period is extended because we sent the first Named Insured VANTAGE MECHANICAL renewal notice or a late nonrenewal notice.

C. Section III – Common Policy Conditions (Applicable To Section I – Property And Section II – Liability) is amended as follows:

The provisions of Paragraphs 1. through 3. apply unless this Policy covers buildings or structures containing one to four dwelling units. In that case, the provisions of Paragraphs 4. through 6. apply instead. The provisions of Paragraphs 7. through 11. apply to all insured buildings and structures.

1. Paragraphs 1., 2., 3. and 5. under **A. Cancellation** are replaced by the following:

1. The first Named Insured shown in the Declarations may cancel this entire Policy by mailing or delivering to us advance HARBOR notice of cancellation.

2. Cancellation Of Policies In Effect

a. 60 Days Or Less

We may cancel this Policy by mailing or delivering to the first Named Insured HARBOR notice of cancellation at least:

- (1) 20 days before the effective date of cancellation if we cancel for any reason not included in Paragraph **2.b.** below.
- (2) 15 days before the effective date of cancellation if we cancel for any of the reasons included in Paragraph **2.b.** below.

b. For More Than 60 Days

If this Policy has been in effect for more than 60 days, or if this Policy is a renewal or continuation of a policy we issued, we may cancel only for any of the reasons listed below, provided we mail the first Named Insured HARBOR notice at least 15 days before the effective date of cancellation:

- (1) Nonpayment of premium, provided, however, that a notice of cancellation on this ground shall inform the first Named Insured HARBOR POINT
- (2) Conviction of a crime arising out of acts increasing the hazard insured against;
- (3) Discovery of fraud or material misrepresentation in the obtaining of the Policy or in the presentation of a claim;
- (4) After issuance of the Policy or after the last renewal date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured RIDGEWAY and which occurred subsequent to inception of the current policy period;

- (5) Material physical change in the property insured issuance or last annual renewal anniversary date of the Policy, which results in the property becoming uninsurable in accordance with our objective, uniformly applied underwriting standards in effect at the time the Policy was issued or last renewed; or material change in the nature or extent of the risk^{NORTHVALE SERVICE} issuance or last annual renewal anniversary date of the Policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the Policy was issued or last renewed;
- (6) Required pursuant to a determination by the Superintendent that continuation of our present premium volume would jeopardize our solvency or be hazardous to the interest of our policyholders, our creditors or the public;
- (7) A determination by the Superintendent that continuation of the Policy would violate, or would place us in violation of, any provision of the Insurance Code; or
- (8) Where we have reason to believe, in good faith and with sufficient cause, that there is a probable risk of danger that the insured will destroy, or permit to be destroyed, the insured collecting the insurance proceeds. If we cancel for this reason, you may make a written request to the Department of Financial Services, within 10 days of receipt of this notice, to review our cancellation decision. Also, we will simultaneously send a copy of this cancellation notice to the Department of Financial Services.
3. We will mail or deliver our notice, including the reason for cancellation, to the first Named Insured^{CEDARLINE MECHANICAL} Policy and the authorized agent or broker.
5. If this Policy is cancelled, we will send the first Named Insured due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata.

However, when the premium is advanced under a premium finance agreement, the cancellation refund will be pro rata. Under such financed policies, we will be entitled to retain a minimum earned premium of 10% of the total policy premium or \$60, whichever is greater. The cancellation will be effective even if we have not made or offered a refund.

2. The following is added to Paragraph A. Cancellation:

If one of the reasons for cancellation in Paragraph **C.1.2.b.** or **C.4.2.b.(2)** of this endorsement exists, we may cancel this entire Policy, even if the reason for cancellation pertains only to a new coverage or endorsement initially effective subsequent to the original issuance of this Policy.

3. The following paragraphs are added:

a. Nonrenewal

If we decide not to renew this Policy, we will send notice as provided in Paragraph **c.** Notices Of Nonrenewal And Conditional Renewal below.

b. Conditional Renewal

If we condition renewal of this Policy upon:

- (1) A change of limits;
- (2) A change in type of coverage;
- (3) A reduction of coverage;
- (4) Increased deductible;
- (5) An addition of exclusion; or
- (6) Increased premiums in excess of 10%, exclusive of any premium increase due to and commensurate with insured value added; or increased exposure units; or as a result of experience rating, loss rating, retrospective rating or audit;

we will send notice as provided in Paragraph **c.** Notices Of Nonrenewal And Conditional Renewal below.

c. Notices Of Nonrenewal And Conditional Renewal

- (1) If we decide not to renew this Policy or to conditionally renew this Policy as provided in Paragraphs **3.a.** and **3.b.** above, we will mail or deliver written notice to the first Named Insured shown in the Declarations at least 60 but not more than 120 days before:

- (a) The expiration date; or

- (b) The anniversary date if this is a continuous policy.
 - (2) Notice will be mailed or delivered to the first Named Insured TALLGRASS shown in the Policy and the authorized agent or broker. If notice is mailed, proof of mailing will be sufficient proof of notice.
 - (3) Notice will include the specific reason(s) for nonrenewal or conditional renewal, including the amount of any premium increase for conditional renewal and description of any other changes.
 - (4) If we violate any of the provisions of Paragraph c.(1), (2) or (3) above by sending the first Named Insured an incomplete or late conditional renewal notice or a late nonrenewal notice:
 - (a) And if notice is provided prior to the expiration date of this Policy, coverage will remain in effect at the same terms and conditions of this Policy at the lower of the current rates or the prior period's rates until 60 days after such notice is mailed or delivered, unless the first Named Insured has replaced the coverage or elects to cancel.
 - (b) And if the notice is provided on or after the expiration date of this Policy, coverage will remain in effect at the same terms and conditions of this Policy for another policy period, at the lower of the current rates or the prior period's rates, unless the first Named Insured ASHCROFT additional policy period, has replaced the coverage or elects to cancel.
 - (5) If you elect to renew on the basis of a late conditional renewal notice, the terms, conditions and rates set forth in such notice shall apply:
 - (a) Upon expiration of the 60-day period, unless Subparagraph (b) below applies; or
 - (b) Notwithstanding the provisions in Paragraphs (4)(a) and (b), as of the renewal date of the Policy, if the conditional renewal notice was sent at least 30 days prior to the expiration or anniversary date of the Policy.
 - (6) We will not send you notice of nonrenewal or conditional renewal if you, your authorized agent or broker or another insurer of yours mails or delivers notice that the Policy has been replaced or is no longer desired.
4. Paragraph 2. under A. **Cancellation** is replaced by the following:
- 2. Procedure And Reasons For Cancellation**
- a. We may cancel this entire Policy by mailing or delivering to the first Named Insured FAIRMOUNT INDUSTRIES least:
 - (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium, provided, however, that a notice of cancellation on this ground shall inform the first Named Insured HARBOR POINT or
 - (2) 30 days before the effective date of cancellation if we cancel for any other reason.
 - b. But if this Policy:
 - (1) Has been in effect for more than 60 days; or
 - (2) Is a renewal of a policy we issued;
 we may cancel this Policy only for one or more of the following reasons:
 - (a) Nonpayment of premium, provided, however, that a notice of cancellation on this ground shall inform the first Named Insured HARBOR POINT
 - (b) Conviction of a crime arising out of acts increasing the risk of loss;
 - (c) Discovery of fraud or material misrepresentation in obtaining the Policy or in making a claim;
 - (d) Discovery of willful or reckless acts or omissions increasing the risk of loss;
 - (e) Physical changes in the covered property that make that property uninsurable in accordance with our objective and uniformly applied underwriting standards in effect when we:
 - (i) Issued the Policy; or

(ii) Last voluntarily renewed the Policy;

(f) The Superintendent of Financial Services' determination that continuing the Policy would violate Chapter 28 of the Insurance Law; or

(g) Required pursuant to a determination by the Superintendent of Financial Services that continuation of our present premium volume would be hazardous to the interests of our policyholders, our creditors or the public.

5. The following condition is added:

Conditional Continuation

Instead of cancelling this Policy, we may continue it on the condition that:

- a. The Policy limits be changed; or
- b. Any coverage not required by law be eliminated.

If this Policy is conditionally continued, we will mail or deliver to the first Named Insured written notice at least 20 days before the effective date of the change or elimination. We will mail or deliver our notice to the first Named Insured

GRANITE ROW INDUSTRIES
Cortland mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

6. The following condition is added:

Nonrenewal

If, as allowed by the laws of New York State, we:

- a. Do not renew this Policy; or
- b. Condition policy renewal upon:
 - (1) Change of limits; or
 - (2) Elimination of coverage;

we will mail or deliver written notice of nonrenewal or conditional renewal at least 45 days, but not more than 60 days, before the expiration date of the Policy. We will mail or deliver our notice to the first Named Insured
GRANITE ROW INDUSTRIES notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

7. The last subparagraph in Paragraph 3. under I. **Premiums** is replaced by the following:

Our forms then in effect will apply. If you do not pay the continuation premiums, this Policy will be cancelled in accordance with the cancellation procedures for nonpayment of premium as amended in Paragraph C.1. of this endorsement.

8. The following condition is added:

When the property is subject to the Anti-arson Application in accordance with New York Department of Financial Services Insurance Regulation No. 96, the following provisions are added:

If you fail to return the completed, signed and affirmed anti-arson application to us:

- a. Or our broker or agent within 45 days of the effective date of a new policy, we will cancel the entire Policy by giving 20 days' written notice to you and to the mortgageholder shown in the Declarations.
- b. Before the expiration date of any policy, we will cancel the Policy by giving written notice to you and to the mortgageholder shown in the Declarations at least 15 days before the effective date of cancellation.

If the notice in 8.a. or 8.b. is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

The cancellation provisions set forth in 8.a. or 8.b. supersede any contrary provisions in this Policy, including this endorsement.

9. Paragraph C. **Concealment, Misrepresentation Or Fraud** is replaced by the following:

C. Concealment, Misrepresentation Or Fraud

We do not provide coverage for any insured who has made fraudulent statements or engaged in fraudulent conduct in connection with any loss or damage for which coverage is sought under this Policy.

10. Paragraph 1. under H. **Other Insurance** is replaced by the following:

- 1. If there is other valid and collectible insurance covering the same loss or damage, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance. But we will not pay more than the applicable Limit of Insurance of Section I – Property.

11. Paragraph 2. under **H. Other Insurance** is replaced by the following:

2. Business Liability Coverage is excess over:

- a. Any other valid and collectible insurance that insures for direct physical loss or damage; or
- b. Any other valid and collectible primary insurance available to you covering liability for damages arising out of the premises or operations for which you have been added as an additional insured.

replaced by the following:

2. Premium shown in this Policy as advance premium is a deposit premium only. At the close of each audit period, we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit premiums is the date shown as the due date on the bill. An audit to determine the final premium due or to be refunded will be completed within 180 days after the expiration date of the Policy and may not be waived, except when:

- a. The total annual premium attributable to the auditable exposure is not reasonably expected to exceed \$1,500; or

- b. The Policy requires notification to the insurer with specific information of any additional exposure units (e.g., buildings) for which coverage is requested.

If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

Paragraph **D. Examination Of Your Books And Records** continues to apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

WIDESPREAD EVENT EXCLUSION – NEW YORK

This Endorsement modifies insurance provided under the following: CYBER INSURANCE ENDORSEMENT, MU 91 36

In consideration of the premium charged, and notwithstanding anything contained in the cyber coverage to the contrary, it is understood and agreed that the cyber coverage to which this Endorsement attaches does not apply to any **claim** based upon, arising out of, resulting from, in consequence of, or in any way involving a **widespread event**.

The determination of whether an event constitutes a **widespread event** will rely upon any available evidence such as information from governments, news media, qualified IT forensics firms, computer experts and claims reported to **us**.

The following definitions apply to this Endorsement, whether in singular or plural form. Refer to the Definitions section in the Cyber Insurance Endorsement for terms that are shown in bold and italics in this Endorsement but are not defined below. If a term is defined in below and in the Cyber Insurance Endorsement, the definition below applies.

1. **Attack vector** means the method or combination of methods that are used in a **security breach**.
2. **Related security breach** means a **security breach** with, or a **covered cause of loss** involving:
 - A. The same actor or a coordinated group of actors;
 - B. The same **attack vector**;
 - C. The same vulnerability; or
 - D. The common impacted vendor or group of impacted vendors as any other person or entity holding this cyber insurance coverage through **us**.

Related security breach does not include a **security breach** or a **covered cause of loss** which deceives or manipulates any **insured** to execute subsequent, intervening actions in order to constitute or cause the **claim**.

3. **Widespread event** means a **related security breach** that impacts 25 other persons or entities holding this cyber insurance coverage through **us** that is discovered, or should have been discovered, either via event discovery or through a **claim** made against an **insured**, within 90 days of the first such person or entity discovering, or when the first such person or entity should have discovered, either via event discovery or through a **claim** made against an **insured**.

FAIRMOUNT SERVICE GROUP

All other terms and conditions of this Policy remain unchanged.
